

Central Bank of India (CENTRALBK)

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Call: May 2023

Central Office

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Madam /Dear Sir ,

Sub: Disclosure under Regulation 30 and Regulation 46(2)(a) of SEBI (LODR) Regulations, 2015 -Transcript of Bank's Conference /Earnings call with the Analysts

We enclosed herewith transcript of Conference/Earnings call held with the Analysts on 29th April, 2023 on Audited standalone and consolidated Financial Results of the Bank for the Quarter & Financial Year ended 31st March, 2023.

The same is also being made available on the Bank's website under the following web link:

[https://www.centralbankofindia.co.in/sites/default/files/central-bank-of-india-](https://www.centralbankofindia.co.in/sites/default/files/central-bank-of-india-Transcript_31032023.Pdf)

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This information is furnished in terms of Regulation 46(2)(a) and Regulation 30 read with Schedule III, Part A, Paragraph A, 15(b) of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you,

Yours faithfully,

For CENTRAL BANK OF INDIA

CHANDRAKANT BHAGWAT

Company Secretary & Compliance Officer

Encl – A/a

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"Central Bank of India

Q4 FY '23 Earnings Conference Call"

April 29, 2023

MANAGEMENT : MR. M.V. RAO – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL BANK OF INDIA
MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL
BANK OF INDIA
MR. RAJEEV PURI – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA
MR. M V MURALI KRISHNA – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA
MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER –
CENTRAL BANK OF INDIA

MODERATOR : MR. RAJU BARN AWAL – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Central Bank of India Q 4 FY '23 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Limited. Thank you, and over to you.

Raju Barnawal: Thank you, Rehan . Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the Central Bank of India Q4 FY '23 Earnings Conference Call. And I thank the management for providing this opportunity to host the call. So, from the senior management side, today, we have with us Mr. M.V. Rao, MD and CEO; Mr. Vivek Wahi , Executive Director; Mr. Rajeev Puri , Executive Director; Mr. M.V. Murali Krishna, Executive Director; and Mr. Mukul Dandige, Chief Financial Officer.

So now without further delay, I hand over the call to MD sir for his opening remarks, post which we will have a Q&A session. Thank you, and over to you, sir.

M.V. Rao: Yes. Thank you. A very good afternoon to all of you. And first of all, thank you for investing your time. And let me assure you that ROT, your return on time will be very appreciable. And before giving you the highlights, let me take you back a year in 2021 -22 results day, where we have given you the guidance that business growth will be 8% to 10%. We have achieved 8.39%, and deposit growth will be 5% to 7%. We achieved 4.85%. That is 2% lower than the estimate. And advances growth, we have given 13% to 15%, and we have achieved 14.79%. CASA will be more than 50%. Now we are at 50.39%.

And corporate credit book balancing with RAM and corporate, 65%, 35%. So, we are at 66.46 % RAM and 33.64% on the corporate. NIM more than 3%. This time, we are 3.64%, gross NPA below 8%, we are at 8.44%. Net NPA below 2%, we are at 1.77 %, PCR more than 92%, we are at 92.48%, slippage ratio 2 to 2.25, we're at 1.62% , credit cost, 1 % to 1.25 %, it is at 0.83 %. Return on assets, 0.40 % to 0.45 %, we're at 0.43% and the cost -to-income ratio of 53% to 55%, we are at 56.35%. So, among all these , on certain parameters, 100% we have surpassed the guidance what we have given in 10 parameters. In 3 parameters, we have achieved almost 96%.

One more thing that I would like to share, we are very happy that this is an excellent year for the bank as it has highest ever recorded net profit. Because in 2010, we have recorded INR1,059 cr. after 2010, this is the figure in 2023, where we have recorded INR1,582 crores of net profit. Having said this, let me come to the business model. This year also, we are not going to change much on the business model. We will continue to focus on the credit book with the balancing of RAM and corporate credit with 65% and 35%, with plus or minus 5%. And co-lending stream, which has picked up well , will continue to be one more stream where we will be focusing to improve upon on our asset side. On our liability side, our CASA will be striving to be above 50%. We will continue to do that. And one more thing I would like to say is that we have not resorted to any issuance of the CD.

So, in this new financial year also, we may not require any CDs to raise as our liquidity is ample. Our LCR stands at 285%. And coming to the investment book with a reasonable return, our principle is to protect the book from the volatilities that we will continue to do. And then as far as the organization structure is concerned, now all the new structures, what we had tweaked in between are doing well and acceleration

n leverage will be done on those structures.

And coming to the products, lot many new products we have introduced, and which are received well. And one of the most important and very good products that has gone well in the market is the Grah Laxmi, where we have given the lowest RO I for the women beneficiaries

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for their housing. So already, we have booked INR6,300 crores in that loan book. And coming to the people, we will continue to invest in our manpower to upgrade and upskill their knowledge and also skill levels.

So, coming to the highlights. Regarding total business, it stands at INR5.77 lakh crores with 8.39% growth, total deposits at INR3.59 lakh crores, that is 4.85% growth. Gross advances stand at INR2.17 lakh crores, which is 14.79% growth, CASA INR1.80 lakh, that is 50.39% of total deposit. RAM at INR1.44 lakh crores, net NPA is below 2%, that is 1.77% and operating profit for the quarter, stands at INR 2,108 crores. For the full year, it is INR6,884 crores.

So net profit for the quarter, it is INR571 crores. And for the year, it is INR1,582 crores. As far as the NIM for this quarter, it stands at 4.24%, for the entire year, it is 3.64%. ROA for the quarter 0.61%, for the whole year, it stands at 0.44%. ROE, it is 2.27% for this quarter and 6.42% for the whole year. So, for other financial performance, I request my CFO, Mr. Mukul, to apprise you of the details of the financial performance.

Mukul Dandige: Thank you, sir. If you see our total interest income has grown in both on the Q-o-Q and Y-o-Y basis. On a Y-o-Y basis, the total interest income has grown by 12.02% and it has reached a level of INR25,542 crores. The total interest expenses have increased only by 4.06% and stood at INR13,855 crores. And the net interest income stood at INR11,687 crores which is Y-o-Y robust growth of 23.19%.

If we see the operating profit, it stood at INR6,884 crores, registering a growth of 19.89% and the provisions increased by 27.70%. However, if we factor the contingency provisions that we have built up, the provision amount would be lesser than what we had done in the last year. And net profit improved by 51.39% to INR1,582 crores during this financial year. Same goes with the fee-based income where the bank was able to record 25.40% upside on the overall fee-based income from INR1,425 crores to INR1,787 crores, mainly because of the recovery in written off accounts that we received this year because of which we received good fee based income.

As far as the expenses go, total interest expenses, I told it is increased by 4.06%. The interest paid on deposits increased by 4.20%. The operating expenses moved up to INR8,887 crores with a growth of 32.38% and other operating expenses showed a growth of 17.84%. The staff cost increased by 42.70%.

And the provisions, as I said, total provisions for NPAs increased by 44.01%. However, there was a contingency provision that we have built up, into the system. So, if we remove those contingency provisions, the provisions would be substantially lower and the credit cost would be substantially lower. We have also built up some provisions on standard assets where we foresee maybe some issues in some of the accounts. The income tax provision increased from INR672 crores to INR1,063 crores, a growth of 58.18%. Thus, the total provisions increased by 27.7%.

As far as the capital adequacy goes, capital adequacy improved to 14.12%, and the provision coverage ratio increased to 92.38%. So, these are basically the other financial highlights of the bank.

M.V. Rao: Yes. This is from our side. Probably you must have gone through the entire presentation uploaded on the website. And if anything has to be clarified, now you can make it open to all the participants.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Our

first question comes from the line of Ashok Ajmera from Ajcon Global Services Limited.

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Ashok Ajmera: Good afternoon Rao Saab, Mr. Vivek Wahi, Mr. Rajeev Puri and Mr. Murali Krishna and congratulations and complements to you for the fantastic performance of this quarter. Overall, also for the year, also the performance is excellent. But in this quarter, you have exceeded some of the expected numbers, so complements for that, sir. Having said that, sir, of course, the legacy, we have a very high gross NPA we used to have, brought it down below 10% and now 8.44%. But it's still high the gross NPA front, which is almost I think INR18,386 crores. What is your view going forward, looking at NARCL and other asset sale to other ARC or any

plan?

And what is the target of bringing in the whole year, the gross NPA because net NPA is very much under control, and that will also be brought in by increasing the provisions. So that is in your hands. But for the gross NPA, what is our planning, number one.

Number two, we have done very well on the credit front also. So going forward, whether this - the credit growth, which is achieved almost about 15%, 14.79% however we are heading for the financial year now 2023-24. And similarly, on the recovery front, we have done very well. But slippages have been high also in this quarter, have gone up, I think, from INR636 crores to INR1,085 crores.

Then we have been talking about contingency provisions. So, what is the total buffer provision buildup for COVID as well as the overall offer, which we have in our books. So, this is broadly on advanced credit and recovery side and the gross NPA side. If you, please give some light on this. Then I can come for my second question just now.

M.V. Rao: Thank you. See, as far as reducing the gross NPA, we are relying on transferring certain accounts to the NARCL. Even if that is not going to materialize in the first half year, we have a plan to reduce to the extent that gross NPA will come down below 5.5%. That is the plan we have. Even NARCL, if it does not materialize also, we have the plans so that if it becomes below 5.5%, that is for the gross NPA. Because it is very much in our hands how we are going to deal with that because the entire 100% provisions are made. That is one part.

And coming to the second question, provisions where buffer is built up. There is an excellent question because this gives the actual big picture of the future of how a strong balance sheet is built up. If you see the total NPA provision that was made in March 23 is INR3,534. It has a contingent provision to the extent of INR1,533 crores. This, you can call it in any way you can take it, whether we made it for the COVID or non-COVID, but this is the provision we made it to make our balance sheet future proof. So that is a major chunk. And regarding standard assets also, there is a INR575 crores from certain accounts where we feel that it is required to be done because we have enough resources to buffer the provisions. That's why we did it in the standard also to the extent of INR575 crores. Both put together, it is almost INR2,100 crores that we have strengthened this balance sheet through this provision portfolio. Any other questions that were asked?

Ashok Ajmera: Yes, sir, there was a credit and recovery and on the credit front, what is our now target for the future, we have achieved a good credit front.

M.V. Rao: The advances growth at this time guidance we are giving 12% to 14%. That guidance, we will continue to hold it. Earlier also, we promised 13% to 15%, and we ended up with 14.79%. Now this time a range of 12% to 14%, we have given, and we will be achieving that. And overall, our credit book will be balanced with the RAM and corporate in the ratio of 65%, 35%, with plus or minus 5%. That's always a scope where we

are giving that leeway. That is on the credit side.

And the recovery. Recovery will continue to be a trust area for us. And now more focus will be shifted on to the recovery in the written off accounts, leeway recovery that has happened in the previous year, a big amount we could be able to realize in written-off accounts that will be Central Bank of India

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going to add to our bottom line. In this year also, our focus will be recovery in the written-off accounts.

Ashok Ajmera: Okay. Sir, my next question is on the treasury operations. I mean, irrespective of all the problems and the rate hike and everything, you have done well on the treasury front also. But if you just look at the segment wise profit. I mean there is a lot of variation. Treasury is okay. But in retail, there against the loss of INR552 crores in this quarter, it has gone to INR1,267 crores. Similarly, for wholesale, as against the profit of INR514 crores, it has gone to INR1,423 crores. So is there any reshuffling between the credit and wholesale portfolio or the - because of the provisioning, it has been affected with the figures.

Mukul Dandige: The contingency that we have built up mostly now is in retail that we have done the additional provision. So that is why the retail segment is showing a loss. Whereas in corporate, 2 things. One, lesser provision required. Secondly, the recovery in write-off has happened mostly in the corporate accounts.

Ashok Ajmera: Yes. All right, sir. So, on treasury front, sir, any like now the rates are lower I mean, the RBI has also taken a call. So, looking at some of the lag effects is still going to be there. So, what do we see going forward, the treasury profit, MTM as well as the trading profit?

Vivek Wahi: See Ajmera ji, this is Vivek Wahi. As far as MTM is concerned, with the recent tone of RBI, we do not really foresee any rising yields or any MTM risk in the ensuing quarter. Rather, we are expecting that in Q4, there should some rate cuts should start. So, we are hoping to get a

good amount of profits by way of reduction in yields getting softened to say 6.75 level. In fact, this is a good time for the treasury to build some duration. So, we are looking in that direction. Ashok Ajmera: All right, sir. And my last question in this round is on the capital raise. You got the approval of INR2,500 crores. What are our plans now? Though the share price is always again recovered but it's still on the equity dilution, I mean, by way of issuing the fresh equity, do you think that it is the right time even at this price also, where I think we are near to maybe book value or a little bit about that. You are really interested in going for FPO.

Mukul Dandige: The first and foremost thing is that we intend to go with the tier 2 bond issue. So with that last time, we had obtained the board approval for raising up to INR1,500 crores. Now, because the rates moved in an unfavorable way in the last few days of March, we did not go to the market. As it is if you see, we are comfortably, I mean, capitalized at 14.12%. So, within this INR1,500 crores or INR2,000 crores of Tier 2 capital, we should be somewhere in the range of 15.6% to 15.75%. Thereafter, we'll take a call on in which way we want to raise the further capital, if required.

Ashok Ajmera: All right sir, thank you very much sir. I'll come back again if time permits sir. Thank you very much sir and all the best sir.

Moderator: Thank you. Our next question comes from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulations to management and team Centralites. Sir, my first question is you've given a credit guidance of 12% to 14%, and you've also highlighted between corporate book and retail book. First is, you've also focused on gross NPA and net NPA numbers reduction. Where do you see margins on a

stable note for the next whole year, sir?

Mukul Dandige: Choksey ji NIM, we are very much sure that our NIM will be in excess of 3.5%, and there should not be any issue because we have a very good (more than) 50% CASA base. So that continues to be our focus area. And with the interest rates at a comparatively elevated level, our margins would continue to be better.

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Sushil Choksey: Okay. Now any great initiative not to cross sell as we have got the best sustainable CASA in banking industry over the last 5-6 years period. Any new trends which can emerge for increasing the number to 54%, 55% over a period of 2-3 years?

M.V. Rao: See, apart from our traditional stronghold, we are venturing into the new areas where we are eyeing for low-cost deposits, right at this moment, I do not want to divulge because it is in a nascent stage. But in this financial year, it will take full shape and we are going to reap the benefits. But our guidance will continue that our CASA will be more than 50%.

Sushil Choksey: Sir, based on the CASA and the strength which you have built over a period of last couple of years and the team has done a lot of efforts, how do you see our retail business growing, including the women housing scheme and many other products that we can launch or maybe gold loan or any other kind of products or development which would lead to retail forte, which Centralites would be known for.

M.V. Rao: Yes. In this, we will continue to hold our position as far as retail is concerned, wherever any changes that are required in the products, we are going to make it, and it will be a market competitive product that we will bring. And whatever the growth that we are envisaging on the retail side that we are confident of achieving. There is no issue because of the franchise, what we have and another stream what we have opened up through co-lending, both are doing well, and it will continue to do perform well now.

Sushil Choksey: Sir, why is our income tax effective rate so high this year? And what is the likely rate we should assume for next year?

Mukul Dandige: See, for income tax, there are so many things because we had brought forward losses of the previous years. Now that our business losses, we have started making profits. So, our business losses have started to go down. And that is why probably the effective tax rate is appearing higher because earlier, if you see due to the creation of DTA and other things, the effective tax rate was comparatively lesser going forward, effective tax rate, we can assume in the range of 26% - 27%.

Sushil Choksey: Sir, my next question is we are leading the pack, specifically in the public sector where the numbers are shared in co-lending. The initiative has worked well. The Ministry and RBI are also encouraging that. Can you highlight some points on the outstanding book? Any new products which we have launched in co-lending or what can be done over a period of next 1 or 2 years where retail engine would work along with the co-lending book and the retail products well?

M.V. Rao: On the co-lending side, we have created a separate vertical, where GM is heading. That is totally focusing on the co-lending partnership, collaboration, all these things that particular

vertical is focusing. So, coming to the co-lending already, we have tied up with 14 - 15 NBFCs for different products. And now this year, we will be focusing more on the niche products where we see that good margins are available and safety is also insured. Such type of products we will be focusing where any NBFC has strength in that niche area we will be ready to collaborate with them. This is how our plan will be for the co-lending.

Sushil Choksey: Sir, is it right that the number of advances, currently, we have almost INR5,500 crores, INR6,000 crores of advances under co-l

ending.

Mukul Dandige: Yes.

M.V. Rao: Yes. INR6,303 crores, precisely.

Sushil Choksey: How much, sir?

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M.V. Rao: INR6,303 crores.

Sushil Choksey: Congratulations on the numbers. Sir, Central Bank, human resources. You've taken a lot of initiatives in the last 24 months. Anything further, which we are doing to strengthen the bank's position?

M.V. Rao: The Bank's position now, already our consultants and our entire dedicated team are working on the transformation. It is transformation. It is not just on the digital front or also on the delivery channels. So, a lot of work is being done now. And probably in this financial year, by the third quarter, we will be realizing certain benefits out of this transformation project. So that is totally creating a bank within the bank the concept what I told you earlier, that entirely digital bank will be catering to the needs of our digital native and also catering to the people who are tech-savvy.

Sushil Choksey: So, what is the budget on digital this year?

M.V. Rao: This year, it is almost INR1,200 crores.

Sushil Choksey: Okay. Sir, my last question in the current round. Mr. Wahi highlighted on treasury, sir, congratulations on a stable number from treasury. And you, I think, gave an insight that you may see 6.75% on 10-year bonds by the year-end. Am I right, did I hear right, sir? And what's your view on the treasury profit?

Vivek Wahi: Yes, because we expect a rate cut in Q4. So definitely, yields are going to soften. And it can be even lower than 6.75%. As a result, AFS book will be profit as well as a part of some MTM book can also be in a big profit. So overall, this year, will be good for treasuries of all public-sector banks.

Sushil Choksey: Thank you and congratulations. Best wishes for year to come.

Moderator: Thank you. Our next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Yes, thank you for the opportunities and sir, congratulations on the good set of numbers. My question is on the demand side, how is the demand seen in the corporate segment? And how are the inquiries in corporate and the growth is coming from capex related or still working capital-led demand? And has been there and also sectors which are seeing good demand within corporates?

M.V. Rao: Madam, let me tell you the way we have planned the growth in our credit book, that is 35% is on the corporate side. Now, we have reached the stage where we are in a position to pick up the assets of our own choice. So, our choice will always be towards the capital light assets. So, in that front, if you see my CRW, that is credit risk-weighted assets on this one, it is 63%. So, the main contributor is from the corporate side. So, our focus on the corporate side will be on the lower risk-weighted assets, trading off with our lower rate of interest because we have that pricing forward due to the CASA.

Having said this, whatever the gap that's eminent because of the repayment or the targets what we have set in, we were very, very choosy in picking up the AAA rated companies. So, it's not that I will be waiting for any new company to come and ask our share in our working capital requirements, there may be more for the industry. My position is entirely different if you compare it with the other players in the industry as far as corporate finance is concerned.

And as far as the demand that is what is coming in just as inquiries, yes, there is from the infra side, there is a little bit demand that is coming, but we are that's what we say we are very choosy what type of assets we have to build up in our book. Focus will be on the credit risk

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weight. So, all the new infra, definitely, their risk weight will not be 20% or 30%. So that is

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he second priority for us to pick up such type of assets.

Jyoti Singh: Thank you sir for the explanation. Okay. And my next question is on the home loan traction side portfolio. Like how is the traction over the home loan portfolio? And like a rate transmission in that portfolio, like how much rate hike you have been able to pass on and demand scenario over tail?

M.V. Rao: One point my housing loan portfolio is INR38,790 crores, that is almost INR39,000 crores. And as far as the growth is concerned, it is almost Y-o-Y growth is 28%. So as far as your specific question of passing on the rates 1.75%, we have passed down, though there is an increase of 2.50%.

Jyoti Singh: Okay. And sir, a demand scenario over there?

M.V. Rao: Yes. That's why we have grown almost 28%.

Jyoti Singh: Okay. And what are the expectations going forward, sir, on that?

M.V. Rao: It will continue to be there. Demand will continue nothing adverse we are not seeing any flatness in the demand as far as the housing loan product in our bank is concerned.

Jyoti Singh: Great sir, thank you sir for the explanation.

Moderator: Thank you. Our next question comes from the line of Sohail Halai from Antique Stock Broking Limited. Please go ahead.

Sohail Halai: Sir, a couple of questions. One, in terms of contingency provisions you said that you have made contingent provision. Can you actually quantify that contingent provision made during the quarter and during the year?

M.V. Rao: Yes.

Mukul Dandige: During the year, I can tell you, INR1,530 crores roughly, we have built up. On a quarter-on-quarter basis, it will vary. However, I mean, you can easily take around INR350 crores to INR400 crores is built up over this quarter also.

Sohail Halai: Okay. So, this actually pertains to in terms of corporates you also said that probably you are looking at some amount of corporate stress, if I'm not wrong MSME or some of the mid-corporates?

M.V. Rao: It is likely possible to have mismatches in that cash flow, maybe because of various reasons. And also, we have to have a safe parking place for our amounts for parking. So, we thought it is better to park in these segments so that at least people, investors, analysts will appreciate the strength of our balance sheet.

Sohail Halai: Sure. So, I was just looking at the SMA-2 numbers, SMA numbers as well that you actually shared. So in terms of above INR5 crores, I see a very low number that is still. So probably in terms of stress are you in seeing that probably in terms of there is no corporate stress and you are talking more about from the SMA segment point of view?

M.V. Rao: As such corporate book, we are not seeing any such type of stress in general. That's why the SMA numbers are also very low on the corporate, that is above INR5 crores. It is miniscule that SMA 2, you have SMA-1, okay, that will get upgraded that's why our slippage ratio when you see quarter-to-quarter, it is substantially coming down.

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Sohail Halai: Right, And sir, a couple of comments in terms of the pricing of the corporate, we have probably in terms of one of the low cost of points and very adequate liquidity. The bond market was actually relatively low, but now how are you pricing the loans and whether that benefit is visible in the margins, sir?

M.V. Rao: See, our pricing is always reasonable as we take all the factors and how to raise these through the money market. Accordingly, we will price. And our price, definitely, will make the corporates feel comfortable in taking with us because of the lower rate that we always trade off.

Sohail Halai: Okay. And sir, final outlook in terms of the ROAs. So, we existingly have the ROA at 0.6%, and for the full year, it's closer to 0.4% and 0.45%. So probably, in terms of your expectation, what is the kind of an ROA that we can expect in

FY '24 and beyond? So, any broad range?

M.V. Rao: Yes, For the 2023-24, we have given the guidance of 0.75%, more than 0.75%, that is our guidance.

Sohail Halai: And in this guidance, sir, are you building in that next year too, you will continue to create some kind of a contingency buffer in your balance sheet? Or this is excluding that?

M.V. Rao: That call, we will decide only in Q3 because the way we've gone regarding our operating profit based on that, we will decide in what where we have to move. See, if things move well, the way we have planned, probably by Q2 next financial year, we may not find ways to park anywhere entire amount we have to show.

Sohail Halai : And sir, final question from my side. From the margin perspective, you had given a guidance of around 3% margin, you are ending up at somewhere around 4.25%. For next year, you have given a range of 3.25% to 3.5% where you mentioned that 3.5% is something that probably in terms of you are looking at, but is this number very conservative given the liquidity that we still have on the balance sheet? Or is it factoring in that possible rate cuts that would lead to margin compression. So, if you could just...

M.V. Rao: On both fronts, you are right. Because ample liquidity is there. And also, we are thinking that we are also expecting some rate cuts. And at the same time, earlier I told you we are going to trade off between the rate of interest and the quality of the assets. And then, that's why we are not giving beyond that. But this is a floor whatever we have mentioned in the guidance.

Sohail Halai : And sir, your focus is probably more in terms of the quality of assets. So probably in terms of excluding the contingent provisions, the credit cost you are running at around 40, 50 basis points, can one assume that number to be basically in terms of a steady state or a sustainable number? Because I think in your presentation, again, you have mentioned less than one, but with focus on strong asset quality or strong corporate, can the credit cost be much lower in FY '24?

M.V. Rao: Exactly. It will be below 1, because whatever the factors you have mentioned, yes, because of that only, we are projecting it will be less than 1.

Sohail Halai : Okay, sir thanks a lot and best of luck sir.

Moderator: Thank you. Our next question comes from the line of Akash Jain from Ajcon Global Services Limited. Please go ahead.

Akash Jain: Congratulations on a very good set of numbers. My question pertains to the subdued growth in the fee-based income, your outlook on it? And the second one is on NCLT regulation front?

M.V. Rao: First one is fee-based.

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Mukul Dandige: Fee-based income. If you see the overall fee-based income, we have registered a Y-o-Y growth of 25.40%.

Akash Jain: On Q-on-Q basis, it looks subdued. So, I just wanted to understand if corporate-related work is going down or what is happening on that front? Because our credit book is going strongly, but fee-based income is subdued on Q-on-Q basis.

Mukul Dandige: So actually if you see our overall fee-based income has gone up from INR1,425 to INR1,787.

If you see quarter-on-quarter, you are saying December 2022, we were INR464 and INR463.

So those numbers may appear as, I mean, comparable. But other factors, I mean, in fee-based income, I do have PSLC sale other receipts my recovery in write-off all these areas are there.

So, if you consider all these, I mean, factors, the overall growth is substantial. And we do not foresee any, I mean, reduction in these, in fee-based income or any of other service charges and other miscellaneous income.

Akash Jain: Thanks for clarification and also on the disbursement pipeline and underutilized limit as on day.

Vivek Wahi: We don't have any major numbers under this category.

M.V. Rao: Because of our focus on

on capital conservation, we ensured that whatever the line of credit we have given people have picked up. Wherever it is not used, we have canceled their limits, so that to save the capital on that. So, we do not have undrawn, except in term loans where partial drawdown that happens as per the stages. That will continue to be there.

Akash Jain: Okay. And your outlook for on the standard restructured advances, any slippages that we are expecting going forward as in the opening remarks, you have mentioned that we are providing for same provision for standard assets. So, any stress we are forcing in a restructured book also?

M.V. Rao: Not much. In the restructured book, it is quite stable now.

Akash Jain: And any problems in the MSME book?

M.V. Rao: Problem in?

Akash Jain: MSME book?

M.V. Rao: MSME book, I don't say it is 24 carats. It continues to be under 18 carats only, but we have enough grip on the collections. And also, wherever any stress is there, we are really going into the issue. If some help is required that we are providing. Otherwise, we are leaving the account to become NPA.

Akash Jain: Yes. And secondly, sir, on the cost-to-income ratio. So, in the most optimistic scenario, what can be the cost-to-income ratio going forward in the next 2 years' time.

Mukul Dandige: See, in the immediate future I mean, this current financial year, we estimate that the cost-to-income ratio will be in the range of around 53% to 55%. Going forward next financial year, it will come down below 50%.

Akash Jain: See. And sir, my final question is on NCLT resolution, your outlook on the same?
M.V. Rao: NCLT resolution, we are also receiving end only. If it happens it's okay. If it is not happening also, we have given you the guidance that we will be bringing down the gross NPA, the way we are planning.
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Akash Jain: So, sir, as you said, it would be around 5.5%. So will there be any write-off significant write-offs.

M.V. Rao: That is also one of the options that is there.

Akash Jain: Okay, thank you sir and all the best.

Moderator: Thank you. Our next question comes from the line of Ashok Ajmera from Ajcon Global Services Limited. Please go ahead.

Ashok Ajmera: Thank you for giving me the opportunity again. Sir, I have some small micro questions. We talked about PSLC sales, and we are getting a very handsome amount on that. So, is it our going to be the normal feature, like such a big amount can we consider continuously for the next year?

M.V. Rao: No, now definition of priority sector is being enhanced. So going forward, we don't expect much income from sales of PSLC.

Ashok Ajmera: So, any other income will replace this or there will be a fall?

M.V. Rao: Yes, there will be a basket of streams are there that we will explore because now a days new stream, what we are exploring almost it is coming to is providing some services to the cooperative banks through our treasury.

Ashok Ajmera: Okay. All right, sir. Now sir, this now PLI, your performance based, now it is becoming on accrual basis now earlier, it used to be very small last time. But now because of the accrual basis adoption, it has gone to INR104 crores, I think. And the way the bank is performing, how much do you approximately project this PLI for the 23, '24?

M.V. Rao: Wages will increase only to the extent of 10% to 11%. If I provided INR104 crores this year, I may do it INR115 crores next year.

Ashok Ajmera: Okay. And sir, some couple of small questions on like prudential framework resolution and stress assets, total outstanding of INR1,602 crores additional provision you have done up of INR251 crores, total provision now is INR1,117 crores. So, about INR600 crores, INR500 crores of gap is still there between outstanding and this. Do you think there is any need for this remaining amount to be provide

d or we expect to get much higher than the provision, I mean, the gap which we have.

M.V. Rao: We expect a reversal there, actually. But there is one avenue for parking the amounts.

Ashok Ajmera: Sir, similarly, on the implementation resolution plan of 10 accounts, there are also I think between export and outstanding about INR450 crores, this outstanding is now INR4349 crores, so there how much are we provided for?

Mukul Dandige: This is you are talking about RBI List 1.

Ashok Ajmera: Yes. That is 100%, I believe, isn't it?

Mukul Dandige: Yes, it is 100%. The remaining amount is only our FITL position which is also 100% provided for.

Ashok Ajmera: 1 and 2 are 100%, yes.

Mukul Dandige: Yes. So, it is 100%.

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Ashok Ajmera: All right, sir. So, one last thing on growth again, I'm sorry for repetition. Sir, this, our bank has deep penetrations it's a Pan-India bank and a bank which is a household name, Central Bank of India. But looking at our base, overall business base, it is comparatively still smaller than many of the peer public sector banks. So, there's a loud thinking that why can't we also think beyond the boundaries of just this 14%, 15% or can we not do something like Bank of Maharashtra, which has gone to 29% and now also they're projecting about 22.5%, 23%. And because of that, all the other numbers have become very, very attractive. I'm not exactly comparing the bank to bank. But is there any thought that we can go a little beyond this normal range?

M.V. Rao: Let me tell you, okay whatever the perception we have comparisons must be made with comparable ones. But having said this, let me tell you my customer base is INR8.1 crores, active customer basis INR5.89 crores. And to leverage my customer base for the higher business, what I require at this moment is the transformation on the technology front. Because

of the legacy issues, we could not embark on the transformational journey. But for the past 1.5 years, a lot of work we are doing and probably that's what I am sharing with you, from the third quarter onwards, our technology initiatives will start yielding the results.

Once I am strong on the technology, then I will go and connect with my whole customers and bring back the business as what we lost earlier. So, we are not focusing on the end numbers.

We are only focusing more on the efforts what we are going to do with the leveraged technology, what we have already started. So, this is a nutshell what I'm saying as a cut.

Ashok Ajmera: No, definitely, sir, you have done wonders sir, in the last 2 years, you've really done wonders all of you on all the fronts. And even on the technology when you are creating a bank within the bank and the kind of infrastructure which you are building, definitely will bring great results, and we have full faith in the bank. I'm just saying that, yes, we can leverage on this entire big customer base.

Thank you very much sir and all the best.

Moderator: Thank you.

M.V. Rao: I think we have come to an end.

Moderator: Yes. So, management members, there are no further questions. I now hand the conference over to the management for closing remarks.

M.V. Rao: Yes. As far as the closing remarks all the road map, what we have given, the way we have delivered our commitments for the previous year, this year also, whatever the guidance we have given, we'll continue to deliver. And going forward, definitely, you will see this bank as a force in the industry. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Central Office
CO:IRD:2023:24 :184 21st July, 2023

We enclosed herewith transcript of Conference/Earnings call hosted by Bank with the Analysts on 17th July, 2023 on Financial Results of the Bank for the Quarter ended 30th June, 2023 . The same is also being made available on the Bank's website under the following web link: <https://www.centralbankofindia.co.in/sites/default/files/central%20bank%20of%20india%201qfy24%20concall%20transcript%2030062023.pdf> This information is furnished in terms of Regulation 46(2) (oa) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Encl – A/a

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Scrip Code – 532885
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“Central Bank of India
Q1 FY '24 Earnings Conference Call”
July 17, 2023

MANAGEMENT : MR. M.V. RAO – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL BANK OF INDIA
MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL
BANK OF INDIA
MR. M V MURALI KRISHNA – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA
MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER –
CENTRAL BANK OF INDIA

MODERATOR : MR. RAJU BARN AWAL – ANTIQUE STOCK BROKING
LIMITED
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Moderator: Ladies and gentlemen, good day and welcome to Central Bank of India Q1 FY „24 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Raju Barnawal. Thank you, and over to you, sir.
Raju Barnawal: Thank you, Aman. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to the Central Bank of India Q1 FY „24 Earnings Conference Call. And I thank the management for providing this opportunity to host a call. From the senior management side, today we have with us Mr. M. V. Rao, MD and CEO, Mr. Vivek Wahi, Executive Director, Mr. M. V. Murali Krishna, Executive Director, and Mr. Mukul Dandige, Chief Financial Officer.
So now without further delay I hand over the call to MD sir for his opening remarks post which we will have a Q&A session. Thank you and over to you sir.
M. V. Rao: Yes thank you and good afternoon to all the participants. And let me thank wholeheartedly for your time investing in our analysis part. I will give the brief highlights of our performance for this June quarter. And detailed financial presentation will be done by our CFO. Coming to the highlights, let me share the happy news that this is the ninth straight quarter where banks have record

ed the net profit , and this net profit has jumped by 77.87%. Now , it stands at INR418 crores, compared with June „22 amount of INR 235 crores.
And coming to the gross NPA which was 14.90 % now it has come down to 4.95 %. So net NPA stands at 1.75% and then provision coverage ratio now stands at 92.23 % and operating profit grew by 50.53% now stands at INR1,838 crores . Net interest income, NII, increased by 48% now at INR 3,176 crores. NIM improved to 3.62 %, showing a growth of 74 bp s and return on assets, there is an improvement of 16 basis points, now stands at 0.43%. Return on equity is 1.63 % vis-a-vis 0.98% of financial year '22. And CRAR that Capital Risk Asset Ratio has improved to 14.42%.
Coming to the other ratios, like yield on advances, now it stands at 8.29%, which is 195 basis points higher than the previous June '22, which was at 6.34%. And the yield on investments is at 6.50 %, which is 37 basis points more than the previous June „22. Cost of funds slightly increased because of the increase in the rate of interest in all the deposits. Now it stands at 4.42 %.
Cost of deposit is okay. Coming to the NIM, now it stands at 3.62 %, which is 74 basis points more than the June „22, which was at 2.88 %. And coming to the credit cost, now it stands at 0.45. And in the previous June „22, it was 1.78%. Coming to the ROA, already I told you it is at 0.43%. These are all the financial highlights and regarding the details, anyhow we have uploaded our presentation in the website, probably you
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must have gone through, but anyhow our CFO will explain with little bit details. Thank you.

Mukul Dandige: So, the total interest income has improved by 30.75% on a Y-o-Y basis and it stands at INR 7,225 crores. The total interest expenses have gone up by 19.65% at INR 4,049 crores and in net interest income as MD sir said it has registered an increase of 48.27% and it stands at INR3,176 crores now. The operating profit which is a significant part has improved by 50.53% and it stands at INR1,838 crores and the net profit improved by INR77.87 crores and it stands at INR418 crores as compared to INR235 crores for the June 22 quarter.

The fee-based income has remained more or less the same at INR401 crores compared to INR406 crores for the previous quarter. The major part of fee-based income is our service charges which is at INR276 crores, the treasury income which is at INR282 crores. Then the expenses part, if we come to the interest, expenses have moved to INR4,049 crores registering an increase of 19.65% and the interest paid on deposits which is the major component has registered an increase of 20.07% and it is at INR3,930 crores.

The operating expenses have increased by 31.11% at INR2,297 crores. Major portion of that is the staff cost, which is now at INR1,490 crores registering an increase of 31.98%. As far as the provisions and contingencies is concerned, the provision made for NPAs is INR244 crores which is lower by 70.39% on a Y-o-Y basis. The standard asset provision has increased to INR632 crores from a write-back of INR38 crores. The tax outgo has increased to INR607 crores compared to INR73 crores during the same period last financial year. So the total provisions are at INR1,420 crores. The asset quality as I mentioned, the gross NPA has moved from 14.90% to 4.95% and the net NPA has moved from 3.93% to 1.75%. In absolute terms also the net NPA amount has come down from INR6,785 crores to INR3,718 crores.

If we see the sector-wise NPA, there also there is substantial improvement during this quarter and the net NPA in total net NPA is 1.75% with retail at 0.74%, agriculture and allied at 4.58, MSME at 3.13 and the corporate and others at 0.38%. The capital adequacy ratio is at 14.42% compared to 13.33% in June '22, wherein the CET has improved from 11.41% to 12.13% now. And similarly

, the leverage ratio has improved from 4.32% to 4.94%. This is after reckoning the net present value of the recapitalization bonds which the government of India has issued. Thereafter, the business performance if we see, the special mention accounts, above INR5 crores book, the outstanding was at INR1,200 crores in June '22. That has gone up to INR2,750 crores in June 23 because of one major account under corporate category where it has come under stress.

Thereafter, if we see the business performance, our total business has improved by 8.55% and stands at INR5,83,261 crores. The deposits have shown an improvement of 6.05% and stand at INR3,63,398 crores. CASA grew at 3.17% and has crossed Central Bank of India July 17, 2023

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INR1,80,000 crores mark. And the total advances growth was 12.95% and the total advances stand at INR2,19,863 crores.

RAM, which constitutes almost 66% of our total advances, has grown by 13.15% and it stands at INR1,44,477 crores. Within deposits, the total constitution is current has slightly de-grown by 2.76%, savings has grown by 3.81% and the core time deposits have grown by 9.07%. The retail, which is one of the focus areas of the bank, has grown at 17.11%. MSME has grown at 15.46% and agriculture has grown at 5.51%. So that comprises, I mean that constitutes the total growth in advances at 12.95%.

The credit risk-weighted assets also have remained more or less the same and we continue to be under 65% of credit risk-weighted assets to total gross advances ratio. The bank has got a very diversified loan book with risks spread across various sectors, housing loan, auto, personal loan and education loan comprising the total retail book of INR63,641 crores. Agriculture comprises INR40,812 crores which is 19% of the book. MSME is INR40,024 crores, which is 18% of the book and corporate credit is INR75,386 crores, which is roughly about 34% of the total book.

The total composition of the retail book is home loan constitutes almost 62% of our total retail portfolio and the growth in home loan was 24.37%. Auto loan is 5%, roughly, of the total loan book. The growth was 2.65%. Education loan, we have done a lot of education loan for the elite institutions of IITs and IIMs and the growth there

was 8.04%. The personal loan segment, because of a very low base, has shown a good improvement now at 26.70% and it constitutes only 5.96% of the total retail advances.

Rated standard advances, as the bank has got a policy of, I mean, because of the advantage in CASA that we are enjoying, so we have that luxury of getting good rated corporate accounts. So we have continued that journey and AAA, AA and A rated advances have shown an increase in the total rated advances book. Out of INR78,094 crores worth of eligible accounts and rated accounts, INR66,423 crores comprises of BBB and above rated books.

The sanctions and disbursements under normal and also co-lending have shown a very good uptick and our co-lending book where we had the first mover advantage, we still continue to hold on to that advantage and the co-lending book has touched INR7,178.50 crores as of 30 June, 2023. We have achieved all the mandated targets under the priority sector and not only achieved, we have surpassed those targets.

As far as the other important ratios are concerned, the provision coverage ratio is at 92.23%. Our net interest margin as MD sir has told it is at 3.62% for the current financial year this current quarter. So those were the other highlights of our performance.

Now I request for any of the questions. We are open for the questions. Investment book, because it comprises almost INR1,43,500 crores of our book, so investment book has remained almost same, but it is very -very well spread out and government Central Bank of India

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securities are at INR1,06,125 crores, the debentures and bonds

are at INR31,009

crores and the others are at INR2,819 crores. If we see the yield on investment has shown an uptick at 6.50% and the yield on investment if we include the trading profit it has crossed 6.81%. All this keeping the M duration under check at 1.93%, whereas the 10-year benchmark yield is at 7.11%.

I will also tell you about the distribution across HTM, AFS and HFT of the Treasury book. So under HTM we have almost 74.05% of the total book at INR 104712 crores. AFS is INR36,431 crores at 25.76% and held for trading is only INR261 crores. This was June, 22. Vis-a-vis if we see now in June, 23, out of INR1,43,500 crores, the HTM book is INR1,06,097 crores, which is almost 74%. AFS book is 25.73% at INR36,924 crores and HFT is INR479 crores, which is 0.33% only.

The modified duration if you see during this financial, I mean, comparable period, now that modified duration stands at 1.93 % and the modified duration only for the SLR portfolio is also at 1.62 % only.

That is all I had to say. Now we are open for any questions that analysts may be having. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer-session. The first question is in the line of Ashok Ajmera from Ajcon Global Services Limited. Please go ahead.

Ashok Ajmera: Thank you for giving me this opportunity. Before I start, let me congratulate Mr. Mukul Dandige for having his name having been cleared to be appointed as the Executive Director. Compliments to you, sir. And compliments to Mr. Rao and the entire team for a very good set of numbers. If you compare the numbers with the corresponding figures, because in the last one year also the bank has really performed very well. Having said that, on this particular quarter, on the June quarter, sir, I have got certain observations and some questions and some few clarifications. One is that our, we have done a major write-off in this quarter, in fact, of a huge amount of almost about INR8,000 crores, against INR9,500 crores of the entire year last year. So one was the strategy and the, I mean, what is the planning went behind it and what is the reason? Of course, it's a very good thing that we have come, our gross NPA has come below 5% for the first time after so many years.

Secondly, on net advances, I'm talking mainly on the quarter, sequential. I have gone up to INR2,12,690 crores, against INR 202984 crores. So about, almost about INR10,000 crores or INR9,500 crores increase, increment in the net advances. Where has this come from? I mean, in which sector. And again, if you can give some color on that.

And third thing is on the HMA book for this quarter. I think, the book has gone a little bit deteriorated, if you compare with the last quarter. You know, above INR5 crores, it has gone up to INR2,750 crores. And in fact, SMA2 has gone up to INR180 crores

against INR40 crores only. Similarly, below INR5 crores, it has gone to INR3,581 crores, against only INR267 crores. And if you check these, here also the SMA2 I'm talking about mainly. SMA1 of course has come down, but what about SMA0, SMA2, and overall. So what do you read in it? I mean, are there more delinquencies? What is the future? I mean, coming in the coming quarter, what are we going to see? Are we going to see some pressure on that?

And other one is on the income front. We have done well on the profit before tax, INR1,025 crores, as compared to INR903 crores in the last quarter, but because of the higher tax provision of INR606 crores, against INR332 crores, so this INR606 crores on a profit of, I mean, is there any other element other than the direct tax and whether the tax is payable or the DTA is, all those adjustments are taken care of. So net amount payable is maybe less or something. So on the tax front, if you can just highlight, I have got a couple of more questions also

on the investment book, but then

I'll come later once you please give the answers to this question. Thank you.

Management: Mukul, give the clarification on the tax issue.

Mukul Dandige: Tax part, sir, I can clear. If you see, sir, the provisions majorly have gone up on standard assets, where I do not create any DTA. So because of that, the tax outgo has been there. So that is why it appears that the effective tax rate is almost like 69%. So because on standard asset also, I have to create I mean, tax outgo will be there at 34.599%. INR632 crores, that provision is made on the standard asset. Right, standard asset which we provisioned, we do not create any DTA.

M. V. Rao: And Ajmera, sir, regarding this SMA account, your observation was very much in the right perspective. Just I would like to give the clarification. This is the bank where we give the entire SMA book that gives the above INR5 crores and below INR5 crores put together. It is not just above INR5 crores we give. It is the entire SMA book we provide to all our investors because to maintain the transparency and to have a clear insights of the SME. Having said that, regarding the above INR5 crores, there is an increase that you what you observed. It is just because of one big account of the aviation industry that has come into the SMA 0.

Ashok Ajmera: Go Air?

M. V. Rao: I do not want to give the name that what you are saying must be in the similar line, Okay. Because of one account that has gone up above INR5 crores, we have enough buffers in that, which we have given to stock exchanges when this item came up in the newspapers just two and a half months. And coming to the up to INR5 crores, there is an increase. In that increase also, when we have analysed, the majority is from the GECL book. Actually, when we have seen the GECL, total sanctions what we have in the GECL is around INR6,900 crores and right now outstanding is only INR2,932 crores in which total SMA book in this GECL is INR1,257 crores.

So this is the actual SMA granularity part, where that spurt is there in the up to INR5 crores bracket. This is the SMA analysis and to give the confidence to all my

participants here, let me make it clear that, our slippage ratio is 0.53 % and going forward also, we have the full grip on the regularization of these accounts. Even if something extreme happens, because GECL book is completely protected in terms of the coverage, guarantee coverage that is available, but this is not the point for complacency for the bank, but recovery efforts will continue.

And our endeavour at that point of time is to ensure that, these units starts working and they continue to work. If something happens, it comes into NPA that recovery measures will continue. This is a limited submission, if something extra the details required, we are ready to provide. Thank you.

Ashok Ajmera: Sir, on the credit terms, the net advance has increased by INR9,706 crores. That was my first question. What is the component of that segment?

Mukul Dandige: Ajmera, sir, in retail advances, if you see, retail there is a growth of 17.11%, MSME there is a growth of 15.46%, and agriculture there is a growth of 5.51% corporate has grown by 12.58%.

Ashok Ajmera: I am talking only for this quarter, sir. Sir, main growth, in net advances which is

INR2,12,69 0 crores versus INR2,02,984 crores, where has this come from, which segments and where?

Mukul Dandi ge: See, net advances basically, sir, because of the technical write-off also, because the provision held in earlier quarter was comparatively higher. So the net advance was comparatively lower. Now this time around because of this technical write-off of INR7,804, crore the net advances have increased.

M. V. Rao: You want the details of this INR9,800 crores? What do you want?

Ashok Ajmera: What point I'm deriving is that, in

this quarter, the advance is then in that case, real advance real credit is maybe 0.5% or 0.6%, isn't it?

M. V. Rao: No, it is reverse, sir. Actually whatever the increase that you are seeing from March to June, add the technical write-off also to that, the actual increase in advances will cross the 16% to 17%.

Ashok Ajmera: So that's what, only I'm saying, sir, that if it is a real credit in this quarter, where has it come from?

M. V. Rao: You want the retail, how much disbursement and sanctions done in this quarter? Yes, we will give you the details.

Ashok Ajmera: Because it is net to net.

M. V. Rao: Yes, we understand.

Ashok Ajmera: The gross I can understand, because of the technical write-off. That is what I was going to say. Anyway, sir, I will pass this question. I will take it offline. Then my Central Bank of India

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question is on, sir, another one is on co-lending. Co-lending, we have performed very well. And our book is now more than INR7,700 crores. Can you give some color on that, sir? What kind of yield are we getting? What is the slippage or NPAs situation there? Is there any particular problem in some of the accounts or some places?

M. V. Rao: Let me tell you, sir. In co-lending, we have the total outstanding of INR7,178 crores. In this, SMA is around INR218 crores. And actual NPA, what has slipped is INR2.79 crores. It comes in to decimals only. I cannot put it in percentage because out of INR7,178 crores, it is only a fraction that has gone into the NPA and a very small amount less than 1% will be under total SMA.

Ashok Ajmera: That is greatly commendable, sir.

Moderator: Mr. Ajmera. Sorry to interrupt you. Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Sir, congratulations to Central Bank team for a very sustainable result and very growth oriented outlook for the year on the guidance side. Sir, my first question, I'll take it from Mr. Ajmera, where he left. You've done remarkably well, where co-lending is concerned on INR7,000 crores. Can you just break up, what sectors is it more on housing or MSME or what is it starting with?

M. V. Rao: Maximum is in housing and in that, it constitutes around INR4,600 crores and followed by the MSME, it is INR2,552 crores.

Sushil Choksey: Sir, seeing our book at INR39,000 crores on housing currently and where our MCLR stands, do you foresee that, our net advances on the annual basis in FY '24, almost 25% of our advances or almost nearing 27% to 30% will be housing loans in the book?

M. V. Rao: Yes, it should be in a similar way. See, one thing, sir, what we are doing here is consciously, we are maintaining the balance of 65%, 35%. I'm explaining this 65%, and 35% part. Even in that 65% RAM segment, retail, agriculture, MSME, almost it contributes 30%. Another 30%, remaining is 40%. So in that similar proportion, whatever the disbursement we are making, we are consciously seeing that, growth should be in such a way that, this broader ratio should not get disturbed. In that way, we are acting. And coming to the nitty-gritties of exact housing, your observation will be right, that we will be reaching a growth of 25% to 27% in housing.

Sushil Choksey: My next question is more on treasury outlook. Mr. Wahi last year had forecasted very well and we were the first of the block among all the banks, whether it was private or public on forecasting. What's the outlook of the bank and Mr. Wahi on the quarter and the year to come by on treasury?

Vivek Wahi: See, treasury forecast more or less continues to hold, what I had expressed in the quarter of March. There could be a minuscule rate hike possible in Indian tax. In US economy, of course, we are eyeing at least one or two hikes but almost Indian bond Central Bank of India

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market again 7.25% continues to be a top-ish level. Presently, it is 7.10%. So from Q4 or now of course, it is a dynamic situation. From Q4, we are seeing some reduction in the duration as well as we also, that is why, we are building a little bit on our duration book also. So this is our forecast and we are still holding on to that.

Sushil Choksey: Sir, couple of questions I'm combining. One is what is outstanding sanction limit? Second thing what's the outlook on subsidiaries I see a great profit achieved in all the Grameen Bank and some of the subsidiaries. And third is, do you estimate our advances growth much higher than the system because based on our CASA matching advances, we have much higher and better potential on a sustainable CASA to garner at least retail advances higher than the system?

M. V. Rao: Sir, as far as growth in the advances, we will be very, very conscious. We will never put the accelerator on that, never be aggressive. Having said that, since our CD ratio is 60 %, and to achieve a reasonable bottom line we should reach at 70 %. But whatever forecast we have given for the March „24 will be, we will be reacting around 66% to 67%. So, in the similar way our activity will be there.

Sushil Choksey: But will it be led by retail or it will be led corporate

M. V. Rao: 65-35 that's what I am saying because my bigger picture always remains the same on the credit books. So, whatever the percentage that is required accordingly we will tweak and we will accelerate our activities in that particular direction.

Sushil Choksey: The brand, Central Bank is attracting a lot on RAM and specifically on retail and including co-lending, so that was the question pertaining to that?

M. V. Rao: Yes.

Sushil Choksey: Sir, before too many questions come on the airline accounts, how much of provision and assets we have as security, I understand that there is not going to be any liability on the bank where this account on provisions are required, I mean provisions may be required, but NPA is not likely to happen in absolute terms?

M. V. Rao: See, in absolute terms almost we are holding 67% of the provisions. So, we are not much worried on this account because we have already built up the enough buffers for the extreme scenario.

Sushil Choksey: But is my understanding right that we hold sufficient assets where other than the airline in terms of guarantee, personal guarantee and others to back the loan program which we have originated for the...

M. V. Rao: Yes, I think in the entire industry this is the account where we have good collaterals.

Sushil Choksey: Sir, on the subsidiary you didn't answer the profitability aspect?

M. V. Rao: Just a minute subsidiary both are profit making. Both the RRBs are profit making. What is that specifically you want on the RRBs?

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Sushil Choksey: Is the profit sustainable because that can add to...

M. V. Rao: Yes, it is sustainable because these two RRBs already they have presented to us three year roadmap for their turnaround and already one year is over and they are on the same track. And wherever any support is required our bank is also providing handholding for them. So, they are on track and they are showing the profits and whatever the liabilities that were there regarding the pension liabilities as per the Supreme Court that is also fully provided for. Now there is no amortization or anything in that book.

Sushil Choksey: So, our share of profit based on the numbers provided is sustainable for the year, that's what you assume?

M. V. Rao: Yes, correct.

Sushil Choksey: Sir, my last question on the government holding. I think we've reached a state that we may be taking a little positive flight on the much faster than the system. What is your outlook on the holding patterns?

M. V. Rao: That is, let me not divulge the things which right now

under discussion with the

government. Let us wait for some more time.

Moderator: Mr. Choksey, may I request you to join the queue for any follow-up as we have several participants waiting for their turn. The next question is from the line of Drashti from Thingwise Wealth Managers. Please go ahead. It seems as there is no response from the current participants. Hence, we will move to the next question that is from the

line of Akash Jain from Ajcon Global Services Limited. Please go ahead.

Akash Jain: Congratulations, sir, on a good set of number. My question pertains on the outlook on credit cost. What is the outlook for the credit cost for FY „24 and what is the recovery target from return of accounts?

M. V. Rao: As far as the credit cost for the FY „24 is below one, that is the guidance we have given and we will continue to hold on to that.

Akash Jain: Okay. And with cost to income ratio also going down right now the ROE is at a subdued level, so what is our expectation in terms of improvement in ROE?

Mukul Dandige: See, the ROE last time -- last financial year the ROE was at 6.42%. So, we expect that this time around it should be in the range of 7% to 8% minimum.

Akash Jain: Okay. And target for recovery from written -off accounts?

M. V. Rao: See, written -off accounts, let me tell you, major chunk of written -off that is what I'm saying is a technical write -off. It is not the regular write -off. Regular write -off, it will be only a miniscule part that comes and whereas in the technical write -off, unless until there is some resolution whether if accounts are taken by the NARCL or some

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resolution happens in the NCLT then we will have some kind of positive movement in the recovery.

As far as March „23 earlier we had INR1,200 crores in this segment. Let us wait for the developments what is going to happen, because in the June quarter we had only INR190 crores till now. Unless and until major chunk, accounts resolution happens, so we can't expect anything in this TWO accounts.

Akash Jain: Okay. , thank you, sir. That is all from my side.

Moderator: Thank you. Next question is a follow -up question from the line of Ashok Ajmera from Ajcon Global Services. Please go ahead.

Ashok Ajmera: Yes,. Sir, a little more dwelling on that airline account only, GoAir account only. Sir, I believe that our total exposure including fund -based, non -fund-based altogether is around, in the range of around INR2,000 crores. Now our provisions are also you said is sufficiently provided for 60%, -65%. But what is my question is that provision is one thing I mean which is an accounting things, but actually if something goes wrong, how much out of this INR2,000 crores our bank will be because Bank of Baroda is also there. They also got substantial exposure lesser than us?

M. V. Rao: Let me give you the figure, sir. It is almost INR1,930 crores that is the total amount exposure, of which almost INR620 crores is guaranteed by the government under GECL. So, our actual exposure comes to INR1,400 and against which already we are holding around INR800 crores provision. And whatever the collateral we have, we are sufficiently secured and we are not seeing any type of haircut or loss even in the extreme situation. Having said this, let us be aware that this company is admitted under Section 10 of the IBC, not for the insolvency or bankruptcy purpose.

It is as if to preserve and then to take up the operations once again. So, in this direction it got admitted and then necessary inspections that is also happening from the DGCA. And there is some positive movement in the arbitration, final arbitration at the Singapore arbitration also. So, in all possibility, we are optimistic as far as this particular company activities are concerned.

Ashok Ajmera: Sir, thanks a lot sir, for giving a great insight. In fact, that

gives a lot of comfort. And

you are always very transparent and because this was one major account which suddenly came up like otherwise even our profitability and bottom line also would have been much better than because of this provision, it has affected the basic targets which we were making, .

But anyway, my second question which I couldn't ask in the last time is on the overall treasury, of course, a little bit explanation has been given about the treasury book and the modified duration period. But just going forward with this, I think yield is around 7.11% and our modified duration is 1.93 % or 1.75% in some the thing and we have our comfortable AFS book and very small book for the sale. So, what is the future

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outlook on treasury now going forward because our rates are almost stable here. In U.S., still some pain is there. So, considering that...

M. V. Rao: Let me tell you, sir, our philosophy for our treasury is very simple. When we have seen our credit book and investment book the principle on which we are operating is, let us not have any losses from the treasury books and we don't expect profits at all so, we expect only reasonable return for the amounts what is being invested in my investment book.

Ashok Ajmera: No, that's a very good especially in these times. It's a very good strategy which you are adopting and of course even the treasury income is also quarter-on-quarter is becoming good only as against INR128 crores this side treasury income was INR282 crores. So, definitely, and thanks for giving your perspective on that. Having said that, sir, I just want to know the overall restructured book including the GECL and how much percentage, as per our experience we feel or we think can be slipped?

M. V. Rao: See, total restructured book what we have is INR6,400 crores of which a standard restructured book is INR 4,400 Crores standard – this is all standard, COVID is INR 4,447 Crores and in this what will be the slippage as you are concerned. We do not have much bifurcated issues except we capture them under the SMA accounts only because in this SMA we have the restructured book stressed accounts and also GECL stressed accounts also. So, SMA slide will give you the right picture rather than the slides if you see of the restructured book or GECL books because these are all the standalone slides. It is given just for the information for the analyst.

Ashok Ajmera: Sir, so this SMA 0 above INR5 crores INR 1,773 crores versus INR 253 crores. So, out of that INR1,773 crores, how much is that airline, this quarter it is around about INR500 crores, INR700 crores, INR1,000 crores. How much is SMA 0 because I believe this airline account is only in SMA 0 only?

M. V. Rao: See. It is almost INR1,300 crores airlines out of INR1,773 Crores

Ashok Ajmera: Do you think now it will slip to SMA 1 and then SMA 2?

M. V. Rao: Yes, See, in the March quarter itself, we have cushioned foreseeing some type of stress in this.

Ashok Ajmera: All right, sir. Thanks a lot, sir, for giving great insight into the bank operations and for the future guidance. I wish you all the very best, sir.

M. V. Rao: Thank you very much.

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

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Narendra: Congratulations on a good set of numbers. I just wanted to know if you could shed some light on the loan book growth for the year FY '24 and also NIM targets that you might have for the whole year?

M. V. Rao: For the credit guidance what we have given is 14% for the FY 2023-2024 and definitely we will be reaching that you can take it as a floor level 14 %.

Narendra: So, there's a chance to improve that too, right?

M. V. Rao: Yes there is a chance.

Narendra: And the NIM?

M. V. Rao: The NIM already pr

vious year also we have given floor, we have given the three and we will continue to hold on to the three and over and above because of some of the things one of incomes also comes in between. But with the core operations, we always say we will be above three.

Narendra: Okay, Thank you so much. All the best.

M. V. Rao: Thank you.

Moderator: Thank you. The next question is from the line of Rushil Dedhia from Antique Stock Broking. Please go ahead.

Rushil Dedhia: Sir, I wanted to ask you, so on NIM decline for the quarter was high by 1,500 bps which was led by a sharp increase in the cost of the deposits, right? And there was also a fall on the yield side as well. So, what percentage of the deposit book on the bank is yet to be repriced and also what is your outlook on the NIM going forward?

M. V. Rao: See as far as the NIM is concerned vis-a-vis cost of deposits. This is only if you exclude the one-off item there is a one basis point difference on the March 23 to June 23. Why I am saying March 23 to June 23 instead of taking June 22 is, that is the lag effect that what we had on the rate increase in the advances and then subsequent increase in the deposit rates.

The deposit rate effect comes after a lag. So having said this, this point, one basis point, that is the difference what we have in the NIM. But as far as our guidance goes, we always say that we will continue to be above the floor level of three that we are

going to maintain. As far as the cost of deposit that increase, definitely in the market the way rates are being increased.

Though, we do not have that much of necessity and also having a liquidity of almost INR35,000 crores to be in the market and protect our turf, we have increased our term deposits, that's why growth is around 8%. So, I think in the next nine months, this is going to stabilize in a similar way, and we are going to protect our NIMs the way guidance what we have given.

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Rushil Dedhia: Okay, sir. Thank you.

M. V. Rao: Thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing comments. Thank you and over to you.

M. V. Rao: Yes, thank you for all the arrangements, what you people have did for this conference.

And I thank you all the participants for investing their time. And once again, I assure you that the bank is on the sound footing. And then whatever the guidance we are giving that we are sticking to that and we will continue to excel in the area. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Antique Stock Broking Limited, that concludes today's call. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2023

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www.centralbankofindia.co.in
CO:IRD:2023 -24:307 26th October, 2023

Madam/Dear Sir,

Sub: Disclosure under Regulation 30 and Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015 -Transcript of Bank's Conference/Earnings call with the Analysts /Institutional Investors .

We enclosed herewith transcript of Conference/Earnings call hosted by Bank with the Analysts /Institutional Investors on 21st October , 2023 on Financial Results of the Bank for the Second Quarter and Half Year ended 30th September, 2023 .

The same is also being made available on the Bank's website under the following web link:
https://www.centralbankofindia.co.in/sites/default/files/antique-centralbank-21oct-2023_.pdf
This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 of the SEBI (LODR) Regulations, 2015.
Please take the above on your record.

Thanking you,

Yours faithfully,

For CENTRAL BANK OF INDIA

CHANDRAKANT BHAGWAT
Company Secretary & Compliance Officer

Encl- A/a National Stock Exchange of India Limited
Exchange Plaza,
Plot No.C/1, 'G' Block
Bandra -Kurla Complex
Bandra (E), Mumbai -400 051
Symbol – CENTRALBK BSE Ltd .
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai 400001
Scrip Code – 532885

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"Central Bank of India
Q2 FY2024 Conference Call "

October 21, 2023

ANALYST : MR. PRABAL GANDHI - ANTIQUE STOCK BROKING

MANAGEMENT : SHRI M.V. RAO – MANAGING DIRECTOR & CHIEF

EXECUTIVE OFFICER – CENTRAL BANK OF INDIA

MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL BANK OF INDIA

MR. M. V. MURALI KRISHNA – EXECUTIVE DIRECTOR – CENTRAL BANK OF INDIA

MR. MAHENDRA DOHARE – EXECUTIVE DIRECTOR – CENTRAL BANK OF INDIA

MR. MUKUL N. DANDIGE – CHIEF FINANCIAL OFFICER – CENTRAL BANK OF INDIA

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Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to Central Bank of India Q2 FY2024 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Limited. Thank you and over to you, Sir!

Raju Barnawal: Good morning everyone. On behalf of Antique Stock Broking, I welcome you all to the Central Bank of India Q2 FY2024 earnings conference call. From the management side, we have with us today Mr. M. V. Rao, MD and CEO, Mr. Vivek Wahi, Executive Director, Mr. M. V. Murali Krishna, Executive Director, Mr. Mahendra Dohare, Executive Director, and Mr. Mukul N. Dandige, Chief Financial Officer. Now I will hand over the call to the MD Sir for his opening remarks post which we will have question and answer session. Thank you and over to you Sir.

M. V. Rao: Thank you. A very good morning to all of you. First of all let me thank for sparing your time during this festive days. Coming to the Central Bank's performance, let me highlight the two milestones which are very important for us. One is b

ank has crossed the total business of Rs.6

lakh Crores during this September quarter and then we have recorded highest ever net profit in a quarter that is Rs.605 Crores that is the two milestones what we have achieved and coming to the overall results, I will give you a brief highlights about the results and nitty gritty will be shared by our CFO, Mr. Mukul Dandige. Coming to the highlights, bank's business has grown by 11.51% that is we have reached a level of Rs.6.02 lakh Crores and total deposits grew by 8.21% now stands at Rs.3.71 Lakh Crores and gross advances has increased by 17.26%. It stands at Rs.2.31 Lakh Crores. Cost deposit ratio now it has inched up to 62.43% of Y-o-Y if you see that was 57.64% in September 2022. Gross NPA there is a noticeable decrease from 9.67% to 4.62% and then net NPA has come down from 2.95% to 1.64%. Provision coverage ratio also improved, now it stands at 92.54% and as I told you the important milestone, the net profit has recorded Rs.605 Crores if you compare with the earliest Q2 of FY2023 that is Rs.318 Crores and then net interest income has increased by 10.23% that is Rs.3028 Crores. Net interest margin it is 3.43% as against 3.41% of Q2 of FY2023 and return on assets has increased to 0.62% and then return on equity is 2.31% and our CRAR has improved to 14.82% when you compared with the previous of 12.14% and net profit that is Rs.605 Crores. That has increased by 90%. Operating profit is reduced by 12.47% on Y-o-Y basis. Net interest income grew by 10.23%. Total income has improved by 19.07%. Return on assets improved by 0.62%. These are all the broad highlights which I have shared with you and now for the details our CFO will make a presentation.

Mukul N. Dandige: Thank you sir and good morning everyone. MD Sir has given you a brief overview of the major financials. I will give you the other details of the financials. The total interest income of the bank has improved by 19.43% on a Y-o-Y basis and 1.74% on Q-o-Q basis. The net interest income has also grown by 10.23% on Y-o-Y basis and it stands at Rs.3028 Crores as on September 23 quarter. The total income has grown by 19.07% and stands at Rs.8,412 Crores. On a Q-o-Q basis also there is an increase of 2.79%. The total expenses have increased by 29.43% on Y-o-Y basis

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Page 3 of 15 and 8.45% on Q-o-Q basis and stand at Rs.6882 Crores. The operating profit was at Rs.1530 Crores for September 2023 and the provisions and contingencies were at Rs.925 Crores. They were lesser by 35.31% on Y-o-Y basis and around 34.86% on Q-o-Q basis and that is why the net profit has improved by 90.25% on Y-o-Y basis and 44.74% on a Q-o-Q basis. The fee based income has shown an improvement on Y-o-Y and Q-o-Q basis at 11.45% and 26.8% in all and the total non-interest income also has shown an increase of 16.59% on a Y-o-Y basis and 10.64%

on a Q-o-Q basis and it stood at Rs.1,061 Crores for September 2023. The interest expenses as I told have grown by 26.85% on Y-o-Y basis and 6.77% on Q-o-Q basis. The staff cost has increased by 30.05% on a Y-o-Y basis and it has come down by slightly by 3.56% on a Q-o-Q basis. The other operating expenses have increased by 39.55% on a Y-o-Y basis and 39.03% on Q-o-Q basis and stand at Rs.1122 Crores as on September 2023. The provisions for NPA were at Rs.1929 Crores in September 2023 an increase of 80.28% on Y-o-Y basis and substantial increase from Rs.244 Crores in June 2023. However, with the write back of provision from standard assets and the depreciation on investments also a slight write back of Rs.42 Crores on income tax, we could manage the overall provisions at Rs.925 Crores and the net profit was at Rs.605 Crores. The asset quality trend already MD Sir has touched up on. It has come down. The gross NPA has come down from 9.67% in Se

ptember 2022 to 4.62% and the net NPA has come down from 2.95% to 1.64%. Noticeably, the net NPA in absolute numbers has also come down from Rs.5407 Crores in September 2022 to Rs.3664 Crores in September 2023. The other important thing is the major ratios, provision coverage ratio has improved to 92.54%. The slippage ratio was at 1.22%. However if we discount the one large corporate account then the slippage ratio was only at 0.30%. The sector wise NPA classification if we go through, the retail net NPA was only at 0.73%. Agriculture also there was a substantial improvement and the ratio was at 4.35%, MSME at 2.76% and the corporate and others were at only 0.31%. Within retail also the net NPA of housing loan was at 0.72%, vehicle loan was at 0.33%, education loan was at 0.76% and the personal loans was at 0.82%. The business performance already MD Sir has touched upon. However I will give you a breakup. Total business improved by 11.51% on Y-o-Y basis and the deposits improved at 8.21%, CASA at 4.90% and the advances grew at a very robust rate of 17.26% out of which the RAM was at 14.24%. Noticeably, the CASA percentage still remains one of the best in the industry at 49.40% and remains our core strength through which we can choose the good rated corporate accounts and maintain our NIM also. The corporate advances grew at 23.54% and CD ratio improved to 62.43% which is an improvement of 479 bps. Within deposits our savings grew at 5.53% and time deposits grew at 11.77%. If we see the credit performance, the retail grew at 15.19%, the agriculture at 7.47%, MSME at 20.25% and total RAM grew at 14.24% crossing the milestone of Rs.150000 Crores. The total credit risk weighted assets were at 61.8% and there was a substantial reduction of 324 bps on a Y-o-Y basis that was all about the overall business parameters that I had to share with you. Now we are open for any question and answers.

Moderator: Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

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Page 4 of 15 Mahrukh Adajania: Sir Congratulations. Sir my first question is on deposit mobilization? Obviously you have a very

high CASA so it may affect you less, but for everyone cost of deposits is rising for known reasons and given that the incremental deposit mix is deteriorating as in less of CASA the cost of funds continues to rise so when do you think cost of deposits peak because everyone is giving festive offers that will continue? The festive offers are for 300 to 400 day deposit so they will continue for one year so how does it all pan out?

M. V. Rao: Good morning and thank you. As far as this deposit front is concerned, as far as our bank is concerned, we have enough liquidity because of the CD ratio what we have at 62% and we continue to maintain our CASA ratio also whatever the increase that is happening on the deposit front. Yes whatever the observations that are there and what the market condition right now where deposit rates are growing and then many of the market participants are also bringing lot of variants but all are in the short term. Now given the RBI Governor's address recently, what we feel that this peaking of deposit rates may get stabilized in the December quarter. I do not say it will get reduced, but the peak may get stabilized in December quarter and accordingly our ALCO also estimates what is the run off what we have in the CASA deposits, term deposits and then vis-à-vis what is the rate we have to maintain so that our deposit should not flow to other competitors that is how we are maintaining our game here.

Mahrukh Adajania: Sir what is your benchmark deposit bucket because for most banks it is anywhere between 400 to 499 days so what is your benchmark bucket

and what is your festive rate offer there?

M. V. Rao: Maximum for me is 444.

Mahrukh Adajania: Okay and what is the rate there?

M. V. Rao: 7.10% and one more thing madam wherever my presence is there 69% of my branches are rural and semi urban and typically it is in the interior of Maharashtra, interior of Bihar especially in Eastern Bihar and also Eastern Bengal and Madhya Pradesh since we hold the leadership position there so this rate of interest little bit agnostic to the customers there because of the presence of

single branch and then these types of things are there . That is why we always incentivize our saving bank customers. If you see the PSB scenario it is a 2.90 % we offer saving bank. Consciously we know that our customer segment who are in the rural should not suffer because of this . We are not maintaining the lowest SB rate also so we are maintaining that equilibrium there .

Mahrukh Adajania: Got it. It makes sense . Sir just one last question from my side ? Basically you said that there was one corporate slippage , which sector was that ?

M. V. Rao: That is aviation ma dam. I do not want to put a name , but everyone knows that is the airlines.

Mahrukh Adajania: Okay Sir that was very helpful. Thank you so much.

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Page 5 of 15 Moderator: Thank you. We will take the next question from the line of Prabal from Ambit Capital . Please go ahead.

Prabal: Thank you for the opportunity sir and congratulations on achieving 17% loan growth . Sir my first question is corporate credit is growing by 24% for us so what is driving this and I see in the presentation that the share of AA and AAA rated customers have gone up at a faster pace so how is pricing in the market with respect to corporate accounts ?

M. V. Rao: In corporate accounts that is what we are saying earlier our philosophy of maintaining the credit book balance of 65 :35 will continue to be there . That is 65% RAM and 35 % corporate and coming to the corporate also , we are very much conscious of the risk weight what we will be acquiring . That is why our overall trade risk weight of our gross advances which was there at 65.04% in September 2022 have come down to 61.80 % in September 2023 so mainly whatever the assets we are acquiring from the corporate book almost they are AAA or max AA rated . We are conscious of the risk weight and as far as the pricing is concerned that is what we told you earlier because of our strong CASA position , we have that pricing power and we are leveraging all that .

Prabal: Okay and the growth is driven in any particular segment ? Is it term loan and working capital how is that ?

M. V. Rao: It is all evenly distributed . It is not that only maximum is only one year term we are extending and in some of the things where we have some term loan. It may be from five to seven years.

Prabal: Okay and Sir these corporate loans these are mostly on MCLR pricing ?

M. V. Rao: Maximum is MCLR pricing. I think in four or five accounts it is only external benchmarking we have done keeping in view of the market condition .

Prabal: Sir just curious to know that our cost of funds from March to September has risen by 65 basis points but then MCLR one year benchmark has just risen by 15 basis points so why is that the case?

M. V. Rao: See that is what I was saying though we have ample liquidity my CD ratio is only 62 .50%. I have to increase my rate of interest on term deposits to protect my own deposit base and also to provide something to my own customers that is number one . Number two having said this we are conscious that cost of deposits have gone up by 71 basis points . If you see the yield on advances which has gone up by 125 basis points so there is a tradeoff here . What is that we are increasing and what is the increase you are making in your incremental advances so every transaction if

it

proves to be profitable , that we are entering into .

Prabal: No actually my question was my understanding was that if cost of funds go up then MCLR benchmarking will also go up but cost of funds has gone up but a proportionate MCLR hike has not been taken care of so will that come in future or why is that the case ?

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Page 6 of 15 M. V. Rao: MCLR increase is totally a factor of our pricing which is happening in different buckets of my liabilities portfolio . If my liabilities portfolio increases any much on triple four bucket then I will also be increasing certain amount comparing with the market and where strategic premium or business risk premium that is credit risk premium we are factoring depending upon the rating of the account so in the MCLR though it appears to be lowest in the market if you compare with all the banks but at the end of the day final pricing is happening with the market up.

Prabal: Okay understood and Sir what will be your growth guidance for this year and next year maybe?

M. V. Rao: This year we have given total business growth our achievement that we will continue to hold that 10% to 12% and deposit growth will be 8 % to 10% , advances growth this we have given 15% .

This time we have touched 17%. Probably it will get moderated the way we are balancing our credit book . This is how the main topline numbers guidance is concerned and NIM we continue to hold above three and we are maintaining that and gross NPA we have given for this year below 4.5 % and net NPA below 1.5 % . Definitely we will be touching that figure what we have given and PCR also we have given 93 % to 95 % that we are going to achieve . This is overall and returns on assets guidance we have given 0.70% that we will be easily achieving that part .

That may be taken as a floor .

Prabal: Okay got it. Thank you . All the best .

Moderator : Thank you. We will take the next question from the line of Ashok Ajmera from Ajcon Global Services Limited . Please go ahead.

Ashok Ajmera: Thank you for giving this opportunity and congratulations Rao sir and team for the quarterly profit of Rs.605 Crores . With this profit there are some couple of questions and some clarifications . This profit has come on the back of reversal of the provision like the provision is only Rs.967 Crores whereas NPA provision has gone up to Rs.1928 Crores and the tax is also I think as compared to Rs.606 Crores of last quarter . It is only Rs.42 Crores write back so because of this the profit is Rs.605 Crores if I am right , so some clarification on this that how did we number one arrive at this provision reversal, which are the components of it and tax credit in this quarter , the half year net to net is only about Rs.560 Crores so for the going forward for the whole year whether the scenario is going to be the same in the light of deferred tax assets of Rs.5235 Crores this is my first question ?

Vivek Wahi : Yes one is see we had done a provision in standard asset on one big corporate account which we were expecting that it may have some issues going forward so now that corporate account has slipped to NPA.

Ashok Ajmera: What is the aggregate amount there Rs.2000 Crores?

Vivek Wahi : Roughly yes so what we have done sir that because it has gone into NPA so provision made for standard has had a write back and we have made 100% provision on that account so that is why

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Page 7 of 15 because the NPA provision I get a tax write back so last quarter are breaking here so because we had made provision on standard so we have had to pay tax at Rs.609 Crores. Now that the NPA provision has gone up to Rs.1929 Crores we have got a write back of Rs.43 Crores however next quarters onwards the standard provision may not be that high . The normal NPA provisions would be there and base

don't that whatever the tax outgo will be there , we will have to make the provision.

Ashok Ajmera: Nice clarification sir so on that another question arises Sir that when we were discussing about this airline account we were saying that we are secured by separate secured assets of about 60 % to 65% of the total outstanding loan so is that stands now also I mean our recovery prospects are 65% to 70% on this account going forward ?

M. V. Rao: See I do not want to put any percentage of recovery but yes it is sufficiently collateralized account and we have very bright chances if we proceed to recover from that asset.

Ashok Ajmera: Okay I mean it is a long drawn process or we can look at in this current financial year only ?

M. V. Rao: Let us see because we have provided 100% in this account though it is substandard as for the books we have provided full so whatever it comes it will be added to my bottom line .

Ashok Ajmera: Okay Sir. Sir coming to the second one is that fresh slippages are Rs.2544 Crores versus in the last quarter of Rs.1062 Crores is it our total slippage target which has been given under that or it is because of that account it has gone up ?

M. V. Rao: Yes because of single account it has gone up otherwise my slippage ratio is only 0.30%.

Ashok Ajmera: Okay Sir point well taken on this ? Sir some color on our digital journey ? We have been talking in last two quarters very highly on bank within bank and where have we reached because in the note to the accounts we said that our digital banking units DBU have also not started commencing business but of course this is different but what is the status today ? I mean how much spend already done on this ? What is our budget for the total overall digital journey and when will it start generating fruits in the form of business ?

M. V. Rao: You understand that in technology implementation first is your procurement and technology starting you have your own processes to be completed . All these things are completed . Now separate workforce is assigned to that particular project . Probably from December onwards low hanging fruits we will be reaping . That is the first benefit we will be getting in terms of end to end digital lending platform is concerned and connected with that in December itself our collection management system which is totally on the technology platform with outsourcing activities of field on street people for monitoring and also for recovery purposes that will also be placed in December . This is the first two things and it is 18 months. Now it is 24 months . I think we have completed 13 months in that journey and another 11 months are there . A lot of things now lined up which will be coming for the implementation part where we can reap the benefits .

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Page 8 of 15 Number two is regarding the budget we have a IT budget of Rs.1400 Crores for the entire activities what we are taking up in the technology front so sufficiently provided resources are not the scarcity or resources are not at all limiting factor and it is only the process which is going on and we will be reaping the benefits now .

Ashok Ajmera: Sir at this stage we welcome Mahindra Dohare, Executive Director of the Bank and we congratulate you for having achieved this post and position. Sir some color on the recovery going forward Sir? I believe you will be handling the recovery portfolio.

M. V. Rao: Mahindra Dohare Ji has just joined seven to eight days back and after settling down just two days back he is back in the office and already he has gone through this NCLT cases and DR T cases and then how best we can use the collection management system that will be placed in one to one and a half month's period so these are all road map he has already prepared and that we will be sharing, I think in the next interaction we will be having some more positive news

on that front.

Ashok Ajmera: Sir you can give some color on that recovery? This quarter was Rs.513 Crores including ARC and some color on the NARCL and going forward how aggressive we are on the ARC sale and recovery through other mechanism Sir?

M. V. Rao: As far as NARCL is concerned whatever the assets we are taking we have only less than Rs.100 Crores and then we will be accelerating more on the ARC sale now. Whatever the assets that are suitable to the ARC to pick up that we will be showcasing them and then we will be aggressively going for recovery in the next five months.

Ashok Ajmera: So means NARCL the way we had originally thought has not become so effective in getting our books cleared is it Sir?

M. V. Rao: No originally thought it will be effective. I do not say in that way. We know that any organization which comes new in the market will have its own hiccups and I think our wish is there now it will get stabilized and then they will ramp up their operations.

Ashok Ajmera: So my last question is on note number 14? I mean fund based and non-fund outstanding secured by book debt Rs.25,735 Crores versus Rs.17,229 Crores last year? What is the significance of this note Sir? I believe that I have not seen it earlier? Maybe I might have missed but why auditor has to give the advances secured by book debt?

M. V. Rao: It is required whereas last time also I think we have given this since last one year.

Ashok Ajmera: Okay I might have missed it so wherever it a combined limit of book debt and the stocks?

M. V. Rao: There also how much is the book debt portion.

Ashok Ajmera: Okay in fact I have missed this very important point in maybe in other banks also so our advances against book debt outstanding is Rs.25735 Crores?

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Page 9 of 15 M. V. Rao: It is right.

Ashok Ajmera: Okay Sir if time permits I will come back again on some questions on treasury.

Moderator: Thank you. We will take the next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: So congratulation to team Central Bank for an excellent performance and stable numbers? Sir it is very clearly it is not that our consolidation and corrective phase is over and now we looking for credit growth which you have already done well on the corporate side. Sir any emerging picture on the retail segment?

M. V. Rao: Retail segment we continue to hold our baseline approach of 65:35 with plus or minus 5%. That will be our total credit book balance will be there so whatever the growth that is required accordingly that will be present for the retail side, agriculture side and MSME side.

Sushil Choksey: Sir I understand that proportion of 65:35 or 60:40 you have stated in previous calls also what I meant is what kind of new initiative strategy we are doing because we have such a brilliant CASA number of 49.50% on a constant basis if I look at last five to seven years numbers so we have a ability to muster much better numbers than where we stand because of the strength Central Bank and the loyalty which the customers have on the deposit franchise? The same needs to be capitalized so I am asking what kind of strategies have we drawn because of the technology initiatives we have taken?

M. V. Rao: See one thing as far as the retail part is concerned on the technology front what I was explaining earlier that digital lending platform through that this lending through digital means end to end that will get operationalized once this platform is in place and already maximum work is done and some of the products will be rolled out in the month of December. That is for the digital natives and also people who adapt on the technology front. Coming to my core which is catering to the segments of my rural, semiurban and urban there we will continue to focus on our traditional

modes of marketing and also tapping the loyal customer base. The way we are increasing our portfolios in the retail that will continue to be there and aggressively we will be eyeing between 20% to 22% growth on the retail front. That is number one. Number two is on the co-lending portfolio where again maximum chunk is on the retail side only whether it is the housing or with the MSME backed by the LAP so in these two segments also we will continue to maintain our leadership position as far as the PSV environment is concerned and there also now we have touched almost Rs.8600 Crores for the portfolio. By March we are eyeing to touch

minimum of Rs.15000 Crores so this is broadly I am giving you the retail growth strategy .

Sushil Choksey: Sir our CASA and our MCLR and the current offer on housing should be attracting a much faster number because we are almost the best in the market where our housing loan product is concerned ? How are you seeing response specifically in the festive season and the scheme which we have offered ?

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Page 10 of 15 M. V. Rao: Yes that is a very good traction we are having and it is only now what is the bandwidth we have to make it fast that is the question . It is not that availability in the market and people approaching us. That basket is too huge for me . Only managing at my end that is the limiting factor and we have put enough resources now and the way we are envisaging 20 % to 22% growth that easily we will be achieving .

Sushil Choksey: Are you factoring bigger picture from the housing loan market ?

M. V. Rao: Yes that is also there this . I think for the past one year if you see the housing loan portfolio of above Rs.1 Crores I think we will give you the details separately because right now I do not have . There is a larger increase above Rs.1 Crore of housing loans .

Sushil Choksey: Sir one of your concerns you flagged that the resources ? I see that Central Bank is making lot of initiative or lot of institutes in hiring new talent to map our digital journey ? Can you update something fresh about it Sir?

M. V. Rao: Yes on the technology front that is what I told you almost 65 people already joined in that separate unit which is totally dedicated to the digital channels and with that only I am saying with confidence by December we will be rolling out certain products . It is going fine, yes.

Sushil Choksey: My last question is one is to Mr. Wahi on the treasury outlook because we have defended ourselves well and second thing how do you see our position on the marketplace where treasury is concerned by March 2024?

Vivek Wahi: Sushil you are aware that as far as US is concerned there are still the chances of increasing FED rate is still increasing day by day so maybe if not in December we are hoping that there will be a hike of around 15 basis point to 25 basis point , but all said and done that is more or less discounted and thereafter we are hoping that there will be a pause. In Indian context because of various political reasons also we do not foresee any further repo hike so maybe yields capping at around 750 level and there after reversal is bound to happen and maybe March we are hoping that it would be again in the range of 7 to 725. That is what our inner research says and it is time to build duration actually so we are also on the same path and little bit we are adding at our AFS as well as our other portfolio.

M. V. Rao: If I understand well we are well placed in the comfort with the volatility which is there ?

Vivek Wahi : For modified duration our AFS portfolio our modified duration is still the same what it was in the month of June. March it was little bit less but that makes sense also . It is in the range of 1.60 so we do not foresee any major hit there even if the yields are moving down to 750 number. That is all.

Sushil Choksey: Than

k you for answering all my questions and best wishes for the year to come.

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Page 11 of 15 Moderator : Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global Services Limited . Please go ahead.

Ashok Ajmera: Thanks for giving the opportunity again . Anyway my question on the treasury has already been answered but I have just couple of questions and some explanation and clarification ? Our operating income profit this time has gone down as compared to the last quarter about Rs.300 Crores and that is mainly because of the other operating expenses have gone up by Rs.315 Crores from Rs.807 Crores to Rs.1122 Crores so what is the reason I mean which are the components of the other operating expenses going up ?

Vivek Wahi : The major is normal salary rise that is somewhere around Rs.46 Crores to Rs.50 Crores. Then some rentals and other things, the major in this is we have increased the rent free accommodation ceiling for the officers so that is major component of this Rs.46 Crores of rental increase . Then one is the depreciation with the various IT projects and other things going on . The depreciation increase is somewhere around Rs.75 Crores and the other professional fees and all other expenses paid is around Rs.47 Crores so these are the major components .

Ashok Ajmera: So why I am asking this that is it going to be a regular feature now I mean taking the other expenses more than Rs.1,100 Crores or Rs.1000 Crores every quarter hereafter ?

Vivek Wahi : I think this Rs.2558 Crores of other operating expenses for this quarter may not happen. In the next quarters we may see somewhere figure somewhere around 2400 types .

Ashok Ajmera: No you mean that is including of the employee cost is it not?

Vivek Wahi : Yes including employee cost .

Ashok Ajmera: I am just asking only for other employee cost is under control 1490 ?

Vivek Wahi : Right.

Ashok Ajmera: So in other that increase of Rs.300 Crores you explained about Rs.150 Crores of regular which is going to be there now in future quarter but remaining Rs.150 Crores is also going to be I mean you feel that it is more than Rs.1000 Crores to Rs.1100 Crores every quarter going forward ?

M. V. Rao: Yes roughly around Rs.1000 Crores get stabilized around .

Vivek Wahi : Because staff cost is around Rs.1450 Crores is the staff cost out of Rs.2558 Crores so roughly around Rs.1000 Crores to Rs.1050 Crores.

Ashok Ajmera: All right Sir? Sir just a point of information this note number 16 on the fraud accounting, we have said that we have amended the FRM policy to give the opportunity to borrower so is it because that RBI instruction that before declaring an account as a fraud account you must give the opportunity that is what has been amended in this FRM policy?

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Page 12 of 15 M. V. Rao: Yes as far as Supreme Court judgment that part is amended in the policy .

Ashok Ajmera: All right so sir if time permits now resolution plan the seven borrowers account Rs.3501 Crores is the exposure and outstanding is Rs.1,875 Crores can you give some color on that on the recovery schedule or is it a recent resolution or whether the resolution conditions have been abided by the borrower on these accounts ?

M. V. Rao: Just a minute . Which account Sir? What is the note number?

Ashok Ajmera: It must be 16 or 17 something resolution plan where seven borrowers with a total sanction of Rs.3501 Crores and outstanding of Rs.1875 Crores? Note number 19 sir , I said? What is the , I mean present status on that and how do we see the conditions of the resolution being abided the borrowers ?

M. V. Rao: Whatever the recovery plan we have for the December and March we have not taken anything from this resolution accounts for recovery except whatever the little that may come from the

ILFS and then another stray account already which is there . They have distributed something in the previous month and we expect something other than that in the resolution plans for our recovery estimations we have not taken anything .

Ashok Ajmera: Okay Sir. Sir just one question to the CFO Sir for this segment wise result ? There is a major variation in the segment wise , is there any change in the method of calculating like the retail treasury of course from Rs.1072 Crores to Rs.624 Crores in this quarter but in retail from Rs.56 Crores to Rs.1636 Crores and wholesale from the loss of Rs.96 Crores to loss of Rs.1533 Crores so why so much of variation in segment wise breakup Sir?

Mukul N. Dandige: Sir wholesale major is because of the provision that we have made for that one big account so that is the entire wholesale has gone into loss .

Ashok Ajmera: That is okay Sir. In retail from Rs.56 Crores to Rs.1636 Crores profit?

Mukul N. Dandige : One second that will have a contra for your expenses booked for the treasury .

Ashok Ajmera: So it is separate segment where the income has come down from Rs.1072 Crores to Rs.600 Crores? Anyway I think it is taking ?

Mukul N. Dandige : I will get back to you. Wholesale it is because of that provision that we have made for the one account .

Ashok Ajmera: But how would it affect retail ? Like retail profit ?

Mukul N. Dandige : Yes we will go into that. I will give it to you Sir.

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Page 13 of 15 Ashok Ajmera: Okay thank you very much Sir and all the best. Now you have three executive directors Rao. It is on full throttle.

Moderator: Thank you. The next question is from the line of Sarvesh Mutha from Antique Stock Broking Limited . Please go ahead.

Sarvesh Mutha: Sir congratulations on a good set of numbers. Sir I just wanted to ask on the credit quality cycle going ahead for the next four to six months how do you see that panning out ?

M. V. Rao: As far as the slippages are concerned it is almost what we have given the guidance it will be below 1 and this time because of the corporate that was spike is there and then if you remove that it is 0.30% so going forward our slippage ratio continue to be below 1 only most probably we will be averaging it out around 0.85% to 1% in between . That is that so having given this slippage figure see you can very well back calculate about the quality what we will be maintaining on the asset side .

Sarvesh Mutha: Okay and on the ROA front so 0.70% you are saying it to be the base right?

M. V. Rao: Yes.

Sarvesh Mutha: That should be the floor and going ahead the credit quality cycle should be a big lever for expansion in ROA right ?

M. V. Rao: Yes exactly .

Sarvesh Mutha: Okay sir thank you.

Moderator : Thank you. The next question is from the line of Mohit from BOB Capital . Please go ahead.

Mohit: Thanks for the opportunity . Just one question on credit cards so many banks are focusing on credit cards and I feel I think Central Bank is also doing the same ? I wanted to understand a little more on the strategies that the bank has adopted ?

M. V. Rao: See as far as credit cards are concerned you may be aware that this is the first bank in the Indian industry itself which brought the credit card in the market , but ultimately because of certain issues the entire division was closed in 2017 and then now we are having the fresh thinking on this cards business and we have already zeroed in on two lines to proceed further and it will be I think fructifying by December .

Mohit: Okay so basically you are saying that two cards would be launched by December ?

M. V. Rao: Yes we will be having the tie up . Definitely they are not the bank backed companies .

Mohit: All right . Thanks and wish you all the best .

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Page 14 of 15 Moderator : Thank you. We will

I take the next question from the line of Sushil Choksey from Indus Equity Advisors . Please go ahead.

Sushil Choksey: Sir if I recall correctly in one of the analyst meets which we had , we had indicated that we hold substantial higher provisions where pension is concern or any other future contingency concern s? Can you broadly speak about it Sir?

M. V. Rao: Sir as far as this pension funds are concerned we had a very detailed presentations from the two independent actuaries and both have given almost similar number with a plus or minus of Rs.100 Crores so what they have given is almost our fund is short of Rs.4,800 Crores in the kitty so what we did for the past seven to eight months on monthly basis we are providing Rs.100 Crores only to the terminal benefits so that is adding up to the corpus and the way we have planned out in the next two and a half to three years that shortfall will be met so that is how the road map is there to make that fund a self -sufficient and self -yielding .

Sushil Choksey: This basically you are saying by FY2026?

M. V. Rao: Yes 2025 to 2026 that will be totally self -servicing fund .

Sushil Choksey: Sir other than that we also have some buffer provisions our future outlook on credit cost is also concerned?

M. V. Rao: Yes that is separate . That is entirely separate . We would like to see that once we have moved out of the PCA at no point of time we are not interested to look back as far as the profitability part is concerned. For that we have our own buffer . Otherwise the Rs.2000 Crores corporate account moving into NPA in one quarter our all gross NPA, profitability should have affected adversely but if you see the figures it is well maintained so we are not having much worries on this front and we are maintaining the buffer .

Sushil Choksey: It looks like Central Bank is heading towards very positive outlook for years to come ?

M. V. Rao: Yes definitely yes.

Sushil Choksey: Thank you Sir. Thank you for answering my question.

Moderator : Thank you. Ladies and gentlemen as that was the last question for today , I would now like to hand the conference over to Mr . Raju Barnawal from Antique Stock Broking Limited for closing comments . Over to you Sir.

Raju Barnawal: Thank you Sir for giving us opportunity to host this call . I will hand it over to you for your closing remarks . Thank you and over to you Sir.

M. V. Rao: Yes nothing much to say except thank you for all the participants for their time and then wish each one of you and your families a Happy Navratri. Thank you.

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Moderator : Thank you members of the management . Ladies and gentlemen on behalf of Antique Stock Broking Limited that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2024

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Dear Sir/Madam,

Sub: Disclosure under Regulation 30 and Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015-Transcript of Bank's Conference/Earnings call with the Analysts/Institutional Investors.

We enclosed herewith transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 19th January, 2024 on Financial Results of the Bank for Q3 FY 2024.

The transcript of said call will be made available on the Bank's website
<https://www.centralbankofindia.co.in/en/Conference-Call-with-Analystss> .
This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 of the SEBI (LODR) Regulations, 2015.
Please take the above on your record.

Yours faithfully,
For CENTRAL BANK OF INDIA

CHANDRAKANT BHAGWAT
Company Secretary & Compliance Officer

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Page 1 of 12

"Central Bank of India Q3 FY24 Earnings Conference
Call"

January 19, 2024

MANAGEMENT : MR. M. V. RAO – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER , CENTRAL BANK OF INDIA

MR. VIVEK WAHI – EXECUTIVE DIRECTOR , CENTRAL
BANK OF INDIA
MR. M. V. MURALI KRISHNA – EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA
MR. MAHENDRA DOHARE – EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA
MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER ,
CENTRAL BANK OF INDIA
MODERATOR : MR. RAJU BARNAWAL – ANTIQUE STOCK BROKING
LIMITED

Central Bank of India
January 19, 2024

Page 2 of 12

Moderator : Ladies and Gentlemen , Good evening and welcome to Q3 FY24 Earnings Conference Call of Central Bank of India hosted by Antique Stock Broking Limited.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing „*■ then „0■ on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Limited.

Thank you and over to you.

Raju Barnawal : Thank you Yashashree. Good afternoon everyone and thank you for joining Central Bank of India Call.

From the Management side today, we have with us Shri M. V Rao – MD and CEO, Shri Vivek Wahi – Executive Director, Shri M. V. Murali Krishna – Executive Director, Shri Mahendra Dohare – Executive Director and Shri Mukul Dandige – Chief Financial Officer.

Now without any further delay I will hand over the call to the MD sir for his “Opening Remarks” post which we will open the floor for the question -answer session. Thank you and over to you, sir.

M. V. Rao: Thank you. Very good afternoon to all of you and especially for the participants who are investing time in our concall I thank you once again.

And just a quick recap , I would just like to take you back to 20th October 2023 when we have declared our September Quarter Results wherein we have given the guidance, just let me take you through the guidance for the December „23 and whatever the achievements we did just I will go through.

Business growth guidance we have given 10% to 12% for the December Quarter, we are at 11.48 % this time, deposit growth we have given 8% to 10% we are at 9.53 %, advances growth we have given 14% to 15% we are at 14.71 %, CASA we have given 50% with (+/-1%) we are at 49 % exactly is 48.98%, RAM corporate credit ratio that is the credit book balance 65 :35 is (+/-5%) we are at 67 %:33%, 67% is the RAM and 33% is the corporate.

NIM we have given a range of 3.25 % to 3.50% we are at 3.28 % and gross NPA we have given below 4.5 % , we are at 4.5 % and net NPA we have given below 1.50 % we are at 1.27 %, PCR we have given a range of 93 % to 95 % we are at 93.73 % slippage ratio we have given less than 1% on quarter -to-quarter basis we are at 0.34% and credit cost less than 1% we are at 1.26%. Our CFO will give you the full details .

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Entire 1.26% is the proactive provisions what we made to strengthen the balance sheet and return on assets we have given 0.70% we are at 0.69%, cost -to-income ratio 55 % to 58 % we are at 56.91 % this is what we have achieved against the guidance what we have given for the December „23 .

Having said this, let me share our happy moments because this is the 11th straight quarter where we have recorded our net profit and for this quarter our net profit stands at Rs 718 crores and for the entire whole previous financial year we have recorded net profit of Rs 1,582 crores in this 9 month we have recorded Rs 1,741 crores. So , this is the track record of our net profit . Coming to the credit book which is Rs 2.39 lakh crore because we are always trading with the higher rated accounts. So , our credit risk rate stands at 63.26 % and CD ratio stands at 63.60 % that's why our LCR is 231% and ROA is at 0.69%, NIM is at 3.25 %, and slippages what I explained 0.34%, gross NPA is at 4.5 % and net NPA 1.27%, our CRAR that is capital ratio stands at 14.74%.

So, having given the broad highlights of our financial performance , now I will request my CFO to give the nitty -gritties of the numbers so that we can open our session for question and answers.

Mukul Dandige: Than

Thank you so much, sir. So, as MD Sir has said I would like to start with the key highlights :

The total business growth on YoY basis has been at 11.48% and the business has reached a level of Rs 6,17,368 crores out of which the deposits have grown at 9.53% and reached the level of Rs 3,77,722 crores. CASA growth has been at 4.81% and total CASA deposits of the Bank are at Rs 1,84,542 crores. The advances grew at 14.71% to Rs 2,39,646 crores. RAM growth was at 15.34% and RAM advances reached the level of Rs 1,60,445 crores .

The non-interest income improved by 44.72% and reached a level of Rs 1,330 crores mainly contributed by the recovery in write-off accounts. The operating profit also registered a growth of 6.86% and reached a level of Rs 1,931 crores. The net profit reached Rs 718 crores showing the improvement of 56.77% on a YoY basis and gross NPA was at 4.5%, net NPA at 1.27% which was down by 82 bps over the same period last year. The ROA reached a level of 0.69% and the ROE was at 2.67%.

As MD sir has already told during this 9-month period we earned net profit of Rs 1,741 crore as against Rs 1,011 crores that we registered during the last years 9 months corresponding period.

If we see the headline numbers there is sustained improvement in all the numbers the yield on advances has improved by 99 bps and stands at 8.94%, the yield on investments has improved by 4 bps to 6.40 %.

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The cost of deposits and cost of funds has gone up by 83 bps and 89 bps and stands at 4.72% and 4.83%. The NIM is at 3.28% so if we see there is a drop of 57 bps. However, if we remove one of the items that was there in December „22 in that case the NIM is lower by only 31 bps.

The ROE has shown an improvement of 81 bps and is at 2.67%.

The book value of the share reached Rs 31.37 , credit cost is 1.26 % however it is all because of the additional proactive provisioning that we have done per se there is no requirement of any additional provision to be done.

The cost-to-income ratio has come down to 56.91% and an improvement of 11 bps . The liquidity coverage ratio is at 231.92 % and the net stable funding ratio is at 155%. The earning per share is at 2.01 and the ROA stands at 0.69%. The total interest income showed a YoY growth of 16.26% and QoQ growth of 6.23% and reached a level of Rs 7,809 crores. The total interest expenses were higher at 35.69% on a YoY basis and 7.73% on a QoQ basis to Rs 4,657 crores .

The net interest income a QoQ mentioned was down by 4.05% on YoY, but there was an improvement of 4.10% on QoQ basis. If we remove the one-off item in that case it was positive on YoY basis and also on QoQ basis. The total income registered an improvement of 19.68% on YoY basis and 8.64% on QoQ basis and the total income registered Rs 9,139 crores . The total expenses reached the level of Rs 7,208 crores, which was 23.66% higher on YoY basis and 4.74% higher on QoQ basis.

The operating profit registered an improvement of 6.86% on YoY basis and 26.21% on QoQ basis and reached a level of Rs 1,931 crores . The provisions and contingencies were at Rs 1,213 crores which was down by 10.08% on YoY basis , however it was higher by 31.14% on QoQ basis. The net profit registered a growth of 56.77% on the YoY basis and 18.68% on the QoQ basis .

The fee-based income was more or less same at Rs 486 Crore . However, the total non-interest income registered a growth of 44.72% on YoY basis and 25.35% on QoQ basis and the total non-interest income reached the level of Rs 1,330 crores in December „23 . Out of the total expenses the interest expenses registered 35.69% growth on a YoY basis and 7.73% growth on a QoQ basis. The operating expenses registered a growth of 6.42% on a YoY basis and they came down by 0.31% on a QoQ basis.

The total

operating expenses were Rs 2,551 crores out of which the staff cost was Rs 1,664 crores. It was higher by 2.78% on a YoY basis and 15.80% on a QoQ basis mainly because of the impact of the wage revision that has been signed. We have taken the full 17% costing and we have made the provision.

The other operating expenses were at Rs 887 crores for December „23 which was 14.01% higher on YoY basis. However, there were 20.94% down on a QoQ basis. The provisions and

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contingencies the NPA provision were at Rs 727 crores which was lesser by 14.37% on YoY

basis and 62.31% on Q oQ basis. The provision on standard assets was at Rs 69 crores this quarter compared to Rs 179 crores in December „22 .

Other significant provision was on income tax at Rs 391 crores as compared to Rs 353 crores in December „22 . Thus, the total provision was 10.08% less than December „22 . However, it was higher by 31.14% compared to September „23 . The gross NP A came down from 8.85% in December „22 to 4.5% if you see sequentially it came down from 4.62% to 4.50% and net NPA came down from 2.09% in December „22 to 1.27%. Sequentially, also it came down from 1.64% to 1 .27%.

The sector wise net NPA if we see the total net NP A is 1.27% t he retail net NPA is 0.44%, agriculture and allied activity it is 3.75% then MSME is 2.04 % and corporate and others is at 0.15%. The pro vision coverage ratio is 93.73% and the s lippage ratio is only at 0 .34%. The capital ratios , as M D sir has already told , our CRAR is at 14.74% with CET -1 at 12.17% and leverage ratio at 4.91%. The total business grew at 11.48% and advances grew at total 14.71% out of which RAM growth was at 15.34 %.

If you see our credit risk weighted assets are only at 63.26%, which is lesser by 3 bps compared to December „22 . The Bank has got a v ery well diversified loan book i n retail and other advances. The rated standard advances continued to be our focus area and our AAA , AA and A rated advances are almost 78% of the total rated advances. The co -lending book where we enjoy the first mover advantage the outstanding in co -lending book was at Rs 9,575.95 crore s in December „23 .

The investment book was at Rs 1,53,102 Cr as far as December „23 is concerned, and we we re able to contain the modified duration to 1.94% and also the PV 01 to Rs 6.52 Crore and the treasur y book was very well protected d espite the se fluctuations in the market. So , this was all about the financial highlights of the Bank for the quarter ended December „23 .

Now sir if you permit we can start with the question and answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Sushil Choksey from Indus Equity Advisors. Please g o ahead.

Sushil Choksey: Sir, I 'm looking for a little guidance on Q4 and next one year specifically from ROA , ROE advance. You may not speak much on advance, but direction towards your retail book, specifically your home loan book which is growing on a quarter-on-quarter basis, but based on your CASA the traction can be much higher , any view on that?

M.V. Rao : Sir, as far as next year guidance is concerned let us reach the March quarter then definitely we will be giving you the next year guidance also the way we have given earlier a nd then you also appreciate that whatever the guidance we give t hat is on dot we are reaching to the target numbers.

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Having said that regarding CASA and then improving the retail book that is on our cards and then th e way we hav e projected our March „24 balance sheet we are on the right track. W e will be reaching the figures w hat we have envisaged a nd then we also agree there is a scope for further improvement and then our digital platform which is now coming up that is

go ing to

help us in a larger way, b ut what I told earlier in our quarter t hat in this January, February, some of the products we will be rolling out that will be much more helpful in accelerating our business on the retail front.

Sushil Choksey: Sir, the digital wh ich you mentioned can you elaborate a bit what you mean by digital at our Bank ?

M. V. Rao : Digital what the Cent Neo project w hat we have taken up already almost 12 to 13 months work has gone under and t hen now products we will be releasing one by one on t he retail side that is end-to-end STP journeys and a lot of algorithms that were built up in the back office where we can extend the loans seamlessly on the digital fron t for the customer that is the l arger picture I'm giving on that.

Sushil Choksey: So, it's like a arm within our Bank which we do all the digital prod ucts for the Bank itself, right?

M. V. Rao : Yes.

Sushil Choksey: And what kind of CAPEX are we doing for this?

M. V. Rao : CAPEX we have allocated almost Rs 860 crores for our digital projects.

Sushil Choksey: And what kind of recruitment would you have done specifically for this vertical sir?

M. V. Rao : Almost we have taken around 110 IT guys , and we are placing them in a separate premise s rather than in our IT headquarters. There is a separate building we have taken for this transformation project and they are all working and then lot of products we have planned a nd one by one we will be rolling out now the same .

Sushil Choksey: Does t his mean that the digital initiative is purely for retail bus iness or it is for wholesale Bank ?

M. V. Rao : No, it is for the entire wholesale Bank . Our concept is to bring the DG Bank within the Bank that is the Cent Neo, and we will be catering to the needs of the digital initiative not only on the retail front or liabilities or the asset side for retail but also for the corporate that we will be evolving in phases now.

Sushil Choksey: And what would be undisbursed credit from a corporate perspective currently against the outstanding?

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M. V. Rao : No, in corporate we have sanctioned a line of almost Rs 18,000 crores, but we are spacing it out because our guidance to the market is we will be maintaining 65 %-35% balance with plus or minus 5%. So, I know very well what type of corporate assets that is coming back and what type of assets I have to pick up based on the risk weights what I would like to pick up. So, though I have larger unutilized limits, we are very selective in releasing the limits.

Sushil Choksey: Sir, I can sense that the Bank has done a good job on AAA and AA rated accounts and 86% of your book comprises of the top-notch customers. I am sure you're doing sustainable and a very good business from a 5-10 year Outlook .

Sir, similar way if I have to achieve that in detail, how far are we from current quarter will it take two quarters, five quarters to Central Bank to be visible on that business front ?

M. V. Rao : Actually, only now we have to accelerate on visibility part not to build up our book that is on right track and the targets what we have we are achieving the percentage of growth that is also we are doing the way we have planned, but for the larger public we have to accelerate on the publicity that's all.

Sushil Choksey: Sir, any guidance for FY24 the current quarter on ROE and ROA?

M. V. Rao : Already we have given for ROA is 0.75% and then ROE I am not having here in this.

Sushil Choksey: I will ask my last question to Mr. Wahi he has been quite accurate in guiding about treasury business and what's his outlook based on all the noises which is being made in global market and domestic and various speeches of RBI governor?

Vivek Wahi: See in line with our expectations 10-year yield faced some resistance at 7.12%. So, it has bounced back twice from

7.1 % to now it is 7.19 % sort of numbers and on the higher side it has touched around 7.35%. So, our guidance continues to be that it should strengthen if not in Q4 of this year, but Q1 of next year it should really break away the existence of 7.12%.

So, of course noise is there . The Governor said in Davos that rate cut is not at all on the table.

So, we are also of the view that at least up to September we are not seeing any rate cut, but the yield should soften after June 24. So, that is expected, and we are prepared for that and actually this is the time to build some duration also.

Sushil Choksey: Sir, I will just repeat the question, sorry about that. How do you see the cost of funds despite our CASA at 49% which is very sustainable , and which is non metro as I see it over a number of years. So , we've done a much better job than 99% of our banks in India of sustaining CASA and that also not from Metro Tier-1 Tier-2.

So, how do you see our cost of funds before we see what RBI enables in the system and how do we see our pricing pattern on MCLR over a period of next one year?

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Mukul Dandige : Cost of fund right now is only 4.83% and we don't expect this will shoot up now. CASA remains very robust so now volatility in the rates also is not there. So, more or less Choksey ji we don't foresee any further substantial increase in the cost of funds and CASA percentage since we are able to maintain almost maintain our share at 49% in this particular quarter , also we have already launched a CASA campaign.

So, we intend that we should go back to our CASA share of around 50% in case the cost of fund will remain the same. MCLR also won't change much because it is also dependent upon the deposit rates. So, only 5 bps here and there maybe there.

Moderator: Thank you. We'll take our next question from the line of Rushil Dedhia from Antique Stock Broking . Please go ahead.

Rushil Dedhia: Sir, my question is on the yield on investment declined sharply by 15 bps quarter -on-quarter , so what would be the reason for that?

Vivek Wahi : See if you yield the investment for our quarter ending September „23 was 6.55% and if you include the yield on investment including our profit it was 6.73%. So, now it is 6.75%. So, it has not gone down. In fact, it has marginally increased yield on investment.

Rushil Dedhia: And sir yield on advances so that was quite strong quarter -on-quarter 32 bps, so can you throw some color on that and what percentage of the loan book is still due for repricing?

Mukul Dandige : Let me give you the figure almost 51.06% of our loan book at Rs 1,14,356 crores is on RBLR.

So, there what happens the 100% rate transmission would take place. 31.90 % of my loan book at Rs 71,429 Crore is on MCLR where as and when the reset becomes due then the rate of interest gets changed.

However, since there has been no increase in the repo rate in the last two monetary policies.

So, there will not be any substantial increase or anything in the normal course whatever loans come for reset here the rate will increase because MC LR has increased by 5 bps.

Rushil Dedhia : My question was regarding the expansion of yield on the advances front, so you were just giving the idea for the repricing of the loan book?

Mukul Dandige : So, as I told you 51.06% of our loan book is on RB LR where the rate transmission would happen as and when the repo rate increases so that has already happened. 31.90% of our book is on MCLR. So, where periodically if it is a one-year MCLR so then after a period of one year the accounts will come for reset of interest.

So, the recent change in MC LR is only by 5 bps. So, not much of impact on account of reset, it is a regular phenomenon. The MC LR based accounts would come for reset at the time of their review or reset.

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Rushil Dedhia : So, sir next question is on the co-lending side there has been a drop in the loan sanction in the retail segment. So, can you throw some light what would be the reason for this and have you tightened some filters in the retail segment?

M. V. Rao : There is no such specific reason we will go into the details because our target what we have given to the department was Rs 10,000 crores for December 2023 probably since they have reached Rs 9,575 Crore as such on co-lending side we have no major issues.

Moderator : Thank you. We have a next question from the line of Sarvesh Mutha from Antique stock Broking. Please go ahead.

Sarvesh Mutha: So, my question is on the special mention accounts, though there is some gradual improvement on quarter-on-quarter, year-on-year basis, but still we are running a very high level of SMA book as compared to him, so your thoughts on this?

M. V. Rao : See in our disclosure we have given entire SMA book. We are not restricting only above 5 crores that is number one and we are including below 5 crores that is all the accounts that is SMA 0, 1 and 2 that is the figure what we are giving.

If you want to guess the actual quality you can go to the slippages part that gives the actual grip what is there on the collection side. So, SMA -0 that is a normal phenomenon, a lot of amounts will come and move back, roll back to the standard category and then SMA -1 and 2 that we have some restructured book numbers also we have given in the earlier one.

These are all the things in a normal way we are handling it is not having much concern or much stress in this. There is only some temporary cash flow mismatches do happen here.

Sarvesh Mutha: And sir on provision coverage ratio we are at 93.7%, do you think we have reached a peak PCR ratio or you still intend to make further provisions?

Mukul Dandige : See basically despite this 93.73% the net NPA ratio is still at 1.27 %. So, we intend to bring it below one possibly in the next quarter. So, for that we need to continue making additional provisions. So, in that case the PCR will further improve, and it will reach the level of around 94%- 95%.

Sarvesh Mutha: And sir on question on shareholding so promoter shareholding is more than 90% any thoughts on that I like you're seeing other PSU banks reducing their promoter shareholding, what's your view on that?

M. V. Rao : From our side we have submitted our proposal for OFS. We are just waiting for response from government. Once that happens then let us see how the response will be, but we are pursuing for the OFS.

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Moderator: Thank you. The next question is from the line of Amit Mishra from Indus Equity Advisors. Please go ahead.

Amit Mishra: Sir my first question is on our standard restructured book, so if I see it has increased from last quarter specifically in MSME segment and retail segment. So, can you talk about that?

Mukul Dandige : See, these are all the accounts pertaining to Manipur state where there was a disruption and because of which the branches were closed the overall activity suffered and so these accounts were permitted to be restructured. So, those accounts have been restructured other than that there is no much addition in any other restructured accounts.

Amit Mishra: So, we have taken full amount in this quarter, or we have deferred it?

Mukul Dandige : It is the existing account full amount.

Amit Mishra: So, whole impact is because of Manipur?

Mukul Dandige : Right.

Amit Mishra : Sir next question is on fee-based income so if I see we have done really good on that basis on fee based income, but if I see your LC BG commission fees is drastically low as compared to historically, so any specific reason why that was very low on rest of the parameters we have

done really great?

Mukul Dandige : LC/BG commission basically if you will see was Rs 63 crore in December 2022 which has come down to Rs 43 crores in December 2023. What we have done is we want to improve this LC/ BG commissions and for that what we are doing now is that we have centralized the FOREX operations.

And we have centralized the operations at head office level from there we will be monitoring the issuance of BGs and LCs and other things because many times what happens these customers if they go to branches they may not know the intricacies. So, with the centralization of FOREX operations we expect that we will be substantially able to improve the commission.

M. V. Rao : And added to that another main reason was we were only asking our corporate s to use their fund-based facilities rather than non-funds because many of these are good, rated accounts & their commissions are at rock bottom.

So, instead of making them avail LC BG we are asking them to use the fund based by converting them and then offering the lower rate of interest that's how some of the accounts we have traded off.

Amit Mishra: And sir if you can give me expected number of PSLC for next quarter approx ballpark numbers?

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Mukul Dandige : PSLC we don't intend doing because we did the PSLC sale in the first quarter only and the income is coming as amortization out of that PSLC and other income majority is out of recovery in written off accounts.

Vivek Wahi : PSLC we don't intend to really have any number in this quarter.

Amit Mishra: Sir, my last question is you mentioned new digital team, so what is the total cost you are expecting on this new department?

M. V. Rao : See there are lot of projects that are running under this transformation project per se whether it is on the digital lending platform or integrated customer share on the collection management system or our mobile banking, omni-channel and then internet banking revamping.

So, a lot of supply chain financing, wealth management modules. There are so many things that are running in this mega project. So, overall, Rs 860 crores is the envisaged budget that is for 5 years time .

Moderator : Thank you. We have a question from the line of Sushil Choksey from Indus Equity Advisors.

Please go ahead.

Sushil Choksey: Sir, you just replied to the previous speaker based on all the technology initiatives which you had mentioned to me as well as the previous participant, can a cost of income and cross selling lead to the current number towards 50% in a year's time or it will take two years time ?

Mukul Dandige: CASA number or cost-to-income what you are asking?

Sushil Choksey: Cost-to-income? I am sure that you will make lot of income out of cross sell as well as digital initiatives, but will our cost -to-income show a sign towards 50%?

Mukul Dandige : Definitely sir it will because see investment has happened, the expenses are being booked as we put to use some of these assets however the business will start coming in the times to come.

So, thereby reducing the cost -to-income ratio definitely.

Sushil Choksey: Sir, you highlighted about OFS and you have sort the permission , so I understand that based on the current performance profits which we are retaining and expected profit in next 12 months on the current borrowing program in CD ratio you don't need any further dilution or equity to raise which may happened in the market, but you are asking government to reduce that's a brilliant move, sir can you speak little further not getting a angle of OFS whether granted or not granted your thoughts on the process?

M. V. Rao : We are little bit confident on this issue regarding the OFS otherwise there is no point in diluting further where actually my capital position is very strong and then my liquidity I am adequate liquidity we are maintaining and the

credit growth what we are envisaging for the

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next year and the capital positions will be adequate for me without going into the market whether through the rights or QIP issue.

Instead of diluting the equity first we would like to see that float in the market has to improve for that this is one way what we are exploring so that there won't be any dilution on the EPS and at the same time we would like to see how the float in the market will help to move us.

Sushil Choksey: And secondly sir I saw piece in today's business paper about some interest which you have shown in COC on insurance vertical business and which you have commented that you have participated, can you say anything about it?

M. V. Rao : Right at this moment I can tell you that we have submitted our expression of interest.

Sushil Choksey : It would be a brilliant move sir if we are lucky about it because I think with CASA at 49 and cross sell Bank can do wonders.

M. V. Rao: Thank you.

Moderator: Thank you. I would now like to hand the conference over to Mr. Raju Barnawal for the closing comments. Over to you.

Raju Barnawal: Thank you sir for giving us this opportunity to host the call. I will hand it over to you for your closing remarks.

M. V. Rao : Thank you very much for all the participants for investing their time and then let me assure you from our side that we will continue to achieve the numbers what we have given to the market and going forward the way Bank is moving and then the opportunities that will be emerging that Bank will do well and then whatever the issues that were there, that is the cost for the Bank and we are on the growth path. Thank you.

Moderator: Thank you, Sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

INVESTORS RELATION DIVISION Central Office

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Dear Sir/Madam,

Sub: Disclosure under Regulation 30 and Regulation 46(2)(oa) of SEBI (LODR) Regulations, 2015

Transcript of Bank's C onference /Earnings call with the Analysts /Investors .

We enclosed herewith transcript of Co nference/Earnings call held with the Analysts /Investors on 30th April, 202 4 on Audited standalone and consolidated Financial Results of the Bank for the Quarter & Financial Year ended 31st March, 2024 .

The same is also being made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/sites/default/files/Transcript%20Antique -CentralBankOfIndia -Apr30 -2024.pdf>

This information is furnished in terms of Regulation 46(2)(a) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance officer

Encl: As above

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“Central Bank of India Q4-FY24 Earnings Conference Call”

April 30, 2024

MANAGEMENT : SHRI M V RAO – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , CENTRAL BANK OF INDIA
SHRI VIVEK WAHI – EXECUTIVE DIRECTOR , CENTRAL
BANK OF INDIA
SHRI M V MURALI KRISHNA – EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA

SHRI MAHENDRA DOHARE – EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA
SHRI MUKUL DANDIGE – CHIEF FINANCIAL OFFICER ,
CENTRAL BANK OF INDIA
MODERATOR : MR. RAJU BARNAWAL – ANTIQUE STOCK BROKING

Central Bank of India
April 30, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Central Bank of India Q4 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen mode only and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking . Thank you and over to you , sir.

Raju Barnawal : Thank you, Suraj. Good afternoon, everyone and thank you for joining Post-Results Conference Call of Central Bank of India.

From the Management side today , we have with us S hri M.V. Rao – MD and CEO ; Shri Vivek Wahi – Executive Director; Shri M V Murali Krishna – Executive Director; Shri Mahendra Dohare – Executive Director and Shri Mukul Dandige - CFO .

Now, without any further delay, I hand over the call to the MD & CEO , sir for his opening remarks , post which we will open the floor for the Q &A. Thank you and over to you, sir.

Shri M.V . Rao: Yes. Thank you, Raju and a very good afternoon to all of you.

We are very happy to share with you that now we have recorded the highest ever net profit of Rs.2,549 crores. And just the performance highlights later my CFO will give you the details.

Now , as far as the highlights are concerned :

Our total business has grown b y 10.34% to Rs.6.36 lakh crore s; earlier, it was Rs.5.77 lakh crore s. Total deposits are now at Rs.3.85 lakh crores that is a growth of 7.16% from the previous year. And let me tell you that in our total deposits, our certificate of deposits is zero. CASA deposits, we have 50.02% , one of the best CASA ratios we are maintaining. And gross advances has grown by 15.60% , now it stands at Rs.2.51 lakh crore s. The credit -deposit ratio , now it has improved to 65.59% , in the previous March it was 60.86 %.

Gross NPA has improved ; in the previous year it was 8.44 % now it is at 4.5 % Net NPA which was 1.77 % now it has come down to 1.23 % and provision coverage ratio is improved , now is at 93.58%. And net interest income has grown by 10.34% .

The net interest margin now is at 3.40 % in the previous year, it was 3.47 % Return on assets has improved to 0.76% Return on equity has improved to 2.92% on quarter -to-quarter and for FY it is 9.53 % and CRAR has improved to 15.08%.

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So, this is the highlights of our "Financial Results " , and for rest details we have our CFO – Mr. Mukul Dandige will explain you. Thank you.

Shri Mukul Dandige : Thank you, sir.

So, the total interest income has grown by 20.28% to Rs.30,722 crores. The total interest expenses have grown to Rs.17,826 crores at 28.66% because of the lag effect of the rate transmission. The net interest income is at Rs.12,896 crores, a growth of 10.34% , and the total income growth has been at 19.60% and the total income stood at Rs.35,434 crores.

The total exp enditure has increased to Rs.28,071 crores , a growth of 23.43% . The operating profit showed an improvement of 6.96% and the operating profit was at Rs.7,363 crores. If we take away the provisions of Rs.4,814 crores , which is a dip of 9.20% over the last year.

The net profit has surged by 61.13% to Rs.2,549 crores, which is the highest in the history of the Bank. The fee -based income and total other non -interest income has improved ; on a Y oY basis if we see it has improved to Rs.4,712 crores from Rs.4,084 crores, an improvement of 15.38%. And the interest expenses have increased by 28.66% overall . Interest paid on deposits , there is an increase of 26.29% to Rs.16,908 crores. The operating expenses have increased by 15.28% to Rs.10,245 crores , out of which t he staff cost incre

ase is 12.63% because of the wage

revision and other terminal dues payable , and the other operating expenses have increased to Rs.3,933 crores, a n increase of 9.80%.

The provision on NPA reduced to Rs.3,391 crores, a reduction of close t o 4%. The income tax liability has gone up from Rs.1,063 crores to Rs.1,504 crores , an improvement of 41.49%.

Thus , the total provisions have dip ped by 9.20% to Rs.4,814 crores compared to Rs.5,302 crores in the last financial year.

The gross and net NPA as sir has said gross NPA has improved from 8.44% to 4.50% and net NPA has improved from 1.77% to 1.23% in the current financial year. The net NPA if we see sector wise, we are now comparable with almost all the other public sector banks we are in line. The provision coverage ratio has improved to 93.58% and the slippage ratio on a quarter-on-quarter basis has come down to 0.57% in March '24 quarter. The credit cost also has come down to 0.85% in the March '24 quarter.

Total restructured book and special mention accounts we have given details on our slides 21 and 22. The total restructured book stands at Rs.6,455 crores and the total special mention accounts including all up to 5 crores and above 5 crores account stand at Rs.15,919 crores, 6.32% of our total advance book.

The capital adequacy ratio has improved from 14.12% in March '23 to 15.08% in March 2024 and the leverage ratio has also improved from 4.73 % to 5.13% during this financial year. Business details already MD sir has informed you that how the business growth has happened.

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I would like to touch upon the treasury performance also. The aggregate investment has increased from Rs.1,42,653 crores to Rs.1,49,538 crores. The interest on investment has improved from Rs.8,715 crores to Rs.9,510 crores, and the yield has improved from 6.26 % to 6.57%. The yield, including the trading profit has improved to 6.91 % an improvement of 50 bps. And despite all this, we have been able to contain the M-duration and the PV01 of our portfolio.

These all were the major highlights of the performance for this current financial year.

Shri M.V. Rao: Adding to this, just let me highlight you some of the initiatives what we have taken during the year gone by :

1. We have established our integrated customer care, that is the one-stop solution for all the grievance handling and also for outward outbound marketing, with a state-of-the-art technology like Gen-AI. So, for the past 1.5 months it is working fine, and it is stabilized and going forward that integrated customer care service will be utilized fully.

2. Next initiative what we have rolled out is the Collection Management System. With the integration with our war room for the recovery that collection management system works with our outsourced vendors where the feet-on-street people are also employed. That is the second initiative.

3. Third is our Cent NEO. What we explained in our earlier briefing that our technology platform with lot of investment that we started, now products are being rolled out within 15 days, some four products we are rolling out through our Cent NEO, that is the transformation of our digital platform and then omni-channel that is on the mobile, that also is slated for rolling out in the month of July.

So, these are all the new initiatives what we have taken. And earlier initiative of co-lending that part we will continue to focus with much more thrust this year because this time we have reached a total outstanding figure of Rs.11,000 crores. We have tie-ups with 27 NBFCs. And in this financial year, we have a target of having tie-up with the 50 NBFCs to reach the portfolio of Rs.25,000 crores. These are all the new initiative parts.

Thank you and it is open for our analysts or whoever logged in for any questions.

Moderator: We will now begin the question-and-answer session. Our first

question is from the line of

Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera : Sir, going forward, since the Central Bank has now again have almost reached to or reaching to its past glories, how do we see the coming year now going forward -- are we still going to be a little conservative in our targets and estimate or we want to open up? And a bank of our size, where lot of scope is there to grow rapidly as compared to some of the other large peer banks,

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so I want to hear, sir about your plans or your ideas for the next whole year for the Bank, sir, where are we heading, sir?

Shri M.V. Rao: Let me give you the big picture so that you can work out the details. We would like to grow the business at the rate of 12 % to 14%. In that, CD ratio, we want to improve it from 65 % to 70 %. That will be 70 % to 72 % is our band for the next March '25. So, once we are ramping up our CD ratio, definitely, our credit book is also going to grow, and at the same time now there is a slight shift what we would like to make in our credit book balancing it. We are sticking to RAM and corporate at 65 % and 35 %, with (+/-5%). Now slightly, we are revising that our RAM will be around 63 % and corporate will be at 37 % with (+/-1%). This is how we are working out this time. Slight shift will be there from the RAM to corporate, two percentage basis points will be shifted to the corporate side from the retail.

Ashok Ajmera: And sir, now where do we see the ROA which has come up to now 0.76 % for this quarter and with this kind of mix increasing RAM 63 % and corporate 37 %

Shri M.V . Rao: Our target for ROA is 1% for the March '25.

Ashok Ajmera: You also said that the NBFC participating with them and increasing , but the way the RBI is going a little tough on the existing financial sector especially on the NBFC , then how do you see going forward , don't you see that there will be some pressure even on the NBFCs also and on the bank as a whole also for this entire RAM category and especially in the areas of personal loans and retail loans , don't you see that there will be some pressure on that or the margin might also come little bit down because of that?

Shri M.V . Rao: What RBI is doing , there is no comments from our side. It is the regulator. As far as our approach in the co -lending with the NBFC s, it is as a business model we have adopted this. And wherever weak links that were there in our traditional structure is being complemented by the strength what NB FCs were having. So, with that concept , we have moved, and it is working well and going ahead also we don't foresee any type of issues in our c o-lending model because 80 :20 is there and our shortcomings, or some gaps in the collection an d monitoring mechanism is taken care by the NB FCs. These two things are working well for us, and we don't foresee any problem for the coming period.

Ashok Ajmera: Sir, my last question in this round is on our recovery front . Covering all the areas of the recovery from NCLT , NARCL , selling to the ARC s and also the recovery from the return of account , so how optimistic you are and where do we stand as far as now FY 24-25 is concerned?

Shri M.V . Rao: Our GM, Recovery will be sharing with you the details.

Shri Bharat Mutreja : In the current financial year, sir, we are aiming to have cash recovery of Rs.4,000 crores. Possibly 10 to 15 accounts are due for settlement in NCL T. The amount is Rs.2,500 crores , out of which Rs.1,000 crore s will be cash recovery. Last y ear, we assigned five accounts to Central Bank of India

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NARCL. And this year also we have received a request, and we are assigning six accounts to NARCL, and amount is Rs.500 crores.

Ashok Ajmera: What is the average realization we expect?

Management: Average realiza tion from NARCL is 30 % to 40%.

Ashok Ajmera: Of

which 85 % is SR s and 15% is cash payment ?

Management: Correct.

Ashok Ajmera: So, overall recovery target ?

Management: We'll be reaching our gro ss NPA target which we have envisaged is 3.67% , definitely will be achiev able.

Management: Besides this as well, sir, we have a sizable pool of written off account. So, this year also I mean we have been able to recover close to Rs.1,433 crores out of those written off a ccounts. We intend to further step up recovery efforts in th ese written off accounts and maybe in the range of Rs.1,500 to Rs.1,800 crores if we are able to recover in the next financial year, that is going to give us some boost in our operating income because that will move directly into the bottom line.

Ashok Ajmera: Any color on that recovery on that aviation account? Are we selling the collaterals and realizing something out of the Rs.1,700 to Rs. 1,800 crore s which is there ? Of course that is not a written -off account, w hat are the recovery process?

Shri M.V . Rao: In our books, we have provided 100% for that , number one. Number two is now we are taking all the actions which are required . And as far as the land parcel which is there already we have published the public notice under SARFAESI and we are proceedin g on that.

Moderator: The next question is from the line of P iran Engineer from CLSA. Please go ahead.

Piran Engineer: I just wanted to understand what is our NIM expectation for next year ? And what will be our driver for ROA improvement from 0.63 % to 1%?

Shri M.V . Rao: See, the NIM, we are at 3.40% as far as this financial year is concerned. For March quarter, we were at 3.58 % . So, we expect that we will be above 3% as far as the NIM is concerned.

Secondly , you are saying R OA 1% drivers, right? So , if you see my net profit surged by almost 61% from Rs.1,582 crores to Rs.2,549 crores this year. So, we expect that this will continue.

Further, because the R OA will have assets thing also. So, if we are able to recover more from the return of assets and other fee -based income , that can support our operating profit. So, in that case the ROA will be definitely where we intend to reach in the range of 1%.

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Piran Engineer: So, sir, what I understand that NIM might be lower next year, but our credit cost will a lso be lower ?

Management: NIM will not come down drastically. In the earlier calls also we used to tell that we will be

above 3% that is sacrosanct for us. And whatever the upside that comes, we will always be striving hard on that.

Moderator: The next question is from the line of Manish Suvarna from Moneycontrol. Please go ahead.

Manish Suvarna: I just wanted to understand how much slippages you've got in this quarter, and this is from which segment?

Management: See, the total slippages during this current quarter were at Rs.1,175 crores and the slippages majorly were in MSME, around Rs.292 crores, agriculture Rs.200 crores, retail around Rs.134 crores, and in corporate there was one account, around Rs.170 crores. There's no one particular sector which is a cause of concern.

Manish Suvarna: Which is that one account of the corporate?

Management: Small accounts, not large accounts in a corporate, in the range of Rs.50 Crore to Rs.100 Crore, not of any big account has been slipped to corporate.

Manish Suvarna: Basically, the majority of the slippages came from MSME, retail and the corporate segment and the rest is from the -

Shri M.V. Rao: The sectors basically, agriculture around Rs.200 crores, MSME Rs.292 crores, Retail Rs.135 crores and around Rs.170 crores for the corporate and others.

Manish Suvarna: My second question is on the cost of funds. It has gone up by 76 basis points on a yearly basis, that's what I guess in your investor presentation. So, what are the projections for FY'25 considering the geopolitical tension?

Management

nt: Now, you see the repo rates started increasing from the month of May '22. So, our yield on advances started increasing immediately because the repo-based rates constitute almost 51%, 52% of our total advances. However, we increased the deposit rates from December '22 months. So, in March '23, if we see there was only a three-month impact. Now the full impact has already happened. So, we do not expect any substantial increase in the cost of deposits and cost of funds going forward. If you see our yield on advances has also started to improve further and it stands at 8.91% now.

Manish Suvarna: It will remain at the same level that's what can I expect?

Management: I mean, there will not be any disproportionate increase in the cost of deposit vis-à-vis the yield on advances.

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Moderator: Our next question is from the line of Franklin Moraes from Equities Wealth Advisory. Please go ahead.

Franklin Moraes: Sir, you mentioned ROA target of 1%, but in the presentation, I see your ROA target is 0.75% to 0.85%. So, where exactly is the discrepancy?

Shri M.V. Rao: That one has to be revised. Our target is to reach 1% and I think in the last slide, which is uploaded, that range they have given, I think that will get corrected now.

Franklin Moraes: Secondly, presently we are at 0.6% and we are targeting to reach 1%. Our NIM is already higher at 3.4% vis-à-vis our guidance where we are expecting NIM to be above 3%. So, where is the improvement going to come from?

Management: See, even though the financial year wise, our ROA might be 0.6% but for the current quarter it is 0.76%. So, naturally you must have seen my profitability. It has already had a consistency.

So, going by the past years projections, the same consistency is expected in this financial year

also. So, we'll start with an ROA of 0.76% from this quarter. So, going forward by March '25,

we'll be able to touch 1%. And NIM also if you see, we are saying it will be above 3%. But as

Rao sir has said, we don't expect any sizeable reduction in the NIM in the current financial year also.

Franklin Moraes: Presently, we have the Government stake at 93%, but we need to bring it down to 75% and there are other public sector banks who have also done or being able to reduce it. So, what is our glide path and the timeline in terms of bringing down the stake?

Shri M.V. Rao: Sir, for this already we have engaged with the Government of India. We are seeking for the OFS part. Once the government clears that, then this OFS part will come into play. That may be a single reduction or maybe in tranches, that will give us the room further. Once we unlock our value, then we will be going for our QIP or any other mode of raising the equity capital.

Franklin Moraes: But, any bifurcation in terms of your plans, will it largely be OFS or will this largely be a QIP, how exactly are we going to reach this and how much time are we likely to take to reach to 75%, any indication will also help?

Shri M.V. Rao: No, actually this is the call to be taken by the Government of India. But our request is always there, whether if they are going to offload it through OFS, what will be the percentage that we will be coming to know in the next two months, then we will plan accordingly, then how much percentage that will be offloaded through OFS and what is that we have to take up through the QIP. So, that combination will work out only after two months.

Moderator: The next question is from the line of Anil Pande from The Front Page. Please go ahead.

Anil Pande: What I observe that in numerator we filed 15.6% growth and in denominator that is deposits of

7.16% growth. Now, as you know that this CASA speaking in general in all the banks, so will Central Bank of India
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we still consider further scaling down the bulk deposits or you

are forming some other strategy

to increase the deposits to maintain this 60.59 % LDR or further increase to 75% or something?

Shri M.V. Rao: See, as far as the CD ratio is concerned, that's what the guidance we have given; we will be targeting for 70 % to 72 %. With this background, the what the combination of our deposits we have that we would like to maintain our CASA ratio minimum 50%. Coming to the term deposits or the bulk or the high cost, we do not have any high cost deposits nor we raise any certificate of deposit from the market. It is a pure core deposit what we maintain. So, as far as the term deposits are concerned, for maintaining the CD ratio where we have to reach that is worked out now with 50% of CASA.

Anil Pande: Next question is regarding the corporate credit. You have mentioned Rs.84,619 Crore with the 59% growth perhaps. So, can you give the components how much is infra out of that and particularly this power sector government is focusing on this renewable energy and solar power? I do not find the bifurcation of those sectors in corporate coverage.

Shri M.V. Rao: In the presentation, it is not there. We will send you offline because right now it is not available readily.

Moderator: The next question is from the line of Kartik Solanki from Elara Securities. Please go ahead.

Kartik Solanki: I had a couple of questions from my end. So, the first one is, can I get the overall return of pool amount and what will be the component of NCLT and the non-NCLT bifurcation for the same?

Management: Total return of pool is close to Rs.35,000 crores right now. NCLT constitute 215 accounts, amounting to Rs. 26,191 crores.

Kartik Solanki: Second question is in the line of the interest income from recovery of NP A accounts which forms a part of your interest income?

Management: This year the recovery from written-off accounts has been at Rs.1,433 crores. So, if I want to quantify it in terms of percentage it is close to 4% of my written off accounts that we have been able to recover during this financial year.

Kartik Solanki: The recovery of NPA, what would be the component of interest income which are recorded in NII?

Management: That we'll have to take out the data, but this is pure recovery, Rs.1,433 crores is recovery out of my written off accounts. You want to know the total interest income book from the NP A accounts?

Kartik Solanki: Yes.

Management: That we will provide you offline, sir.

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Moderator: Our next follow up question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Sir, my first question in the second round is on the total overall treasury operation, sir. The treasury income in this quarter has been very good; if you look at the segment wise result, Rs.611.75 crores as against Rs.396.73 crores. So, I would like to know the total structure of modified duration of AFS. And what are we expecting? I mean the RBI to little bit lower down the rates in the coming quarters, so what kind of treasury profits or the treasury income we are looking at?

Management: Treasury income is Rs.965 crores we booked. It is mainly we capitalized on the equity book. We invested in many of the IPOs and make good profit from the IPO and also on the bonds side also we made good profit. But accordingly, we could able to record a good profit of Rs.965 crores. And we maintain a M-duration of 1.88 as on March '24 on AFS book. Coming to my AFS book, Rs.41,733 was the AFS book as on 31st March.

Ashok Ajmera: And with a modified duration of 1.88 %, isn't it?

Management: At 1.88 %, yes. We have been now maintaining below 2 all through. At least till 31st March, we are below that and it is 1.88%.

Ashok Ajmera: Sir, my second question is when are we going for the new tax regime, like we have a deferred tax asset of Rs.4,294 crores, so when are

we planning for going to the new tax regime? Maybe in '25-26?

Management: Around Rs.1,500 crores, we were able to reduce the DTA for this financial year. So, going as per our expectation, we should be able to switch to the new tax regime by '26-27.

Ashok Ajmera: Two more years for this Rs.4,294 crores? Alright. My next is sir on note 17, that eight borrowers. At the time of implementation of the resolution plan, it was Rs.3,723 crores and now it has come down to Rs.1,978 crores. So, as per the resolution plan, when this eight

borrowers account overall amount is to be received or regularized?

Management: These will have different resolution plans, sir. There may be somewhere purely regulation of the account will be there, in some cases there may be a restructuring which will be warranted, in some of the accounts may be the recall maybe the alternative. So, for all these eight accounts, details can be provided to you what is the RP in each of these accounts?

Ashok Ajmera: Yes, sir, please. Whether post implementation of the resolution plan, can we also go for OTS with some of these accounts?

Management: If any such accounts where recall is marked and these are already NPA, and if the party comes out with an OTS offer which is acceptable to the bank, we can go in for OTS.

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Ashok Ajmera: Because nowadays that trend is going on. So, please provide me that. My last question is a little bit on the note on acquiring the standard assets, sir. Of course, the number of accounts are many, 95,000 small accounts. But if you look at the coverage of the tangible security, it is going down from 100% in '22 to 87% in March '23 to 51% in March '24. So, is it because of the nature of accounts which we are acquiring where we don't need higher tangible security?

Management: These are all related to co-lending book, sir. The real what is happening is primarily if there are any MSME accounts, the primary security itself would be more than 100% and the additional collateral security is 50%, because in retail, as you know, sir, mostly it will be housing loans where the security will be at least 110% to 125% of the book.

Ashok Ajmera: So, you mean to say that this coverage of tangible security doesn't include primary security?

Management: Right, sir.

Moderator: Our next follow up question is from the line of Manish Suvarna from Moneycontrol. Please go ahead.

Manish Suvarna: In the last question, you mentioned that the total treasury gain of Rs.965 crores you have got some gains from your investment in the IPOs. So, can you tell me the figure which profits you got that IPO out of total Rs.965 crores?

Management: IPO will be around Rs.50 to Rs.52 crores. Exact figure I will tell you. But overall, from the equity book now we got around Rs.125 crores.

Manish Suvarna: Rs.125 crores from the equity book. And from the IPO?

Shri M.V. Rao: It is trading and IPO both.

Management: From IPO it will be around Rs.50-Rs.55 crores.

Manish Suvarna: Can you name the companies in which IPOs you have subscribed?

Shri M.V. Rao: It was Tata and lot of MSME IPO.

Management: Tata Technologies, we got the bigger.

Moderator: The next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Sir, I would like to know more about our transformation journey, whether it's NEO or digital-led initiatives, which would transform the bank from where we are because across players or any comparable banks, our CASA and our advances we can transform the bank into a superior

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margin bank. These initiatives will lead to us where and what kind of expenditure we will incur?

Shri Ratan Kumar: This is Ratan Kumar here, GM, IT Digital, leading the Digital Transformation Department. A year back we have started our digital transfor

mation in our bank and we have initiated various process, starting with the tech upgradation and API, middle layer formation and so many other activities. Along with that, we have also taken up four major projects, which is one is Super App, there is Omni-Channel, the second is our Digital Lending Platform, the third is Integrated Customer Care, and the fourth is the Digital Collection Management Systems. So, these four major process are going to drive our digital transformation journey. We have already rolled out two major projects which are live now. One is Integrated Customer Care, the second is the Collection Management Systems. They are live now. We have started the operations. The collections management is operating from Mumbai and Kolkatta and Integrated Customer Care we have done from Mumbai and Hyderabad. So, very shortly around six digital journeys in lending we have initiated, that is going to come in another week. And the Super App and CUG, we are going to launch somewhere in July.

Sushil Choksey: What about the digital expenditure and what are the initiatives are we taking along with it? So, this is only about customer and call center and back office where digital driving credit because our customer touch points what Central Bank enjoys for last five, ten years because of CASA, how are we mapping them on our digital trend?

Shri M.V. Rao: See, this is the technology part what we are doing. As far as your specific ask is for the mapping of our CASA customers, already we are doing because we have two more modules

which maybe in a two or two and half months' time rolling out. One is for the wealth management that where we have segmented our customers on different profiles. That is one thing. Another is the insurtech what we are adopting. So, as a one-stop shop from the mobile and internet banking these services will be offered. This is the technology enablers what we are creating. And as far as to garner the actual business, for liability customers, liability products that we are having how to reach out them through the relationship function. And then on the asset side, we are working out for the bigger corporates end-to-end digitization of their operations so that entire ecosystem in which they operate will be captured so that our business will also grow. And for the corporates also, there is an ease of doing the transactions in the bank. This is the overall path where we are working now.

Sushil Choksey: Let's assume that the first part of the journey and the second leg starts well, can our retail products, whether it's housing loan, car loan, education loan, MSME loan be a total part of our digital transformation?

Shri Ratan Kumar: Definitely, yes. These are going to be part of our digital journeys. We are creating both digital as well as assisted journeys with a very smooth flow. So, this will definitely going to be very beneficial and customer convenience is addressed there.

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Sushil Choksey: Sir, if I'm not mistaken, I have heard in the past Q&A that we have created some kind of a strength of technology product drivers as well as designers within our own capabilities and domain within the bank. Can you elaborate something whereby we can support our own performance led by our own team?

Shri Ratan Kumar: We have created a very focused special department for this which we fondly call it, as "Cent NEO." Under this, we have inducted both the functional and technocrats into that department. We have inducted around 60 people fresh hands for this from the market and we are going to further recruit some more specialized skill for this. And we are creating a kind of garages for each project which is running on Cent to get whatever we wanted to design and deliver.

Sushil Choksey: This digital transformation, can it be connected to our co-lending business which we have a

aspiration to be Rs.25,000 crore's book?

Shri Ratan Kumar: Yes, the co-lending, the first leg that is lending LOS part we have already done it and probably in another 15-days it will go live. We are automating the co-lending LOS part.

Sushil Choksey: What is the outlook on our housing loan book as our CASA enables us to be the most aggressive bank in the housing market? Currently, we stand at Rs.44,057 Crore. How do we see over a period of next one or two years?

Management: See, in housing loan normally we have grown at the level of 15% and at least this level we want to maintain, NPA stress is very low, and as you rightly said we get a lot of good cross-selling through our housing loan products and we have very competitive housing loan product for our female borrowers which has also gained a lot of good attraction in last two years. So, we want to continue to grow at least 15% to 20% in housing.

Shri Ratan Kumar: Now, our digital enablers we essentially target higher ticket price loans once we enable this into the digital journey. We expect there would be more of frontiers for marketing and garnering high end ticket size loans. That will definitely get a bigger chunk of the housing loan portfolio.

Sushil Choksey: My next question is to Mr. Wahi sir. As usual, I would like to hear your outlook on the money market and the G-Sec?

Shri Vivek Wahi: See, G-Sec, as you know, based upon certain rebound in recovery of US, so the rate cut scenario has little bit shifted towards the end of the year. Rather, there is also a view that this year there may not be a rate cut. So, that is the reason that the yields are still hovering at around 7.20 levels. So, we also feel that little bit of more economic activity if tampered in the US, then rate cut can happen anywhere near September. As far as Indian context is concerned, definitely, rate cut is not going to happen before September or even it may happen in November. So, with this global index of bond market also, euro bond market also get included, we expect around Rs.20 billion coming into India. So, with this, yields can soften a bit, but

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ultimately the real softening will happen only when the stance of the central bank changes and the rate cut happens in the later part of the year. That is the only way.

Sushil Choksey: Based on money market and the current situation where RBI stance is concerned, do you see MCLR further going up or will remain stable at this current level?

Shri Vivek Wahi: No, sir. MCLR rates are already picked up. I do not see any rise in the lending rates as well as the repo rates or as well as lending rates of banks, even retail banking rates also, I do not foresee any rise at all at this junction.

Moderator: As there are no further questions from the participants, I would now like to hand the

conference over to Mr. Raju Barnawal for closing comments.

Raju Barnawal : Thank you, MD sir, for giving the opportunity to host the call . Over to you, sir, for your closing remarks.

Shri M.V . Rao: Yes. Thank you for all the participants for taking out the time and attending to this conference .

And going forward, whatever the guidance what we have given that bank will be reaching those targets and let me assure you and also tell you with confidence that our Bank will be reaching the new heights in this financial year, that is '24-25. Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us.

Call: Jul 2024

INVESTORS RELATION DIVISION Central Office

Central Office: Chander Mukhi, Nariman Point, Mumbai - 400 021 ■■■■■/Email ID: smird@centralbank.co.in
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CO:IRD:202 4:25:122 Date: 24th July, 2024

Dear Sir/Madam,

Sub: Transcript of Bank's C onference /Earnings call with the Analysts /Investors .

Please find herewith the enclosed transcript of Conference/Earnings call held with the Analysts /Investors on 18th July, 2024 regarding the discussion on unaudited standalone and consolidated Financial Results of the Bank for the First Quarter & Three Months ended 30th June, 2024 .

The same is also being made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (LODR) Regulations, 2015.

Please take the above on your r ecord.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance officer

Encl: As above

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“Central Bank of India Discuss Q1 FY25 Earnings Call”

July 18, 2024

MANAGEMENT : SHRI M. V. RAO –MANAGING DIRECTOR & CEO ,
CENTRAL BANK OF INDIA
SHRI VIVEK WAHI – EXECUTIVE DIRECTOR , CENTRAL
BANK OF INDIA
SHRI M. V. MURALI KRISHNA – EXECUTIVE

DIRECTOR , CENTRAL BANK OF INDIA
SHRI MAHENDRA DOHARE – EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA
SHRI MUKUL DANDIGE – CHIEF FINANCIAL OFFICER ,
CENTRAL BANK OF INDIA

MODERATOR : MR. RAJU BARNAWAL – ANTIQUE STOCK BROKING

Central Bank of India
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Moderator: Ladies and Gentlemen, Good day and welcome to Central Bank of India Q1 FY25 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking. Thank you and over to you, sir.

Raju Barnawal: Thank you, Shubhangi. Good afternoon, everyone, and thank you for joining post results Conference Call of Central Bank of India.

From the Management side, today we have with us Shri M. V. Rao – MD & CEO, Shri Vivek Wahi – Executive Director, Shri M. V. Murali Krishna – Executive Director, Shri Mahendra Dohare – Executive Director and Mr. Mukul Dandige – Chief Financial Officer.

Now without any further delay, I hand over the call to MD Sir for his opening remarks. Post which we will open the floor for the question-and-answer session. Thank you and over to you, Sir.

M. V. Rao: Yes. Thank you, Raju ji. First of all, very good afternoon to all the participants. Just I am going to give you the performance highlights for this June quarter, and this will be followed by our CFO's presentation on the details of the financials.

We are very happy to share that this time our net profit has gone up to Rs. 880 crores. That is from Y-to-Y, if you see it is 110%, in the earlier June 2023 it was Rs. 418 crores.

Coming to the total business:

It has grown by 9%, precisely it is 8.97%, now it stands at Rs. 6.35 lakh crore and total deposits stands at Rs. 3.84 lakh crore and CASA is at Rs. 1,88,863, that is 49.19% of the total deposits. Gross advances increased by 13.99%, it stands at Rs. 2,50,615 crores and CD ratio improved to 65.27%. There is an improvement of 452 basis points from the previous June 2023 quarter and the gross NPA is at 4.54%, which was 4.95% a year back.

Net NPA, it is now below one that is 0.73%. There is an improvement of 102 basis points, in the earlier June it was 1.75%. Provision coverage ratio improved to 96.17%. Net interest income has increased to Rs. 3,548 crores, that is 11.71% increase from the previous June and net interest margin now it is at 3.57%, earlier it was 3.43%.

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Return on assets has improved to 0.82%. If you see previous June, it was 0.43%. There is an improvement of 39 basis points in return on assets. Return on equity, which is improved to 3.14%, earlier it was 1.63% and CAR improved to 15.68% of which Tier-1 is 13.36% and there is an improvement of 126 basis points. These are all the highlights.

Now for the details, I request our CFO – Mr. Mukul Dandige to give the details of the financials. Thank you.

Mukul Dandige: I will share little brief financials as the performance highlights have already been highlighted by our MD sir.

The interest income has gone up by 15.36% on Y-to-Y and it has reached a level of Rs. 8,335 crores. The total interest expenses have increased by 18.23% to Rs. 4,787 crores. The net interest income has grown by 11.71% to Rs. 3,548 crores. The total income has seen an upside by 16.08% to Rs. 9,500 crores.

The operating profit has seen an uptick by 8.43% to Rs. 1,993 crores and the provisions have reached a level of Rs. 1,113 crores. They are down by 21.62% and the net profit has surged Rs. 880 crores which is an upside of 110.53%. The further breakup of interest income is interest on advances has gone up by 19.94% to Rs. 5,402 crores. The interest on investment has gone up by 8.03% to Rs. 2,463 crores. Thus, the total in

terest income has gone up by

15.36% to Rs. 8,335 crores. The non-interest income, the fee-based income has seen an upside

of 5.99% to reach the level of Rs. 425 crores. The service charges, there was an upside of 5.80% to Rs. 292 crores. Other miscellaneous income has seen an upside of 43.59% to Rs. 56 crores and treasury income has gone up by 42.55% to Rs. 402 crores. Other receipts like recovery and write off have gone up by 22.46% to Rs. 338 crores.

As far as the interest expenses are concerned, the interest paid on deposit has seen an uptick by 13.05% to Rs. 4,443 crores. The other interest has gone up to Rs. 344 crores. The staff cost has seen an upside of 15.03% to Rs. 1,714 crores and other operating expenses have reached a level of Rs. 1,006 crores and upside of 24.66%. So, total expenses have gone up by 18.29% to Rs. 7507 crore.

Regarding NPA provisions, the Bank has made Rs. 1322 crores of provision, which is including additional provision made by the Bank on prudence basis. It is up from Rs. 509 crores in March and Rs. 241 crores in June 23. There has been a write back in standard asset provision, the depreciation on investments, the income tax and other restructured accounts also. So, total provision stands at Rs. 1,113 crores. As far as the asset quality goes, the gross NPA has come down to 4.54% and an improvement of 41 bps. The net NPA, as MD sir has said, has reached the level of 0.73% from 1.75%, which is an upside of 102 bps.

Sector wise net NPA, if we see the retail NPA has reached the level of 0.15%, agriculture and allied it is 1.74%, MSME at 1.53% and corporate is at 0.17%. The provision coverage ratio is

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96.17%. It is a very healthy ratio. The slippage ratio has reached the level of only 0.34% now. The credit cost if you see, it is appearing as 2.13%. However, if we remove the prudence basis additional provision that the Bank has done, then the credit cost is only 0.63%. The restructured book is at Rs. 6,038 crores. In this Rs. 6,038 crores, accounts worth Rs. 1,678 crores are common in restructured also and they are appearing in the special mention accounts also. If you see the special mention accounts book, it has come down from 7.75% of the total advances in June 23 to now 6.14% and stands at Rs. 15,402 crores. The capital ratio, the CRAR, has improved to 15.68% and the leverage has reached a level of 5.48%. The business across the board, total business has grown by 8.97% and it has reached a level of Rs. 6,35,564 crores. Deposits have shown an improvement by 5.93% and CASA at 4.87%. We are still maintaining 49.19% of CASA, which is one of the premier position in the banking industry. The advances growth was at 13.99% and the RAM segment has seen a very healthy growth of 18.81% and it has reached a level of Rs. 1,71,660 crores. The CD ratio has improved to 65.27%. The credit segment-wise growth is retail has grown at 13.87% to reach Rs. 72,469 crores. Agriculture grew at 15.36% to reach a level of Rs. 47,080 crores. MSME has reached a level of Rs. 52,111 crore, clocking a growth of 30.20%.

The credit risk weighted assets, if you see, it still continues to be at 64.82% only. The Bank has got a very good, diversified loan book and the retail segment, which constitutes 28.92% in that segment, the housing loan has seen a growth of 15.50% to reach a level of Rs. 45,393 crore. The rated standard advances, we still continue to have very good portfolio as far as the rated standard advances that is AAA, AA, A rated advances are concerned. And out of the total Rs. 74,173 crore, close to 75% is out of this AAA, AA, and A rated advances. The co-lending book where we are the industry leader, we still maintain that number one position and the co-lending book has reached a level of Rs. 12,355.08 crores. The Bank has achieved all the

mandated targets under the priority sector lending guidelines of the Reserve Bank of India.

These were all the highlights as far as the performance of the Bank is concerned.

Now, we shall be taking up any questions that are there. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Very good set of numbers as regards the profitability of the Bank, especially the operating profit is concerned. It has been maintained almost the same level at which it was in the last previous quarter. And only there are a couple of observations sir and some data points. Now in the provisioning, we have gone for a little higher provisioning on the NPA as compared to the January-March quarter that is Rs. 1322 crores. So, what is the total composition of this and how much is the GoA out of this, and I believe that it was mostly provided in the last quarter itself. So, because of that, there has been impact because of the higher provisioning and we got some benefit in the tax so that we are in a position to maintain the profit, but had the taxation burden would have been higher, I think our profitability would have got impacted negatively.

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So, one is on that, there is the clarification on the tax credit of Rs. 78 crores as compared to the

tax provision of Rs. 549 crores and second is on the NPA provisioning ?

M. V. Rao: Great. Ajmera .

First of all, as far as the NPA part is concerned, NPA provisioning part, let me make it very clear, if you see our slippage ratio, it is just 0.34%. Based on that slippage ratio, if I calculate my credit cost, it would be 0.63% only for which provision required was only Rs. 523 crore . But we have provided Rs. 1322 crore , that is almost Rs. 710 crores additional provision we made that is a proactive provision. It is nothing to do with the Go Air account , NPA account providing which we have done in entirety in the previous financial year. So, I think that is very clear now. And as far as the tax part is concerned , this write -back, our CFO will explain.

Mukul Dandige: Sir, what happens once , it has had two impacts. One is because of this fair value transfer through P&L, these zero-coupon bonds of Rs. 4,800 crores that the Bank was carrying, we had to take the hit in the reserves . So, the NPV was hit by close to Rs. 2000 crore , NPV loss was Rs. 2000 crore. There was some upside also from the other equity valuation. So, the net impact was roughly around Rs. 1,200 crores. So, out of that, the write back of tax has come to the level of around Rs. 350 crores, sir. Secondly, the additional provision has also helped us in reducing the tax liability so that is why you see that Rs. 78 crores write back of tax is there. But going forward in the next quarter, this one time hit that we have taken through the reserves. That upside will not be available in tax and normal tax will have to be paid by us.

Ashok Ajmera: So, basically you are referring the note #4 , the entire explanation given the investment and the changes as per the RBI policy. Sir, all that additional provision of Rs. 710 crore which you are referring , is it because of the ECL you are planning , something to create a buffer and ...

Mukul Dandige: See, it is taking care of the ECL requirements also because whatever is coming through ECL, we are trying to be prepared for that well in advance.

Ashok Ajmera : And sir, now coming back to the business growth , overall the credit growth rather I would say and the competition which is there in the deposit side also , how the Bank is prepared and what are our targets this year for FY 25 on the credit growth as well as the deposit and if the deposit is not matching with the credit , what are the strategy with the Bank is going to a

dopt as regards

to maintain the capital adequacy ?

M. V. Rao: See here since our CD ratio was less that we were aiming to enhance our advanced portfolio.

Now the way we have planned earlier and the guidance what we have given in the month of April for „24-25, we are just sticking to that, and we are following, and we are achieving in „24-25 financial year guidance what we have given is 14 % to 15% growth was there in advances that we are very much there . Now, it is at 13 .99%. And coming to the CD ratio that we are aiming to reach around 69 % to 70 % CD ratio at the end of this financial year. So, as far as the deposit growth is concerned, yes, there is a lot of competition in the market and one Central Bank of India

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more thing I would like to tell you that our banks were never in the CD Market , certificate of deposits we are not issuing and our LCR is almost 190 is there, which one time we have crossed 200 also. Now our LCR is also very comfortable and our CR AR is also comfortable, and our growth capital is also available for us the way we are growing . And the deposit growth, we have 3 components. One is the current deposits; another is the saving Bank deposits and third one is the time deposit. Time deposits, we are not aggressive in that just because I am having enough liquidity and also the enough room for further growth . As far as the saving Bank is concerned, yes, we are a force to reckon with and we are growing the way to maintain our leadership position in the C ASA that is around 49%. So, that growth also we are we are in line with our planning. So, going forward, what we see is since we are aiming at 70% CD ratio, this advances growth what the guidance we have given 14 % to 15% continues to be there and the deposit growth which was just 6% in the first quarter which accelerate further that incremental CD ratio that will be maintained in such a way that we continue to have the deposit growth in minimum 8%, max 10% in this financial year. That is the plan.

Ashok Ajmera : Sir, my last question in this round, Sir, about that selling of the collateral security of Go Air. What is the status, sir? Where do we stand? And when do we expect to get some money out of it sir, which is a major part of our outstanding ?

M. V. Rao : It is a legal process , already SARFAESI notices are issued and 13 (4) is also issued now and it is in the process. And if everything goes well, I think by March we have to recover large chunk from the collateral s.

Moderator: Thank you. The next question is from the line of Mr. Rohan from Equirus Securities. Please go ahead, sir.

Rohan: Sir, just coming back to that investment thing on Slide # 14, we are seeing profit on revaluation of investment of Rs. 250 crores this quarter. So, I just want to understand why this coming because as per my understanding from 1st of April whatever MTM happens on an instant , that goes into AFS reserve. So, what is this Rs. 250 crores relating to?

Mukul Dandige: See the profit or the loss has to park through the P&L account . The initial transition , the impact had to be carried through the reserves. So, whatever the portfolio ...

M. V. Rao : Majority of this profit comes from our equity portfolio, which was from 1st April has to be kept in the HFT one and with the rise in the equity scenario and the way our stock markets are moving , so majority of the profit comes from that part.

Rohan : Sure. So, this is HFT MTM that we are getting here?

M. V. Rao: Yes, it goes through our P&L .

Rohan : So, the HTM and AFS is not there, only the HFT MTM is here.

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M. V. Rao : This will go to reserve s only and will be accounted for in the P&L.

Rohan : Got it. And secondly, just on the Note 4 on the exchange filing s. Now when we are seeing that the income on investment has increased by Rs. 312 c

rores, see, I don't see a restatement happening for the 1Q of last year. So, what exactly are we meaning by this that it's not comparable because investment income has gone up by Rs. 312 crores?

Mukul Dandige: No, see, because this was taken for this quarter. Now, it is very difficult to reclassify the income and expenditure part of the previous March quarter also and June 23 q uarter also that is what we are saying.

Rohan: So, you are saying if this same accounting would have been followed , then this would have an impact ?

Mukul Dandige: Yes.

Rohan: And s ir, lastly on the cost of deposit, this quarter has gone down by around 7 basis points . So, how should one look at cost of deposits incrementally and what was the component that helped reduction in the cost of deposit this quarter?

Mukul Dandige: No. If you see the cost of deposit on quarter -on-quarter basis if we see.

Rohan: It improved by 7 basis points.

M. V. Rao: It has gone up from 4.61 % from M arch, it has gone up to 4.66 % in June.

Rohan: The 4.61 % is for full year. If you look at the quarterly presentation, it was 4.73 %

Mukul Dandige: March 24, it was 4.73 %, Now it has become 4.66 % for this quarter , right. So, because in the last March quarter, what had happened is close to Rs. 4,000 crores to Rs. 4,500 crores of bulk deposits that we are allowed to be paid on maturity. We did not give rates for its renewal. So, that impact has come and that is that is why the cost of deposits has come down to 4.66 % during this quarter.

Rohan: And incrementally, how should one look at this number?

Mukul Dandige: I think the cost of deposit has almost plateaued. Now, none of the banks are increasing it because we were already higher now comparatively. I mean other banks have come to the rate that we were already offering.

Moderator: Thank you. The next question is from the line of Mr. Omkar from Vasu ki India Fund. Please go-ahead sir.

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Omkar: I would like to know your view on the interest rates going ahead and how are you strategizing to take benefit of it in your investment book. So, if I could just have your view on that ?

Mukul Dandige: See presently , the 10-year y ield is hoverin g around 7% and as early as in September, F ed is also expected to have a rate cut. So, in line with the other markets, we are also expecting at least a couple of rate cuts in the current financial year. So, with that going, we are seeing the yield maybe at around 675 level. So, with this 25 business point s, we have a very decent amount of portfolio with us, and it is in line with other banks also and we will be add ing a good amount to our bottom line. So, this is the normal scenario we are expecting as far as rates are concerned.

Omkar: And my second question is on your guidance. So, you have mentioned the split of RAM corporate book that you like to have 65:35 against current 68 :31. So, are you expecting growth picking up and coming from the corporate side during this year? And if so, then , which sectors or what kind of current account are getting in large corporate or mid corporate? So, the strategy around that?

M. V. Rao : Yes, as far as this corporate re tail RAM is concerned, we still hold the 65 :35 with plus or minus 5. So, right now at the end of the June quarter, we are at 68.50 % for the RAM and 31.50 % for the corporate, yes. Corporate, we are looking at the good assets trading off with the good, rated accounts because of the pricing power what we have because of the CASA , we will be only aiming at the assets which are having very good ratings . So, that we can conserve the capital there. And then some of the things which we have offloaded in this quarte r from the

corporate book is of the very low yielding advances. So, we are trading off in between. So, our guidance still will be same as we have given for this Financial Year 65

:35 with plus or minus

5% that we use to maintain.

Omkar : And sir, is the pricing better now in corporate because during the last year there was a lot of pressure in the corporate side. So, is that situation improving now?

M. V. Rao : See, we are very choosy as far as the corporate assets are concerned. We are going with the pedigree, and we are going with the prospects of the activity which these corporates are taking up and then how the economy is opening. So, since we have a very small quantum which we can allocate to the corporate that's what I was saying we are trading off between the quality and pricing. We are not that much accelerating aggressively nor we are not so conservative, in between balancing we are making.

Moderator : Thank you. The next question is from the line of Mr. Prashant Galphade from ISJ Securities. Please go-ahead Sir.

Prashant Galphade : Sir, I have few question on Telangana farm loan waiver. So, my first question, when such policies announced, do Bank first show the loan as NP A before receiving the money or do they receive the money first and then they show loan as NPA. And my second question is in some Central Bank of India
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article there was mentioned that Telangana government will transfer the money directly to the farmer's Bank account. So, my question is, is it right? If it is, then the Bank will get the amount directly from farmers Bank account or what?

M. V. Rao: See, as far as the Telangana is concerned, the two from the crop loan perspective, we have a very small portfolio of up to 2,00,000 cities then what is the quantum of portfolio

Rs. 280 crores? We have very small portfolio that offline we will be giving you the details, very small portfolio we have that is number one, but per se on principle basis whatever the first question you have asked, we may not be in a position to give the answer which you want. So, that is that. And as far as the direct account, it is going to the farmers, it's okay because always all the banks will maintain the right of set of procedure whether it goes to the loan account or to his saving Bank account, no matter that will get be absorbed in the loan account. If anything, specific you have, please ask me if I am not clarifying you enough.

Moderator : The next question is from the line of Mr. Ashlesh Sonje from Kotak Securities. Please go-ahead Sir.

Ashlesh Sonje : Couple of questions from my side. Firstly sir, there was some change in accounting with the RBI suggested from April 24 on penal charges. Can you quantify what is the amount of penal charges which were classified now under non-interest income but earlier it would have been classified under interest income?

Mukul Dandige: To give you exact number, it was Rs. 48 crores roughly, which was part of interest earlier. Now it has come as penal charges.

Ashlesh Sonje : Understood. Secondly, sir, you gave out a number on recovery from return of accounts. Just can you please confirm that amount is Rs. 338 crores?

Mukul Dandige: See that is inclusive of other things recovery from write off is Rs. 211 crores.

Ashlesh Sonje : And so what is the outlook on the recovery from return of accounts for FY25?

Mukul Dandige: We have got a decent portfolio of close to Rs. 35,000 crores as far as the return of accounts are concerned, maybe technical, maybe prudential, and last year if I want to give an indication to you, we were able to recover Rs. 1,433 crores. So, we estimate that our recoveries during this financial year also should be in line with the last year's figures.

Moderator: Thank you. The next question is from the line of Mr. Sushil Choksey from Indus Equiity Advisors. Please go-ahead sir.

Sushil Choksey: Congratulations to the team and management of Central Bank of India on excellent performance. Sir, my first question is we have spent, and we

have replied in the previous calls

a lot of money on technology. How are we seeing it shaping up in the current year and specifically with balance sheet perspective, where we will have the benefit of that?

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M. V. Rao : See, we are spending lot of amount. First visible outcome what you are seeing is on the slippage ratio, the collection management system what we have established with the separate call center and feet on street people Pan India that has given a good stock for us, that's why our slippage ratio is 0.34%. If you see the previous quarter, it was never below 0.60% or 0.75%. That was the most visible result what we are seeing from the slippage ratio. Since slippage

ratio is so low that you can just imagine the cascading effect what the credit cost reduction are happening because of the low slippage ratio and how extra provisioning is not required. So, all those things are concurrent, benefits are also being seen now and coming on the customer experience part where already we have started certain digital lending products, that is the gold loans and also Shishu MUDRA and Tarun loans of the MUDRA loans and end to end for the KCC loans. These type of journeys that already we have gone through live on our new platform. That is the new lending platform and now again we have started onboarding the FB accounts through the digital means through V KYC, that is video KYC. Let me share the figures, almost we have opened 28,000 accounts and average balance which is being maintained is almost Rs. 20,000 in these accounts which are opened through digital channels and video KYC. So, there is a good traction that we are getting in this digital channel and coming to the products which we will be rolling out in coming days is a business loan, housing loan that will be rolling out in the next month. So, lot of traction that is coming and then we are going to reap the benefits in the near future. In this financial year itself, we will be reaping much of the benefit of this new platform.

Sushil Choksey: Between our digital spend co-lending, which we have one of the largest banks and the partnership, how is it having an impact on home loans and other products? Second thing is, Mr. Wahi, if he could give his outlook on the treasury market?

M. V. Rao: Regarding home loans, co-lending is also one of our channel to improve the housing loan portfolio. And as far as the co-lending part is concerned, out of Rs. 12,000 crores, it is a decent book. And as far as the SMA and NPA part is almost negligible in that. And housing loans, it is adding to my housing loan portfolio, it is a good number. This is a ballpark figure I am saying.

Sushil Choksey: Are we seeing a big traction because we are one of the best and attractive on rates and we also have schemes for women housing loans?

M. V. Rao: Yes. See, whatever the targets we have, we are reaching. It is not that we are falling short of our planned targets.

Sushil Choksey: I was made to believe, rather, I understand that our market share will increase. That is the reason I am asking this question.

M. V. Rao: Yes, definitely. The way we have planned our target, our market share is going to improve on that. That is going to happen.

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Sushil Choksey: And as far as your treasury part is concerned, our Mr. Wahi sir give the brief what is going to happen.

Vivek Wahi: See, the outlook remains the same, but with the war continuing and other geo-economic factors in the bigger continents, election year being in US and also very conflicting that are coming there from the US side, but more or less now it is crystallized that the Fed will be going for a rate cut in the month of September. So, if this happens, we are also not like lagging behind. And our scenario, of course inflation remains a sticky

thing and it is above our comfort level of

4%. So, going forward, we are expecting at least a couple of rate cuts in this financial year. So, I would say that the yields with these two rate cuts, the yield should come back to 675 and overall it will be a good year for the treasury. It is expected that it will be a good year for the treasury. Also, equity continues to rise and gives the comforting factor and as already in one of the previous answers, we have said that equity remains in now a part of HFT portfolio, so that also gives us some good P&L numbers on a regular basis. This is whole and as far as FX is concerned, dollar rupee continues to be around 8350 to 8360 levels and rupee showed a little weakness when it went from 30 levels to 55 levels. But overall, we do not see our currency is still one of the best emerging markets performing currencies, so we do not foresee much weakness further in the level of dollar rupee and it is being a stable part. So, that is now the reason we are expecting good foreign inflows also. That is all.

Sushil Choksey: Then my next question is, I saw the advertisement in the leading newspaper about the airline account recovery by selling the assets. Any update which you can share because that would dramatically impact our balance sheet in the current quarter or the quarter to come back?

M. V. Rao: See, it is all a legal process. The way we are moving ahead, if everything goes well, that is what I was saying earlier. We may recover major chunk by March.

Sushil Choksey: That is good to know, sir. Second thing, because of our CASA, our potential to be a large consumer Bank seems very visible because our CASA comes from areas which other banks are finding difficult to tap and on a consistent year we may be one of the best performing PSU banks in last 5-6 years since I have been tracking Central Bank on the CASA side. Our deposits can attract many consumer loans, cross selling and other things and you have taken great effort to establish some products. So, can I have some kind of a color where we can get the substantial benefit visible? I am not saying immediate but over number of years.

M. V. Rao : See, it is a continuous process , that innovation and technology and then marketing that goes hand in hand . As far as our Bank is concerned rightly, you have pointed out the hinterland what we have , there is a lot of scope for the cross selling and upselling and because of the new technology, what we are bringing in, whether on the insurance side or wealth management side on other products of the liabilities, exactly we are going to reap good harvest in this that is going to happen.

Moderator : Thank you. The next question is from Mr. Priyesh Jain from HSBC. Please go ahead, sir.
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Priyesh Jain : With respect to the RBI's draft circular on project finance provisions or PAT, could you just quantify what is the percentage of your portfolio that is impacted by it?

M. V. Rao: Sir, it's a very small portion. What we have calculated from the existing portfolio , it will be around Rs. 247 crores.

Priyesh Jain : And sir as per your estimate, what is the quantum of provisions you would be required to make on this portfolio?

M. V. Rao: This Rs.247 crores is the provision only.

Priyesh Jain : This is a provision, right, Sir? So, then could you also tell me like, what is the amount of your portfolio .

M. V. Rao: Which may attract this ?

Priyesh Jain : Yes.

M. V. Rao: Rs. 4800 crores or something .

Moderator : Thank you. The next question is from the line of Mr. Manish from Moneycontrol. Please go-ahead sir.

Manish : I just want the clarity on the project financing impact you have just recently just now answered. So, just correct me if I am wrong. You said Rs. 4800 odd crores is your project financing book as of 30th June, correct?

M. V. Rao: Which attract

s the 5% provision.

Manish : Which attracts the 5% provision . Then what is the total size of the book ?

M. V. Rao: Total infrastructure project or project?

Manish : Infrastructure project.

M. V. Rao: We will be informing you offline because it's not available right now.

Manish : So, out of the total portfolio , Rs. 4800 odd crores will get impacted and of that , Rs. 247 crores will be provisioning you are going to , you have already made it?

M. V. Rao: We have not made it, but we have enough pockets that we have kept it. Not for the provisioning, for the infrastructure. Once that guideline comes, we will implement it without affecting any of my P&L figures.

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Moderator : Thank you. The next question is from Mr. Sushil Choksey from Indus Equity Advisors.

Sushil Choksey : Sir, as you wear a dual hat of Central Bank and IBA , do you estimate this ECL provision, infrastructure provision on loans will come this year?

M. V. Rao: No, I am not going to say anything from the IB A's perspective. I can only tell you from Bank's perspective.

Sushil Choksey : Yes. But whatever you are seeing it will be incremented or it will get diluted . That's what I am asking.

M. V. Rao: From the Bank's perspective, whatever the measures that is being taken to strengthen the balance sheet in the long run is always welcome.

Sushil Choksey : And I think the cost can be passed on , it would be 10 -20 bps at max, am I right to assume that?

M. V. Rao: See if it is a corollary to that , that is going to happen.

Sushil Choksey : I appreciate your answer . And second thing, sir, as the Bank is progressing well on the retail and cross selling and co-lending and other things, do we have plans based on the current business outlook. If you're going to add some new products or new initiatives in current year or next year, which the market should like to know about ?

M. V. Rao: Number one is what we are planning right now is we have almost identified 438 pin codes where our Bank branch is not there, but banking business is growing at a very decent pace. So, now without going into the brick -and-mortar branches , now we will be piloting with our BC max branches outlets, which is the hybrid between the BC point and the brick -and-mortar branch that BC Max concept we are bringing in and probably next month we may roll out some pilot branches. That is for honoring the additional businesses where economy is doing well and our presence is not there.

Sushil Choksey : Second thing, sir, on the equity front, how are you seeing the picture on the dilution side ,

government office s likely or will you raise because we don't need equity based on the current profitability and our liquidity ratio. So, how are we seeing this move from government or government may not dilute because a lot of people are saying government is reluctant to dilute ?

M. V. Rao: Let us wait and see. There is nothing more I can say at this moment.

Moderator : Thank you. The next follow-up question is from the line of Mr. Ashok from Ajcon Global. Please go ahead, Sir.

Ashok Ajmera : Sir, Mr. Wahi sir has just explained about the treasury side of it, and he has given some emphasis on the equity earnings from the even equity and equity not being HFT portfolio. So, Central Bank of India
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can I know exactly I mean what is our basically the equity book in the treasury which is the active book on the treasury side and the kind of profitability which we are having from the IPO pool, the money which we are putting in the recent public issues and going forward what will be our strength ?

M. V. Rao: See, as far as our treasury operations and the equity is, we are not the main player number one. #2 portfolio, what we are holding is more of converted from the equity book during the restructuring period and

and wherever that upside is coming up in many of the scripts that we are just offloading in the market and as a player in the equity is on the IPO side where our people takes the call on the first day, first minute itself. That's how the things are moving right now. We are not holding any equity from the secondary market that with the hope of getting appreciation in the future and then offloading it.

Mukul Dandige: Ajmeraji and in addition, we have equity as far as kind of our long-restructured accounts. So, that equity is slowly when the moment those accounts are getting resolved, that equity is giving us a decent amount of upside. So, that is the reason. And in addition, our IPOs, we exist in the listing games. That is the major thing. Overall equity trading per se in our Bank is very, very minimal. Only IPOs plus equity gains on the restructured accounts.

Ashok Ajmera : At least it is giving you some color of the equity market and the power of compounding in the equity along with your banking business also. And I feel the time is there when now the way the overall growth story of the country, some portion of the investment must be put in the equity anyway. That's the point well taken. Just a point of information. RBI has levied a penalty of Rs. 1.45 crores. Is it the normal industry kind of default or violation penalty or it is specific to our Bank or some violation, sir?

M. V. Rao: No, reason is not specific to the Bank. It is the same reason for which other banks are also penalized.

Ashok Ajmera: And it's a one-off kind of a thing, isn't it?

M. V. Rao : Yes, it is same for all the banks.

Ashok Ajmera : And sir, on this ROA target of 1%. We stand on that for FY25, now „24-25?

M. V. Rao : Guidance, what we have given is 0.75% to 0.85% for the financial year „24-25. We are already at 0.82%, definitely our endeavor is to reach 1.

Ashok Ajmera: So, I must be remembering that endeavor may not be the target. Because you see, our Bank has great potential still to grow the profitability and the books have been cleaned so much, so there is not much pressure on the future provision point of view also. So, I think overall we can definitely try and grow ROA to 1%?

M. V. Rao: Yes, there is opportunity.

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Ashok Ajmera: And sir we were talking about this equity dilution and when our government share of equity is so high 93.08%. So, but you must have got at least some feeler that how the government is going to comply with the reduction or as per the guidelines to bring down the equity share of the government in the Bank, though you replied on the earlier question ?

M. V. Rao: Yes, that's what I told earlier, wait and watch. I have to maintain the same thing now also. I cannot change within 5 to 6 minutes.

Ashok Ajmera: And Sir, the last question in this last round is that with this change in the RBI policy on the investment book, I mean the treatment of the investment book on all HFS, HFT etc., is there any change in our treasury planning or the policy of duration of the holding in various books. Is there any change?

M. V. Rao : The duration is dependent more on the interest rate scenario rather than the accounting practice and we do not foresee any change in that policy. However, now all are expecting that there will be softening of interest rates, so naturally duration will increase, and every Bank would like to encash on that scenario. So, duration is bound to increase a little bit.

Ashok Ajmera : Alright, s ir. Then whatever the profitability will go back to our capital adequacy straight away rather than in profit.

M. V. Rao: Right.

Moderator : Thank you. The next question is from the line of Mr. Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : Just a couple of data keeping questions. Can you give a segmental break up of your slippages of

Rs. 650 crores for the quarter?

Mukul Dandige: So, you had asked about the sector wise slippages at least?

Ashlesh Sonje: Yes, s ir.

Mukul Dandige: So, slippage of agri was Rs. 106 crores. Corporate , it was Rs. 66 crores. MSME, it was Rs. 297 crores and retail it is Rs. 180 crores. So, that is the break up of this Rs. 650 crores.

Ashlesh Sonje : Perfect, sir. Secondly, s ir, earlier, a few quarters ago, you used to provide a break up of your NPA provision on the P&L in 2 -3 categories. One was aging provision, second was increase in slippages and third was provision write back due to recoveries and up-gradati ons, do you have a similar breakup handy for this quarter?

Mukul Dandige: I will be able to send it to you offline.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Raju Barnawal for closing comments.

Raju Barnawal: Thank you MD sir for giving us the opportunity to host the call and over to you, s ir, for your closing remarks. Thank you.

M. V. Rao : Yes, nothing more, just to thank all the participants for their time. And let me assure you the way we have given the guidance in the initial start of this year, we will continue to be our North Star an d we will be making all endeavo rs to reach that. That is the testimony of the June quarter that we are on the right direction. Thank you.

Moderator : Thank you. On behalf of A ntique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

■■■■■■■■■■■■■■■■■■■■ INVESTORS RELATION DIVISION Central Office

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CO:IRD:202 4:25:215 Date: 22nd October , 2024

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 17th October, 2024 .

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 17th October, 2024 on Financial Results of the Bank for the Second Quarter and Half Year ended 30th September, 2024.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance officer

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"Central Bank of India Q2 FY 25 Earnings Conference Call"
October 17, 2024

MANAGEMENT : MR. M.V. RAO – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL BANK OF INDIA

MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL
BANK OF INDIA

MR. M V MURALI KRISHNA – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA

MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER –
CENTRAL BANK OF INDIA

MR. MAHENDRA DOHARE – EXECUTIVE DIRECTOR –

CENTRAL BANK OF INDIA

MODERATOR : MR. RAJU BARNAWAL – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day and welcome to Central Bank of India Q2 FY '25 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Limited. Thank you and over to you, sir.

Raju Barnawal: Thank you and Good afternoon everyone and thank you for joining post -results conference call of Central Bank of India.

From the senior management side today , we have with us Shri M.V. Rao - MD and CEO; Shri Vivek Wahi - Executive Director; Shri M. V. Murali Krishna - Executive Director; Shri Mahendra Dohare - Executive Director and Mr. Mukul Dandige - Chief Financial Officer. Now without any further delay, I hand over the call to MD sir for his opening remarks, post which we will open the floor for the Q&A. Thank you and over to you, sir.

M.V. Rao: Thank you. A very Good afternoon to all the participants.

Before sharing the financials of this quarter, let me share the good news that bank has received the CCI approval to acquire 25.18% of equity shares in the life insurance division of Future Generali and 24.91% in the non -life. Once this process completes

then Bank will be having

two additional JVs along with the existing two JVs which we have for the home finance and financial services.

So now just I would like to give the highlights of this September quarter's financials and then our CFO will be giving a detailed presentation. I think by this time you must have received our presentation which is already uploaded on to the website. Our Bank's total business which has grown 7.07% now it stands at INR6.44 lakh crores and then total deposits at INR3.91 lakh crores where CASA stands at INR1.91 lakh crores which is 48.93% of the total deposits and the gross advances grew by 9.48% which stands at INR2.53 lakh crores and the CD ratio that is credit deposit ratio improved to 64.71 % Earlier in the previous September of '23, it was 62.43% around . Now gross NPA it stands at 4.59% and net NPA at 0.69%. Provision coverage ratio which is 96.31% and net profit has grown by 50.91% it stands at INR 913 crores and let me share with you, this is a 14th straight quarter which bank is recording a net profit, and the net interest income has increased to INR3,410 crores and then net interest margin it stands at 3.44% for this September quarter .

Return on assets is improved to 0.85%. Return on equity improved to 12.76 %. CRAR that is capital adequacy ratio now it stands at 16.27% where Tier 1 is 14.01%, so there is appreciable increase and a good set of numbers as far as the financials are concerned. For all the further details, our CFO will be explaining. Yes Mukul.

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Mukul Dandige: Thank you sir. So as sir has said net profit-wise last year three quarters whatever the net profit we had earned we have been able to surpass that figure in the first two quarters, that is the first H1 of this financial year. We have recorded INR1,793 crores of net profit during the H1 as compared to INR 1,741 crores of net profit for the three quarters up to Q3 during the last financial year.

The standalone headline numbers if we compare, the yield on advances has increased by 22 bps on Y-o-Y and it is now 8.84%. Yield on investment has improved to 6.93% an increase of 38 bps. The cost of deposits has increased only by 11 bps, and it is now at 4.71%. We continue to hold on to our share of CASA deposits. It is still in excess of 48%. The NIM increased to 3.44%. The ROE on an annualized basis is 12.76% . The credit cost we have been able to bring it down now to 0.56% with the net NPA coming down to 0.69% during this quarter.

The slippage ratio also has been controlled and now the slippage ratio is at 0.38% for this quarter. The liquidity coverage ratio is at 240.19%, so it is a very comfortable liquidity still bank is enjoying and the NSFR is at 146.69%. The EPS is at INR1.05 and the ROA has improved to 0.85%, so we are on our track to make it at 1%. If we see the total interest income has registered a Y-o-Y growth of 11.58% to INR 8,202 crores, the total interest expenses have increased by 10.85% to INR4,792 crores.

The net interest income has increased by 12.62% and it is now at INR3,410 crores. The total income has shown a growth of 17.08% and it stands at INR9,849 crores. The total expenditure on the other side has increased by 11.65% to INR7,684 crores. And therefore, the operating profit has improved by handsome amount of 41.5% to INR2,165 crores. The provisions are at INR1,252 crores and the net profit has shown an improvement of 50.91% and it stands at INR913 crores.

If we come to the breakup of interest income, the interest on advances has shown a growth up by 14.18% and it stands at INR 5,402 crores, the interest on investments has also grown by 9.13% and it is at INR2,547 crores now. There is a degrowth in other income which was the interest income that we received on the income tax refund by around INR210 crores. The non-interest income which majorly comprises

of recovery in write-off and other fee-based income, there also there is a very sizable improvement and on a Y-o-Y basis, there is a growth of 55.23% and on Q-o-Q basis also, there is a growth of 41.37% and the total non-interest income now stands at INR1,647 crores with recovery in write-off comprising INR620 crores out of this. The breakup of total expenses is that interest expenses have improved by 10.85% and the total interest expenses were at INR4,792 crores. Out of which, interest paid on deposits is INR4,530 crores, a growth of 8.43% and other interest was at INR262 crores. The staff cost was INR1,827 crores a growth of 27.14% and other operating expenses showed a degrowth of 5.08% and stood at INR1,065 crores.

As far as the provisions are concerned, the provisions for NPAs were at INR340 crores, 82% less than the last year same period. The standard asset to be made a provision of INR70 crores. The income tax provisions were at INR654 crores. On a prudent basis, the bank has made INR250 crores additional provision on standard restructured accounts. And therefore the total provisions were at INR 1,252 crores and the net profit was at INR913 crores.

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The asset quality as MD sir has said, the gross NPA is at 4.59% and the net NPA we have been able to bring it down to 0.69%. In absolute number terms, the net NPA is at INR1,674 crores.

The sector-wise NPA if we see retail is at only 0.12%. Agriculture and allied is at 1.62%, MSME at 1.34% and corporate net NPA is 0.15% only.

Our provision coverage ratio was at 96.31%. The slippage ratio as I told is now at 0.38% and the credit cost is at 0.56%. The restructured book is at INR 5,808 crores. However, INR 1,571 crores worth of accounts are common in the restructured book also and they are appearing in the special mention accounts also. As far as the SME position is concerned, the percentage of special mention accounts to total advances has come down on a Y-o-Y basis from 6.69% to 6.10% and the amount is INR15,425 out of which the amount under SMA 2 is only INR3,014 crores and SMA 1 is at INR1,957 crores.

The capital ratios, the CRAR stands at 16.27% with Tier 1 CET at 14.01%, the leverage is at 5.88%. The business across the Board total business improved by 7.07% and now it stands at INR6,44,858 crores. The total deposits grew at 5.57%. CASA deposits grew at 4.61% and now they stand at INR191,270 crores. The CASA share continues to be at 48.93% which is one of the best in the industry.

The RAM advances grew at 19.95% and stand at INR 182,205 crores. The CD ratio improved to 64.71%. Now within RAM also if we see the retail grew at 15.48% and it stands at INR76,373 crores, the agriculture showed a growth of 17.34% and it is at INR50,280 crores, and MSME has shown a robust growth of 29.45% and stands at INR55,552 crores. The risk-weighted assets still one of the lowest in the industry at INR167,998. There is a degrowth in the corporate loan book, but that was a conscious decision that the bank took, the corporate book has already grown by 10.61% and it stands at INR70,739 crores.

As far as the Retail segment breakup is concerned, retail constitutes 30.19% of total advances and within that housing loans constitute 63.06% and it has shown a growth of 18.51% on Y-o-Y. Education loan has shown a growth of 28.95%, the auto loan has shown a growth of 15.18% and personal loan at 10.35%. The rated standard advances continue to attract our attention. And the total AAA, AA, and A book and BBB book constitutes INR63,365 crores. The sanctions and the outstanding and co-lending are very robust. We have been able to achieve all the mandated targets under the priority sector. Investment book continues to give us

very good profit and the yield has improved to 6.93%. And if we take the trading profit also, then the yield has topped

7.76% now. So these were the basic highlights of the performance for the Q2. Now with the permission of MD sir, we'll open it for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Mr . Ashok Ajmera from Ajcon Global Services Limited . Please go ahead.

Ashok Ajmera: Thank you for giving me this opportunity. And complements to Rao sir and the entire team of the Central Bank of India for yet another very good quarter of a good set of numbers. I think ,
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profitability in the recent times and consecutive profitability for last, I think 14 quarters also. Having said that, I got a few observations and some concerns which needs to be addressed. So sir my first is on the advances growth, the credit growth. So I think there the growth is absolutely muted as against INR251,000 crores in the March now it is INR252,000 crores if you take the entire 6 months as on today and I mean the similar story in the net credit also. So credit wise there is hardly any growth? So first is that how do we plan to achieve our targeted credit growth in the financial year now 2025?

Based on the sanctioned pipeline and the projects and applications under sanction and processes and what is your target for that? And how do we plan to achieve the same . So that is my first question which are on the credit growth the business growth.

M.V. Rao: Yes. Thank you. Ajmera sir really you have asked us a very pertinent question. As far as the trade growth is concerned, if you see the growth in our RAM portfolio which is very, very robust and whatever that dip that has come is on the corporate loan book. This is a very conscious decision because when we are experiencing the rate of interest from the corporate side what they are demanding, and we do not want to sacrifice the NIM.

So vis-a-vis where without any credit costs from my investment side, I'm getting much more than what this corporate credit borrowers were asking rate of interest. So that was a conscious decision taken by the bank, that's why there is a dip of almost INR7,000 crores in the corporate loan book. Always it was a very short term, but nonetheless we were not interested to take up at a low cost. So it is only to protect the NIM of the bank that we took this decision not to increase the corporate loan book, that's why there is a dip of INR 7,000 crores.

Ashok Ajmera: Okay. So now going forward, the entire FY '25 financial year where do we see the credit growth in percentage terms vis -a-vis the March '24?

M.V. Rao: See, we are conscious of the bottom line now. Protecting the bottom line, the way we are intended to grow that depends upon the market opportunities as well as the rating of the accounts where we can trade off between the credit risk weights and the rating of the accounts with the rate of interest. So what the projection we would like to make now is bottom line will be protected and then we will be eyeing for the enhancing the bottom line rather than eyeing for the top line.

Ashok Ajmera : So now no growth target, sir 10%, 12%, 15%?

M.V. Rao: We have a growth target already that for a year, we have given 12% is the floor and 14% is the upper limit for the credit growth.

Ashok Ajmera : So you are maintaining the same?

M.V. Rao: That we will continue to maintain. Depending upon the opportunities we will be there, but at the same time just to increase the credit growth to reach the percentages, we are not going to sacrifice the bottom line.

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Ashok Ajmera : Sir, point well taken sir. My second question was on the standard restructured accounts . Sir we have seen that the provision of INR229 crores has been made. So as I understand our total standard restructured book is around INR5,800 crores something which

includes COVID

standard restructured also. So what is the total overall provision we are holding sir on the total standard restructured book including COVID?

Mukul Dandige : See these categories comprise three . One is the restructuring done in terms of the RBI earlier circular of 2017, '18, '19. So there the provision held is 5%. Then under the COVID this one, there were two sets 10% and the accounts which had already slipped before the restructuring was undertaken, there the provision was to be maintained. So we have a 15% provision in

those accounts.

So put together roughly INR5,808 crores we can safely say that it would be around 11% to 12% provision that we are holding. Now on a prudence basis we have made INR250 crores additional provision. These accounts will be also ECL compliant. I mean where we need to put in additional provision as per ECL.

Ashok Ajmera : So altogether we are holding about INR850 crores to INR900 crores. Isn't it sir?

Mukul Dandige : Yes.

Ashok Ajmera : Including this INR229 crores?

Mukul Dandige : Yes, INR 250 crores.

Ashok Ajmera : Yes. I mean, yes, INR250 crores. Sir, there is a very good income from the treasury operations in this quarter which has been booked and a very smart recovery from the written -off account also I think INR560 crores. So sir, going forward can we take this number for the remaining 6 months also, a good set of numbers so that to just the future profitability for the whole of this 2025? Do we have some is it more in the pipeline from the written off account to recover?

Vivek Wahi : Where are we regarding treasury, we are very much hopeful that in this decreasing wave scenario, of course, our regulatory is yet to look at rates, but we are very hopeful. It is almost priced in, but still we are hopeful that until March there will be around two rate cuts expected. So we are hopeful that the scenario should continue, and treasury should give us a good yield. As MD sir has rightly said, that type of yield we were not getting in even in our public sector and government public sector advances included, so that is there. And in write -off accounts of our ED colleague, Mr. Dohare will show some light.

Mahendra Dohare : Written -off account also, we expect a similar numbers in the rest of the financial year because there are few accounts and which are in the pipeline, and we are very hopeful to get the good recoveries in these accounts.

Ashok Ajmera : Sir, there was very good news which we read, and you also announced that Bank is taking the sizable stake in Future Generali, both in the life and general. So going forward, sir, I mean, Central Bank of India

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what kind of capital infusion? Number one is the acquisition cost and secondly how optimistic we are about this investment going forward in future?

M.V. Rao: See. As far as the acquisition is concerned it is the open bidding process which has happened in the NCLT, we would be able to get INR508 crores. That is our acquisition and then going forward you know very well the bank assurance contributions to our P&L. Only with the distribution channels what we have, it is almost covering INR 120 crores. So that is a kitty that is already there. And going forward we see a lot of synergies here. Let us wait and watch for the next move.

Ashok Ajmera : Yes sir. Sure. Sir one small data point on the miscellaneous income in this quarter has rapidly grown to INR137 crores. So is there any component of INR70 crores, INR 80 crores, INR60 crores, INR70 crores coming from somewhere in the miscellaneous income in this quarter? From generally INR50 crores, INR55 crores, INR60 crores it has gone up to INR137 crores?

M.V. Rao: There is no IT refund this time.

Mukul Dandige : See my other total income is INR1,647 crores out of that commission brokerage is INR119 crores on which LC/BG/DD commission is INR49 crores, government

business is INR26

crores, bancassurance is INR44 crores, service charges is INR379 crores. Other miscellaneous, okay this you are saying.

Ashok Ajmera : Below the service charges?

Mukul Dandige : Yes.

Ashok Ajmera : Because it's a good sizable account you said with respect to the bottom line.

M.V. Rao : Once we find it we will share with you.

Mukul Dandige : I will give you the details.

Ashok Ajmera: Yes. No problem. I will take it later. There is no issue. Thank you very much sir in this round. And if time permits I will come back again. Thank you and all the best.

Moderator: Thank you. We now have the next question from the line Mr. Sushil Choksey from Indus Equity Advisors. Please go ahead sir.

Sushil Choksey: Congratulations to Team Central Bank for excellent performance and a good direction. Sir, where CD ratio is concerned, I see you have a great advantage in the current banking system led by our CASA and many of the opportunities. So where do you see the next 6 months where we'll end up?

M.V. Rao: Yes, our guidance is to reach 70% that definitely our endeavour is to reach 70%. We are quite confident by this financial year ending, we will reach at 70%.

Sushil Choksey: What would be unavailed limits and what is in pipeline visibly from this quarter perspective? Central Bank of India

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M.V. Rao: Pipeline is two views, almost INR12,800 crores is in the pipeline that is there. But all the se many of them are the term loans where disbursement happens in stages and entire INR12,800 cannot be drawn by March '25. So as far as reaching the 70% of CD ratio we are confident, no issue.

Sushil Choksey: Are you seeing any green shoots from private sector or at least is mainly public sector borrowings?

M.V. Rao: Yes, that is a trade of what we are always doing with the rating of the account and then rate of interest. We are trading off, yes.

Sushil Choksey: So low-yielding ones you are not taking up, but the high yielding ones what you're taking up? That's what is my assumption?

M.V. Rao: No, optimization is happening. It is not that if someone offers 9.5 and we will be very happy to take AA-rated this one so we will see how it comes out.

Sushil Choksey: What I meant is your conscious of quality and the sector what you are choosing with the right mix. So you're being prudent on the subject of lending that I understand. Sir, now the best news which we got in terms of our acquisition of Future Generali insurance, and I know that you have been conservative in speaking besides the to at what rate and things like that and what revenue we are able to generate.

Sir, can you throw some light on a picture how the synergies between both will work? How will the bank benefit and your investment will fructify multifold over a period of time?

M.V. Rao: No. I do not want to tell all those things. Just I would like to give a small insight into this particular business because where we see a lot of synergy. See we have though we have the 8 crore s borrower profile, 8 crores customer profile almost 5.6 crores is the active customers we have. When we are analyzing this insurance, it is only penetration is 0.61. Just you can imagine what is the cake that is available from my own customer active customer profile. So just I'm leaving at that point and regarding the asset insurance which is primarily driven by our asset portfolio and then new disbursements and new customers what we acquired. From our analysis, we see that though there is no focus, it is only a 20% to 25% of the assets are getting insured through the Banca channels. Another 75% is being done by the other channels. So just I'm giving the insights of the facts which are existing on my records. Just you can extrapolate or think what is going to happen in future once we have this arrangement in place.

Sushil Choksey: Being an existing customer Fu

ture Generali in some manufacturing-related activities. My experience about the company is excellent. Will the systems between our and Future Generali where this cross-sell and would be integrated technologically or only this referral work will work?

M.V. Rao: See, these are two separate things. One is right now I'm an investor. Once that acquisition happens, it becomes a JV, that is one part. Second is as per the regulatory guidelines, distribution channels which are available to all the partners with whom we have the Bancassurance tie-up that will continue, but at the end of the day the services provided by Central Bank of India

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these entities to the customers if customers are happy and then the way these people continue to service the needs the insurance needs of the customers normally wherever best service is available, they will move to that channel. That's why these are all two distinct areas. I do not want to mix up this.

Sushil Choksey: My experience on the digital side has been excellent. That's the reason I just sort of feedback.

M.V. Rao: Yes, we have digital channels that is from day one it will be a totally digital integration that will be there.

Sushil Choksey: How are we going to rebrand this and how soon that would be visible because that can big visionary for...

M.V. Rao: Still we are discussing all aspects regarding this branding and all the things. So let us see. It will take a little more time for us to publicly declare what will be the share.

Sushil Choksey: No, I'm not asking anything basically whether it will take shape in the current year by March '25 or not, that's what I was asking?

M.V. Rao: It should be before March only; it has to happen.

Sushil Choksey: Okay. Second thing sir on the CASA which is a very sustainable success story of Central Bank of India may be one or two other cases are comparable, not much. The efforts have been excellent from the team, which is working on it, whether it's rural Tier 2, Tier 3 were a basis. We have migrated on many technology platforms, and we are doing a lot of digital initiatives.

Has those results started fructifying or the early visibility only and that would add to our kitty in a long-term basis?

M.V. Rao: No, already some of the products are rolled out where we are seeing the traction in that. And many more products that are slated for the next two to three months it is a continuous process where we will be shifting many of these products onto this new technology platform where a lot of optimization happens on the cost and also efficiency parameters. Coming to your point of CASA and all those things, let me share with you we made some experimentation with the BC Max because everyone knows in the industry, there is a one concept called a banking correspondent and another is your physical brick-and-mortar branches. We brought a hybrid in between and we have rolled out the pilot and it is very successful. And then going forward this will be the model where we will be reaching out in areas where our presence is not there. And then business is also happening well. In those areas where we will be moving with the BC Max centres. It is only a totally technology based solution.

Sushil Choksey : How many such touch points will be rolled out, sir?

M.V. Rao: We have identified almost 520 pin codes where CAGR of banking business is more than 15%, and our presence is not there. So as a pilot we are rolling out 25. And then based on this one again we will be expanding in all the pin codes where this business is there, and my branch is not available.

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Sushil Choksey : Okay. So this would bring a lot of additional benefits to the bank from all perspectives. So all the exercises what we are doing or what we have planned for last 12 months on digital initiatives, how much

capex we would have done so far and what is left that will still continue on an ongoing process and what is onetime?

M.V. Rao: See it is ongoing. This year our budget was around INR800 crores. And then some milestone-based payments have happened. That's why I cannot pinpoint and say this is the amount what we have expected, but budgeted is INR 800 crores and as per the milestones as our partners are achieving that payments will get released.

Sushil Choksey: Sir, my next question to Mr. Wahi. What is the indicative guidance on the treasury yields for the year-end?

Vivek Wahi : Sir this calendar year we are not expecting now further much fall already touched INR 672 crores. So maybe 4 basis points, 5 basis points here and there for this quarter, but definitely for March quarter, we are seeing another at least 15 basis points fall. So overall, it should not be more than 25 basis point fall up to March. This is our in-house view on the tenure. We had let us hope that scenario continues, and our treasury is a good time for treasuries have again come, it is a cyclical thing you all know. So let us hope for the best.

Sushil Choksey : Sir, in view of your treasury outlook, do we not only for our bank we were not in the rat race for CD ratio in terms of deposit mobilization at any cost. We have been very comfortable.

What is our strategy on growth of where deposits are concerned in the next 6 months?

M.V. Rao: See deposit growth what see one thing you rightly observed. As far as our bank is concerned, I think only bank which is not in the certificate of deposit market, we never were there in that CD and we are very conscious and then we are principally, we are on the belief that CD should not fund our growth. And having CD ratio of 65%, we have a lot of liquidity. And then we have a CRAR above 16%, and we have enough growth capital and also liquidity. Going forward, our focus more will be to acquire the new customers on the CASA side and then offer differentiated products to the existing customers.

Sushil Choksey : Sir, as we have not been in depository as repricing might be hurting a lot of banks. Do I assume that we are comfortable with repricing of deposits and the sustainability is concerned to cost?

M.V. Rao: We always factor that past because my 49-point is already on CASA, and then taking the current deposits, my repricing portfolio which is exposed to the repricing portfolio is 50%.

Within a year it will be around 24% to 25% that always we factor in. Whatever the increase in deposit rate, we make is only to protect our own turf in the deposit portfolio so that my customer need not go to other banks or want a higher rate of interest in term deposits. So that's the strategy we follow, and we are successful in that.

Sushil Choksey : Sir, do you think that with the treasury outlook and the global money market Indian rates in terms of cost of funds today bank-to-bank MCLR might be rising, but more or less in the current financial year, the rates have peaked from MCLR point of view?

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M.V. Rao: But in normal this one you can say it is peaked, but if you see the certificate of deposit market, it is almost public sector itself INR2.76 lakh crores is there in the CD. Even if they want to shift it on to the customer deposits from C D to customer deposits, I do not know to what extent. But there is a probability that the rate of increase in the deposits may not be the same way which was happening for the past 6 months to 8 months.

Sushil Choksey : Sir, can you repeat the number of CD amount?

M.V. Rao: It is the total public sector banks which have raised these INR2.76 lakh.

Sushil Choksey : And as a system sir?

M.V. Rao: Total system INR5.36 lakhs.

Sushil Choksey: Sir thank you for answering.

M.V. Rao: Private banks and public financial institutions.

Sushil Choksey : Anything

new which the shareholders or the analysts don't know, and we should know in the for the years to come?

M.V. Rao: Never that will be. New people will be much more having the market...

Sushil Choksey : Sir, what I meant is some new initiatives like Future Generali we acquired I'm not saying some acquisition has to happen, but some new business development, new plan maybe a large recovery, something growing from written off account, something which would aid our profit for the second half in terms of some new efforts or some new initiative on business, digital, whatever it may be that something new which will stand out for us in the next 6 months, that's what I meant?

M.V. Rao: Yes. I will share you in January call, whatever that we have done new and what was the result.

Sushil Choksey: Thank you sir and I will come back in the queue again.

M.V. Rao: Thank you.

Sushil Choksey: All the best and best wishes for the year.

M.V. Rao: Thank you.

Mukul Dandige : Sir, there was a question from Ajmera, he wanted to know about the details. So this INR 90 crores out of that INR 137 crores is the penal charges because till 31st of March, it was penal interest now it is penal charges. So we have segregated this. So that is why this – yes this is miscellaneous income is appearing higher.

Moderator: Thank you sir. We have the next question from Ashlesh Sonje from Kotak Securities. Sir you may proceed.

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Ashlesh Sonje: Hi, team. Good afternoon. Sir, just a couple of questions. Firstly, if I look at your SMA 2 book above INR5 crores that has increased quarter-on-quarter from INR6 crores to INR360 crores.

Can you share more details about this increase?

M.V. Rao: Just a minute SMA 0 what you are saying?

Ashlesh Sonje: SMA 2 ?

M.V. Rao: Above INR5 crores it was INR174 crores right now. INR88 crores it was there September '23 which has gone up to INR117 crores in June '24 and September '24, it is INR174 crores .

Mukul Dandige: See, I'll give you the details of top five accounts. Top five accounts constitute now INR180 crores plus.

Ashlesh Sonje : Sir if you just look at the Q-on-Q movement of the SMA 2 book above INR5 crores. I'm talking about SMA 1, I'm sorry. It was INR6 crores earlier. It's gone to INR360 crores SMA 1?

Mukul Dandige : SMA 1.

Management: SMA 1 also if the top five accounts constitute now INR325 crores. However, out of that one account already regularized. Other accounts are continuing in SMA 1, and we do not foresee any of them slipping.

Ashlesh Sonje : So you're saying out of that INR360 crores, INR 325 crores is from just one account and that is now...

Mukul Dandige : INR325 crores is of the top five accounts. Out of that, one account is already standard worth INR10 crores, one big account is there, but that also is I mean okay we do not foresee any issue in that account also.

Ashlesh Sonje : Okay. So this is our telecom-related account, the big one?

Mukul Dandige : No.

Ashlesh Sonje : Okay. And that has become current again, the big account?

Mukul Dandige : It continues to be in SMA 1 only .

Ashlesh Sonje : Okay. Perfect. And secondly, you have made an additional prudent provision on standard restructured accounts, you said roughly INR 260 crores, but your standard restructured book overall has only declined Q-on-Q?

Mukul Dandige : Now what has happened is we were to bring our net NPA in line with the industry that we have

been able to do successfully. Now our net NPA has come down to 0.69 %. So now we have shifted our attention from the ECL perspective if and when it comes. So we should be well prepared. So with that perspective already the standard restructured book we are having around roughly 10% to 11% build-up. So we want to build based on the PD and other things, we want to proactively build provision in that book also.

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Ashlesh Sonje : Understood. So there is no specific exposure for which you have made this provision ?

Mukul Dandige : No. It is only entirely the standard restructured book.

Ashlesh Sonje : Understood. Sir, just one last data keeping question. Can you give a breakup of your slippages across segments that INR766 crores of fresh slippage?

Mukul Dandige : Yes. So under Agri the slippages were INR187 crores. Under corporate, it was INR164 crores. Under MSME, it was INR270 crores and under retail, it was INR 145 crores. And including the increase in balance of the existing NPA if we want to speak then INR 233 crores in Agri , corporate INR183 crores. MSME INR330 crores and retail INR168 crores.

Ashlesh Sonje : Okay. Perfect. Thank you sir.

M.V. Rao: I think if anyone is not there we can conclude our session.

Moderator: Okay sir. As there are no further questions, I would like to now hand the conference over to management for closing comments.

Mukul Dandige : So on behalf of the entire top management of Central Bank of India, I would like to extend thanks to all the analysts for sparing their time and interacting with us. We'll continue to post good numbers with our endeavours, and we'll continue to excel. Thank you so much.

M.V. Rao: Thank you.

Moderator: On behalf of Antique Stock Broking Limited, this concludes conference. Thank you for joining us, and now you may disconnect your lines.

Call: Feb 2025

■■■■■■■■■■■■■■■■■■■■ INVESTORS RELATION DIVISION Central Office

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CO:IRD:202 4:25:280 Date: 27th January , 202 5

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 20th January , 202 5.

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 20th January , 202 5 on Financial Results of the Bank for the Third Quarter and Nine Months ended 3 1st December, 2024.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance officer

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"Central Bank of India Q3 FY '2 5 Earnings Conference Call "
January 20, 202 5

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MANAGEMENT : MR. M V RAO – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL BANK OF INDIA

MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL
BANK OF INDIA

MR. M V MURALI KRISHNA – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA

MR. MAHENDRA DOHARE – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA

MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day and welcome to the Central Bank of India Q3 FY '25 Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking. Thank you, and over to you.

Raju Barnawal : Thank you. Good afternoon, everyone, and thank you for joining post result conference call of Central Bank of India. From the senior management side today, we have with us Shri M V Rao, MD and CEO; Shri Vivek Wahi , Executive Director ; Shri M V Murali Krishna, Executive Director ; Shri Mahendra Dohare, Executive Director; and Mr. Mukul Dandige, Chief Financial Officer. Now without any further delay, I hand over the call to MD sir for his opening remarks, post which we'll have the Q&A. Thank you, and over to you, sir.

M.V. Rao: Yes. Thank you, Raju ji, and a very good afternoon to all of you. First of all, thank you for giving us the time. First I'm going to just give you the broad performance highlights on a year-on-year basis and then followed by a detailed presentation by our CFO. Our Bank's total business grown by 8.31%. Now it stands at INR6.68 lakh crores. Total deposits grown by 5.34%.

Now it stands at INR3.97 lakh crores, wherein CASA has grown 5.72% and the share of CASA, one of the best, is a 49.18% of the total deposits. Gross advances has increased by 12.99% that is 13%. Now it stands at INR2.70 lakh crores. And credit deposit ratio, it is improved, now is at 68.25 from the earlier December '23 figure of 63.60.

Gross NPA, which was 4.50 % in December '23 has come down. Now it is at 3.86%. Likewise, net NPA, which was 1.27% in December '23, now it is at 0.59%. Provision coverage ratio has improved to 96.54% from earlier figure of 93.73%. Net profit, which is the highest for the past 15 quarters, that is INR959 crores for this quarter and for these 9 months, we have recorded INR2,752 crores. And if you see the whole financial year of the previous year, it was at INR2,549 crores, that is in these 9 months , we have surpassed the previous year's net profit .

And coming to the NIM, that is Net Interest Margin , it stands at 3.48%, which is 20 basis points higher than the previous year, that is 3.28% in the previous year. Return on Assets has increased by 18 basis points, now it stands at 0.87%. Return on Equity , now it is at 12.96% and the CRAR, capital adequacy ratio, has improved to 16.43%, and previous December, it was 14.74%. Now this is only the performance highlights, just I have given. For further details, our CFO will be taking you through. Thank you.

Mukul Dandige: Thank you, Respected MD sir. So as given -- highlights have been given by MD and CEO, sir, our profitability, as you would have seen for the last 15 quarters, the Bank has been able to give a sustained profitability growth. The 3 quarter s' profitability has been at INR2,752 crores, which

is 57.98% higher than the corresponding 9 months period of the last financial year and we have already crossed the entire last financial year's net profit during these 9 months period only.

If you see the headline numbers, there has been improvement across the board with yield on advances at 9.01%, yield on investment at 6.87%. The cost of deposit increasing by only 9 bps to 4.81%, which is again, one of the lowest in the industry. The NIM being very strong and robust at 3.48%. The credit cost is coming down to 0.49%.

The slippage ratio is at 0.39% and

the very comfortable liquidity coverage ratio of 233.60% and net stable funding ratio of 140.44%. The ROA at 0.87%. And if we consider the 9 months ROA, there is an uptick of 22 bps in this, and it is a very, very substantial improvement over the last

financial year.

The total interest income has improved by 8.98% on a Y-o-Y basis, and the total interest expenses have improved by 6.72% to INR4,970 crores. Thereby, the net interest income has improved to INR3,540 crores, an increase of 12.31% on a Y-o-Y basis. The total expenditure increase has been at 7.88% to INR7,776 crores. The operating profit has increased by 1.66% to INR1,963 crores.

And the net profit, there is an improvement of 33.57% to INR959 crores, which is the highest ever net profit recorded by the Bank in the quarter. The interest on advances has improved by 10.06% to INR5,689 crores. Similarly, the interest on investment has improved by 10.26% to INR2,590 crores. Thus, the total income has improved by 8.98% to INR8,510 crores.

The non-interest income and other operating income put together has improved. I mean, there is a slight decline on a Y-o-Y basis to INR1229 crores, mainly because of the slightly lesser recovery in write-off accounts. But other than that, it is more or less same. As far as the total expenses are concerned, the interest expenses on deposits have increased by 7.5% to INR4,700 crores.

The operating expenses have improved by 10% to INR2,806 crores. The staff cost has improved by 7.69% to INR1,792 crores. And thus, the total expenses have improved by 7.88% to INR7,776 crores. The provisions NPA provisions, the Bank has made INR310 crores of provision on NPAs. Income tax provision has been made at INR448 crores.

We have made a provision of INR250 crores on standard restructured accounts where we expect that there might be some impact due to the ECL guidelines, if and when they kick in. So overall, the total provisions at INR1,004 crores are lesser by 17.23% on a Y-o-Y basis. Then the asset quality, if we see the, gross NPA has come down to INR10,460 crores, representing 3.86% and net NPA is at INR1,555 crores, which is 0.59%.

If you see on a sequential basis, the gross NPA and net NPA has come down over the last quarters. The sector-wise NPA classification, if we see. The Retail is having NNPA of only 0.08%, Agriculture & Allied activities at 1.50%, MSME at 1.21% and Corporate & Others 0.12%. The provision coverage ratio has further improved, and it is at a very healthy 96.54% now.

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The slippage ratio is at 0.39% and the credit cost is at 0.49%. Resultantly, the capital adequacy ratio of the Bank has further improved, and it stands now at 16.43% with 14.21% of CET1. The restructured book stands at total INR5,515 crores and special mention accounts of INR5 crores and above, total constitute now INR979 crores only, with hardly any stress in any of these major accounts. If we go into the details of the business across the board. Total business improved by 8.31%, and it stands at INR668,686 crores.

The advances grew at 12.99% to 270,779 crores, of which RAM is INR189,303 crores and the growth in Retail, Agri, MSME was at 17.99%. The risk-weighted asset, if we see, it is at one of the lowest in the industry, despite the corporate credit at a healthy percentage. The deposit front, Bank is still able to maintain its premier position as far as the CASA is concerned, with 49.18 % of the deposits under CASA.

Bank has got a much diversified loan book with Retail, MSME, Agri and Corporate being spread evenly. Within Retail, which constitutes 29.52% of the total advances and the growth in Retail was at 16.18%. Housing loan constitutes 62.95% and the growth in housing loan was 19.24%. As far as rated standard advances are concerned, the concentration in AAA -

rated accounts has increased by 10.02%.

In A-rated advances, it has increased by 31.29% and investment-grade advances by 19.12%. The Bank maintains its premier position as far as the co-lending book is concerned, and the co-lending book is at INR13757.92 crores as on 31st December '24. The treasury is very well managed with total book size at INR153,070 crores, and the yield on treasury has further improved to 6.87% as on December '24 compared to 6.40% in December '23.

The modified duration in PV01 is very well controlled and it is managed in a very, very efficient way. So, these were the overall highlights of our performance during the Q3 of the current financial year. Now we would request for any questions that are there.

Moderator: Thank you very much. We'll take the first question from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Compliment to you, sir, for yet another good quarter in spite of so many issues, headwinds. A little bit pressure on the operating profit, though the net profit has been managed well with may

be a little lower provision of taxation and a little bit of other provisions. But having said that, sir, now going forward, with this current scenario, like where a lot of news flow and the rumours are around, how do you see in the basically in the commercial Bank and mostly in the public sector and some of the large private sector Banks, the growth prospects in the coming quarter and the whole FY '25 ending?

Because so far, the results have been good of whatever has been declared. But in spite of that, I mean, we all know that the stocks were hammered down very badly. So, is there any concern on that front of the growth front or the profitability front as such? This is my first question, sir.

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M.V. Rao: Okay. See, what is the position of other Banks, private or larger Banks that I do not want to comment upon. Just as far as my Bank is concerned, we are very sure that whatever the guidance we have given earlier that we are going to achieve. Earlier, we have given that our business growth will be 10% to 12% that we are going to touch that band. Likewise, for your advances also 14% to 15% band we have given that we are going to be there in that band.

Likewise, in deposit growth, 8% to 10% guidance what we have given in April that continues to hold good and that we are working towards that, and we are confident in achieving. As far as the profitability is concerned, anyhow, the figures are out that we have surpassed the previous entire financial year's net profit, and we don't see any break or any kind of struggle or hurdle in that way to achieve the figures for the March. This is a very simple way of putting my Bank's position. And I do not want to comment on the other things, what you have asked earlier.

Ashok Ajmera: Point well taken, sir. Similarly on the recovery front, where do we stand? And that one big that aviation account, what is the prospect? I mean, is there any progress or any what are the chances of the recovery and the how fast and the overall recovery scenario?

M.V. Rao: See, overall recovery, whatever the amount that we have targeted that we are achieving under recovery, as far as that one big account, what we are referring to, we don't see any great recovery within this March quarter. Definitely, it will be there in the first half year of the next financial year.

Ashok Ajmera: So even that I'm not seeing I mean, that collateral we had.

M.V. Rao: Yes, yes, that is a lot of inquiries are happening, a lot of due diligence, a lot of things are happening, but unless until it is crystallized, we cannot tell with certainty.

Ashok Ajmera: Sir, you said about the growth and the growth will continue. But now with this many of the new norms introduced by and restriction introduced by RBI on the

co-lending, I mean, your Retail space by the NBFCs also and so don't you think that there too many people are chasing too few good accounts there, and there can be a pressure on our retail loan growth also and co-lending growth also?

M.V. Rao: No. We see in some other perspective. Cake is too large. So, there is no depth of opportunity. It is only that what is the trade-off you are going to make with your lower rate of interest and quality of advance that is the cusp of the entire growth story now.

Ashok Ajmera: So, we have been reading sir that, there are delinquencies on the personal loan front in the small loan accounts where the defaults are increasing in the recent months. So, do we have any such concerns, any such kind of portfolio in our retail loan book?

M.V. Rao: No. See, ours is a plain vanilla type of personal loans we have. We extend the personal loans only to the salaried employees where employer gives the undertaking for deduction and salary accounts are with the Bank. Ours is a very limited portfolio, and we do not have any type of concerns or issues in that portfolio.

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Ashok Ajmera: Okay. Sir, last question in this round. On the treasury front, of course, the profitability now mainly going to the reserves. But on the trading profit side and the investment through the equities and IPOs, what could be the approximate ballpark numbers on that? On the equity trading front and the IPO investment profitability and some of the other investment in equity?

Mukul Dandige: See, Ajmera ji, total trading profit if we compare quarter -on-quarter, this quarter it has been INR216 crores against trading profit of INR151 crores in the December quarter of previous year. So, you'll appreciate there is a decent job. So that is the reason that our yield on investment including trading profit is now at a very healthy level of 7.32%. Equity share would be around INR100 crores in this .

Moderator: Next question is from the line of Sushil Choksey from Indus Equity Advisors.

Sushil Choksey: Congratulations to team Central Bank for a very stable and a positive number. Sir, before I start Q&A, I know that you've given some guidance on the year. But can you throw some light where return on equity, return on assets, what kind of NIM will in that? Advances number you've already indicated and second thing, some picture on CASA, because our strength is CASA. So, some highlight over there. Where is our CASA coming from? Is it Tier 1, Tier 2 cities, smaller towns?

M.V. Rao: Yes. As far as -- I will take the last question first. As far as CASA is concerned, you know that market is very tight and a lot of competition that is there. Yes, because our rural and semi -urban presence, network reaches almost 65%. That's why we could be able to hold on to the 49% of CASA. It is the interior of Maha rashtra, Madhya Pradesh, Eastern Bihar and Eastern Uttar Pradesh and Eastern West Bengal, these five areas that are contributing to us for the CASA. Going forward also, we think that we are going to maintain our turf in this. That is on the CASA front. Regarding the ROA, whatever the guidance earlier, what we have given in April 2024 is, we will be in the band of 0.75% to 0.85%. Now I'm very happy to share with you we are right now at 0.87%. So, it is not the optimistic projection. It is with confidence I can tell that we are going to touch 1% for the March, for the ROA.

Sushil Choksey: And what about NIM and ROE?

M.V. Rao: NIM, our guidance was above 3% and we are at 3.48% as that, definitely, we are sticking to the floor level of 3%. Definitely, it will be above that only as far as the NIM is concerned.

Sushil Choksey: Sir, when I see your presentation on diversified loan book, your total Retail business is almost matching Corporate book. With your CA

SA, where it is today, the customer reach which you have created an 80 million -plus customers, do we think we've become a consumer Bank among the public sector Bank s with initiatives, which I'll ask you in the next question, in a stronger way than what we are targeting?

M.V. Rao: See, our rebalancing of the cr edit book what we have done for the past 3 years now, it has come to a stage right now, we are at 70%-30%, 70% is our RAM segment and 30% is Corporate. And the guidance what we have given is 65% -35% with plus or minus 5% that we are maintaining.

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As far as a Bank turning into a totally Retail oriented, definitely, as far as risk part is concerned, we will continue to be on the same platform what we have told earlier, 65%, 35%, so that shock absorbance will be much higher than the concentrated corporate lendi ng portfolio.

Sushil Choksey: Sir, my question pertaining to consumer Bank is more because either it is not only interest rate but service, which may be supporting the Bank 's business. It's not that only interest rate can attract.

M.V. Rao: Previously also , I told that we are totally transforming the entire digital platform and now almost seven products are already rolled out on our new digital platform and new super app with 200 plus services already it is rolled out to the entire staff of 33 000. And once whatever the deficiencies that is coming up, that will be stabilized, and it will be rolled out to the public max to max within a month. That will be the biggest product app, mobile Bank ing, which is having your investments, your insurance, y our deposits, fund transfers, almost 200 -plus services are covered in that.

Sushil Choksey: The super app will become our total consumer -related app, or it will be something more?

M.V. Rao: No, it is a consumer related. And going forward, for Corporate als o, we are going to launch.

Sushil Choksey: Sir, what kind of investment we would have and time invested in to create this app?

M.V. Rao: Say, almost 18 months.

Sushil Choksey: 18 months. And what kind of investment or capex we would have done to enable the Bank to create a super app?

M.V. Rao: In previous year, I told you, our total investment on the IT is around INR800 crores.

Sushil Choksey: And we've spent most of it or we are still to spend?

M.V. Rao: No, no. Still, it is a 5 -year project life. It will be spent in 5 years.

Sushil Choksey: How do you see traction in housing loans, specifically, which is a bigger chunk at INR50,000 crores in our Bank ?

M.V. Rao: See, we are growing almost at 19.80%. So because of our niche area and then customer profile and then segment what we cater and the geographical area that still we are that is a forte for us, and we continue to grow there. We don't see much challenge because even our growth in metros is less when I compare with my portfolio growth in the Tier 2, Tier 3 cities.

Sushil Choksey: Sir, as I look at our book, we have maintained Corporate Credit, but at the same time, balance well with RAM and Personal Loans. Personal means housing loans and other sectors. How have you balanced? Have you shredded more in HFC and NBFC and advanced more to manufacturing business?

M.V. Rao: No, no, I didn't get it.

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Sushil Choksey: Sir, our Advances to core economy segment has increased over H FC and NBFC, because I didn't I might have missed in the presentation.

M.V. Rao: No, see , for NBFC, HFC, we have the caps. We are not growing beyond 10% or 11%. That is the cap what we have kept, and we are sticking to that. All remaining is only retail contributed by our Branch network.

Sushil Choksey: One question in this round. One of our subsidiary's year-on-year has dipped, the Gramin Bank , on profitability. Any specific reason for it?

Mukul Dandige: See, the RRBs were mandated by DFS that they have to pay the computerization allowance to their employees, and with retrospective date. So, 50% of it was supposed to have been paid up to December '24 and remaining 50% is to be paid up to March '25. So that is why the performance has dipped in one of the RRBs.

Sushil Choksey: Uttar Bihar Gramin Bank .

Mukul Dandige: Yes.

Sushil Choksey: Okay. Second thing, sir, publicly it is already acknowledged that the insurance company , we have finalized the acquisition. With the CASA at 49%, General & Life Insurance in our pocket, what is the vision the Bank has with the insurance arm, which will become a major chunk of your subsidiary as your holding will be 26%?

M.V. Rao: See, we will be unveiling our entire aspirations and also the action plan once we are nearing to the signing of the shareholders' agreement. Once that is done, we will be unveiling the e ntire plan.

Sushil Choksey: Okay. Sir, any indicative deadline or timeline on that?

M.V. Rao: May be another max to max 1 month, by February 20th or 25th.

Sushil Choksey: Sir, congratulations and best wishes for the year to come.

M.V. Rao: Thank you, sir.

Moderator: We'll take a question from the line of Amit Mishra from Indus Equity Advisors.

Amit Mishra: Congratulations on the great set of numbers. I just had one question. Like our Bank has done really well on all the parameters. Except for this cost to income, we have been not able to, I think, achieve the targeted guidance. So, if you can elaborate on that, what is your guidance on cost to income for full year and going further, how we are trying to achieve our guidance number, which wa s 50% to 52%?

M.V. Rao: Yes. See, before our CFO steps in, let me tell you the major parts. One is the staff cost, which is involved. That is not too great, to the extent it tilts the scale. It is only the other part where other

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operating expenses where ou r investments, which are going heavy investments in the IT and consequential depreciation what we are booking, that is the major factor as of now.

Going forward, because of these technology initiatives and the business, which is going to be garnered throu gh this end -to-end journey that is going to contribute much on this. And next financial year, we expect that it should be 50% or below 50%. But our guidance in this year, we have given 50% to 52%. Now we are at 58%.

Let us see to what extent we will be su ccessful to touch this. This is only the parameter where we are seeing. The only thing is how fast we can improve the incomes that is one part that we

are checking out our own program. Meanwhile, our CFO will give some inputs.

Mukul Dandige: So exactly what I wanted to say, MD sir has summarized it. Staff cost also, there, I would like to give additional this one. What we have done is these terminal benefits, we are funding it in such a way that in 6 years' time, that fund becomes self-sustainable. And thereafter, the Bank need not provide for anything for the terminal dues.

And out of the corpus fund itself, the sufficient income can be generated. That is why it appears that the terminal dues or the staff cost is a bit high. And remaining things, see, a round INR4,800 crores would be the denominator in this. So, for 6% to achieve at 52%, we need to improve our income by around INR284 crores.

So, I'm pretty sure that in the quarter to come with additional recovery in write-off accounts by other incomes supporting and also the interest income on advances, because our yield on advances is right now 9.01%. So, with that, at least for the quarter, we should be able to come somewhere around 52% as far as cost to income is there.

Amit Mishra: Okay. Got it, sir. Sir, one more question on recovery side. What kind of recovery do you expect in this quarter, in current quarter, if you can give a ballpark number or any big recoveries in coming quarters like Q1 of '26 or Q2 of '26?

Mukul Dandige: See, as far as the recovery in write-off is concerned, this quarter, we clocked around INR396 crores, with some bigger accounts which are in the pipeline under resolution and all. We expect that on a very conservative basis, if we say around INR500 crores to INR550 crores should be a number as far as the recovery in write-off is concerned. And this will take us to be cumulative recovery during the financial year well past the INR1,443 crores that we had recovered during the last year.

It should top INR1,500 crores, if anything. So that is one thing. And secondly, because some of these accounts are already technically or potentially written off, the other resolutions that are going to happen will come and help us reduce the gross NPA numbers. And we expect that we should be well above the last year's cash recovery upgradation numbers.

Moderator: Next question is from the line of Atishay Choudhary from ICICI Securities.

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Atishay Choudhary: Sir, we used to disclose this SMA number for all, at the Bank levels. We have given loans above INR5 crores. I request if you can share the SMA 0, 1 plus 2 for the entire Bank level.

Mukul Dandige: Okay. The SMA 0 stands at INR10,097 crores. SMA 1 at INR2,565 crores. And SMA 2 at INR2,610 crores. So total SMA numbers are at INR15,272 crores, which is 5.64% of the total advances.

Atishay Choudhary: Right. And sir, secondly, a few Banks have started to do floating provisions in the last 1 or 2 quarters. It looks like we have not done any floating provisions, right? Is that understanding, correct?

Mukul Dandige: No, no. See, last quarter also, we have done a INR250 crores floating provision on the restructured assets. This quarter also, we have done a INR250 crores provision on restructured assets, thinking that if and when the ECL, if it kicks in, this would come handy and we would be adequately provisioned. So, in the last 2 quarters, we are already done INR500 crores of provision.

Atishay Choudhary: Okay. So that is the outstanding number, right? Floating provision is around INR500 crores?

Mukul Dandige: These are done during these two quarters. And I can say that the total standard provision on all my standard assets would be in the range of 1% of the AUM.

Atishay Choudhary: Okay. So, sir, how do you manage to transition to ECL, assuming you have to provide on your SMA 0 plus 1 plus 2 or at least SMA 1 plus 2 on the entire book basis. Can you estimate ballpark number which you may have to provide if the ECL were to be implemented?

Mukul Dandige: Based on the RBI's draft circular guidelines issued on 16th of January, we had carried out an exercise. And initially, we ensured that all the NPA numbers are done. So that helped us in two ways. One, our net NPA has come down to below 1% now. And thereafter, we had a, I mean, a figure of what would be the required numbers for our standard accounts. May be standard, maybe standard restructured. So, all put together, we have roughly around INR2,360 crores or thereabouts as the number.

Atishay Choudhary: That was the total provision needed and of which you already have some provisions, let's say, INR500-odd crores, right?

Mukul Dandige: Right.

Atishay Choudhary: Okay. And this is actually you have taken SMA 1 plus 2 only, right? I mean as per current understanding.

Mukul Dandige: In ECL, there is no SMA 0, 1, 2 concept. It will be Stage 1, Stage 2, Stage 3. So based on that, whatever are the premises, based on that, we have classified our advances, because treasury it is already factored. It has already been carried out since 1st of April. So now these numbers, Stage 1, Stage 2, Stage 3, we are, I mean, continuing to provide for in our books now.

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Atishay Choudhary: Right. And so, sir, this ideally, this should continue at the pace of INR250 crores, or you believe you have to take a step up to reach that INR2,360 crores mark or do you believe this current pace of INR250-odd crores will suffice?

Mukul Dandige: No, we expect that, we will be able to substantially improve upon this number also. Because as it is my credit cost has come down, so I need not provide for much as far as the NPAs are concerned.

Atishay Choudhary: Right. Okay. And sir, in Stage 2, the SMA 2 ideally will become Stage 2, right, under ECL. How do you -- I mean, in your view, will SMA 0 or SMA 1 would also qualify for Stage 2 or SMA 1 only will qualify? I mean, how do you look at that?

Mukul Dandige: Basically, it should be a SMA 2, which would qualify for Stage 2 onwards. Some accounts may -- because if they are not frequent, then maybe they can qualify under Stage 1. And any which ways, if you see our SMA 0 is the highest, SMA 1 and SMA 2 are comparable, INR2565 crores, INR2610 crores. So, we need to see the PD, LGD and all the things. And then accordingly, we are taking the call.

Atishay Choudhary: Understood. Understood. And sir, in the SMA these two, is there any, let us say, lumpiness in SMA 1 or 2, especially from government segment? Are there any State government exposures, which are there and hence, ideally, they should not be required for LGD and etc. So, is this number mostly I mean, is there any exposure which is government and hence, you need not provide this?

Mukul Dandige: No such exposure is there.

Atishay Choudhary: Okay. Right. Secondly, sir, I think, there was one circular wherein RBI said that all Banks need to change the modeling of the risk weights, right -- of the risk parameters that had come in the month of August 2024, wherein, they had I mean, the circular was regulatory principle for management of model risk in credit. I think, it was a draft circular, but anything to look into that? I mean, does this is material, not material, usual or non-usual? I mean, does it have any bearing?

M.V. Rao: Yes. As far as this draft circular is concerned, already our department is working. I would say, as such, Bank is having a well-managed risk management department, where our operational risk, credit risk, market risk and your reputational risk including IT risk, everything is evaluated and then controls and then monitoring all those things are in place.

This draft circular, what it is envisaging is as an integrated framework where more focus is on the operational risk and then followed by the cyber risk. These things are also we are bringing as an integrated policy framework that we will be working on that further, because already it is there in bits and pieces, that this will be an integrated one.

Atishay Choudhary: Understood. And lastly, sir, there was also RBI circular I mean, do you have what is the gold portfolio, total gold, including agri, non-agri at the Bank level? Because I wanted to check RBI had come out with a revised final circular on gold lending wherein, they had mentioned that.

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Mukul Dandige: Yes. Total gold loan portfolio of the Bank is roughly around INR13000 crores, all put together. And every meeting, the SSM is also having an interaction with our SDAs. And they also have checked the entire portfolio. We also have done carried out the sanitization portfolio and all. So, we haven't come across any, I mean, issues that may be flat or that should be a matter of concern for us.

Atishay Choudhary: Sir, do you suspect any growth challenges in this gold loan book even for I mean, after this RBI circular or this should not ideally impact your growth trajectory in this book?

Mukul Dandige: No, as it is I mean, we

are not a very big player in the gold loan market, but we do not foresee any challenges in maintaining or growing at the rate that we are.

Moderator: We'll take our next question from the line of Anmol Das from Arihant Capital Markets.

Anmol Das: Sir, my question is regarding the corporate credit growth. We are seeing that there is a lot of sanctions, almost 60% -plus of your sanctions during the quarter was for the corporate credit. And we are not seeing any growth in that. So, I want to understand, is it become a norm that corporate credit growth will be kept low across all PSU Banks in the future?

Mukul Dandige: No, nothing of that sort. See, the corporate credit as at the end of 30th September '24 was INR70,739 crores. And at that point in time, there was de-growth of 10.61% on a Y-o-Y basis in corporate credit. During this current quarter, that is why you would be seeing sanctions at a higher amount. And that has translated into actual growth into corporate credit. And the corporate credit stands at INR81,476 crores.

And as MD sir has very clearly said that we have given a guidance that our RAM to corporate book would be in the range of 65%, 35%, with a plus or minus 5%. And for December '24, if you see our numbers are 69.91% is the RAM and corporate credit is around 30%. So that plus or minus 5% cushion will be maintaining going forward also.

Moderator: Next question is from the line of Priyesh Jain from HSBC.

Priyesh Jain: Yes. Sir, can you please say like how are the slippages trending for the personal loans and auto loan segment in the current quarter and the last quarter? And like how are you expecting it to trend in the coming quarter, in the fourth quarter?

Mukul Dandige: See, the overall slippages out of the Retail segment are at INR144 crores for the Q3, right. If you want a breakup of personal and other things, that we'll provide you offline.

Priyesh Jain: Sure, sir. And like how are you expecting it to trend in the coming quarter?

Mukul Dandige: As we have already said, personal loan and this thing -- I mean, we have not opened it across. So only my -- only the clients who are having their salary accounts with our Bank, their salary is being routed through our Bank and where we do have an undertaking from the employer, only those are our personal loan consumers. So that is why we do not foresee any problem as far as getting recovery in these accounts.

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Priyesh Jain: Sure. And even for auto loans, sir?

Mukul Dandige: Auto loans also, if you see our pie, we are not a very big player in the auto loans also. Total portfolio is only INR 3,841 crores, which is 4.81% of the Retail segment. And there also, we have put in a lot of checks and balances and any branch or any particular pocket if we see any SMAs rising, then the corrective actions are taken.

Moderator: Next question is from the line of Sushil Choksey from Indus Equity Advisors.

Sushil Choksey: Can I ask a question to Wahi, sir, what is the outlook on treasury for the last quarter?

Vivek Wahi: See, last quarter, Q4, you want to ask. So, my outlook will be unchanged. I'm expecting a treasury to end at 760, 765 levels, for March. Because we are expecting a rate cut in the month of February. And of course, it will not be very aggressive, because the U.S. yields are not expected to come down at a good pace. Reason, being the inflation. So but still, I would hope that March, it will end at around 760, 765 level. 660, 665 levels.

Sushil Choksey: Do you estimate much more substantial trading profits based on the yield outlook in the current quarter?

Vivek Wahi: Yes, sir. Definitely, we have a decent book and decent holding in our AFS portfolio also. And we are expecting decent gains in our treasury for this quarter.

Sushil Choksey: Sir, my next question pertains to equity. Looking at

our profitability, which may end up almost at INR4,000 crores for the current year. For next year, let's assume we want to grow by 12%, 14%. We actually don't need to dilute the equity. I understand SEBI norms and government may ask us to dilute equity based on the holding pattern today. Do we have a window that government may do OFS, or we are forced to do a QIP irrespective the condition of our balance sheet, which is healthy?

M.V. Rao: This is a critical question you have asked. We are very much hopeful that we may get the positive news on the OFS front. But at least the indication to our intent to dilute the equity, we may think of for a small amount of QIP in this quarter.

Sushil Choksey: Sir, as a shareholder or a valued thinker in future for Central Bank balance sheet, our OFS would be a better opportunity, because Retail will garner benefits out of OFS. I wish good luck on that part. And as a shareholder, we urge that you press the government to do OFS over QIP. I understand every balance sheet needs equity for growth but looking at the trend which you have set over a quarter-on-quarter, the balance sheet seems to be on a far positive angle compared to

what the numbers are visible currently.

M.V. Rao: Yes, almost we have reached a stage it is a self-generating now. For our future growth, the capital is self-generating within the organization.

Sushil Choksey: Sir, if you want to do something new in the Bank to make self-generating and a positive, what would be one or two things which you would do now to make Bank much more healthier?

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M.V. Rao: We will come back in the annual this one, not in the last quarter.

Moderator: Next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: Sir, firstly, on the deposit front, the deposit growth was a bit weak in this quarter at about 5% Y-o-Y and 1% Q-o-Q. Any specific reason for this? Any specific segment of depositors where the weakness is a bit more stark?

M.V. Rao: No, that's what I have explained in my opening remarks. Total deposits, they grew by 5.34%, our CASA has grown by 5.72%. And our CD ratio is 68%. So, if you see holistically, number 1 is, we are not in need of funds right at this moment, the price with which it is available to fund our growth. We are self-sufficient. We have a lot of liquidity. Now coming to the point of increasing the deposits.

If you split the deposits into CASA one part, term deposits one other, and another segment is the certificate of deposit. If you see in the market, though that certificate of deposit is a huge market you have, which Banks have assured, we are nowhere in that. Our exposure is zero as far as the certificate of deposits. Time deposits, yes, we are there only to the extent of protecting our own turf so that flight of deposits should not move.

So, our focus was purely on the CASA, that's why we could be able to improve our position 20 basis points if you compare with the previous December. So, we are very conscious on that deposit front, though it appears that it has grown only 5.34%, but the way we have planned and the way we are moving, that is as per our well sort out plan.

Ashlesh Sonje: Okay. Sir, secondly, any update on the resolution of the large telecom account, the PSU account?

Mukul Dandige: We are not there in that account.

Management: We are not having any exposure in that.

Ashlesh Sonje: Okay, sir. Perfect. And lastly, can you give a breakup of your slippages by segment, Retail, Agri, MSME and Corporate?

Mukul Dandige: See, the slippages in Q3 from Agriculture were at INR127 crores. Corporate it was INR213 crores. MSME it was INR315 crores and Retail, it was INR144 crores.

Moderator: Next question is from the line of Ashok Ajmera from Ajcon Global.

Ashok Ajmera: Sir, I would like to have some clarity

on the tax provision and DTA net and the recent decision

of the -- so Note number 6, 7, 8, that Appellate Tribunal special bench on 115 DA plus DTA plus remaining in the old regime. So and our provision during this quarter is INR448 crores as against INR650 crores in the last quarter. So, CFO or somebody can throw some light on the entire this tax thing? And in effect, are we paying any real tax?

Mukul Dandige: Ajmera ji, to give you the perspective, see, we had created DTA. And the DTA amount was comparatively very high at INR7545 crores as on 31st March '21. So that is why you would see

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that this is an emphasis of matter from the auditors also. Because, I mean, the ability of the Bank to generate operating profit was the issue in this. So, from INR7,545 crores, now we have been able to reduce the DTA to INR3,270 crores now.

And it is out of this also, majorly, it is because of the carried over business losses. Now this is preventing us from migrating to the new tax regime also. So, what we expect is that at the rate at which we are reducing the DTA by 31st March '26, we should be done with the business losses part completely. And from 1/4/26 onwards, we may move to the new tax regime. Again, it will be clear in the next 2 or 3 quarters. But we are well poised to cross over to the new tax regime, which again might have a potential impact of around 12 to 13 bps in the ROA by way of reduction in taxes.

And this MAT issue, whether the MAT is applicable to the Bank ing that was the issuing question. So, we had challenged that MAT is not applicable to the Bank . And it has been upheld that yes, it is not actually required. So, as part of advanced tax, I was doing my calculation based on MAT calculations, and then we were remitting the advanced tax, and we were again claiming that back as refund.

Ashok Ajmera: And interest also you will get on that?

Mukul Dandige: Yes. We got around INR792 crores of interest in the financial year '21 -'22.

Ashok Ajmera: So now net -net, in fact, we are not paying any actual tax, isn't? This INR448 crores is only this calculation on the profit, which is against DTA or deferred or business losses.

Mukul Dandige: Right.

Ashok Ajmera: And sir, you said that by March '26, it means about 15 months from now we will make the profit of INR10,000 crores to INR12,000 crores?

Mukul Dandige: No, you see, this INR448 crores.

Ashok Ajmera: So that you can make INR3,274 crores totally finished off?

Mukul Dandige: Sir, this INR448 crores provision is directly, it has reduced my DTA by that extent. So going forward, we have 5 quarters now and this quarter, what has happened is AFS results have come down by INR200 crores. So, on that 35% is around INR70 crores less tax we have had to pay. But roughly, we estimate that anything between INR500 crores to INR550 crores of tax provision or indirectly DTA reduction would happen. So, in the next five quarters, we should be totally wiping out the DTA.

Ashok Ajmera: Sir, lot of this thing on the total recovery from the written -off account is reasonably good. What is our total written -off book now after all this recovery?

Mukul Dandige: As on date, also my total written -off book is INR34,501.34 crores.

Ashok Ajmera: So, about 4% to 5% if we take?

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Mukul Dandige: Yes.

Ashok Ajmera: From that INR1,200 crores to INR1,500 crores profit may come in next 2 - 3 years on this also?

Mukul Dandige: 3 to 4 years, we are anticipating anywhere between 4% to 5% of recovery in write -off.

Ashok Ajmera: Okay. Because here this was 4.01%, so yes, around 4% to 5% recovery, so that can be the additional profit for the Bank ?

Mukul Dandige: Right, sir.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to

management for closing comments. Over to you, sir.

M.V. Rao: There is nothing much to add from our side. Only thank you for all the time and energy given by the participants. And we will assure you that whatever the guidance we have given, we will be achieving in this financial year. Thank you.

Moderator: Thank you, sir. On behalf of Antique Stock Broking , that concludes this conference. Thank you for joining us, and you may now disconnect your lines

Call: May 2025

■■■■■■■■■■■■■■■■■■■■ INVESTORS RELATION DIVISION Central Office

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CO:IRD:202 5:26:43 Date: 03rd May , 202 5

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 28th April , 202 5.

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 28th April , 202 5 on Financial Results of the Bank for the Fourth Quarter and Financial Year ended 3 1st March, 202 5.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance Officer

Encl.: As above National Stock Exchange of India Limited

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Scrip Code -532 885

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"Central Bank of India

Q4 FY '2 5 Earnings Conference Call"

April 28, 202 5

MANAGEMENT : MR. M.V. RAO – MANAGING DIRECTOR AND CHIEF

EXECUTIVE OFFICER – CENTRAL BANK OF INDIA

MR. VIVEK WAHI – EXECUTIVE DIRECTOR – CENTRAL
BANK OF INDIA

MR. RAJEEV PURI – EXECUTIVE DIRECTOR –
CENTRAL BANK OF INDIA

MR. M V MURALI KRISHNA – EXECUTIVE DIRECTOR –

CENTRAL BANK OF INDIA
MR. MUKUL DANDIGE – CHIEF FINANCIAL OFFICER –
CENTRAL BANK OF INDIA

MODERATOR : MR. RAJU BARNAWAL – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Central Bank of India Q4 FY '25 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Limited. Thank you, and over to you, sir.

Raju Barnawal: Thank you. Good afternoon, everyone, and thank you for joining post results conference call of Central Bank of India. From the senior management side today, we have with us Shri M.V. Rao, MD, and CEO; Shri Vivek Wahi, Executive Director; Shri M.V. Murali Krishna, Executive Director; and Shri Mahendra Dohare, Executive Director; and Mr. Mukul Dandige, Chief Financial Officer.

Now without any further delay, I hand over the call to MD sir for his opening remarks, post which we will have a Q&A. Thank you, and over to you, sir.

M.V. Rao: Thank you. Thank you, Raju. And good afternoon to all the participants. And really, we are thankful for the keen interest what we are showing in our results. And first of all, we are very happy to inform this year gone by has many good things for the bank in many aspects. Just I will give the highlights, and details will be given by our CFO, Mr. Mukul.

And as far as the performance highlights is concerned, this is the first time where total business has crossed INR7,00,000 crores. Now our business stands at INR7,02,798 crores. And on the net profit, again, it is the highest ever net profit in this financial year, that is INR3,785 crores.

And coming to gross NPA, it is now at 3.18. A year back, it was 4.50. And net NPA has come down to 0.55. Earlier, it was 1.23. And provision coverage ratio now is at 96.54%.

Coming to the other ratios, which are most important, that is the NIM, that is net interest margin, which stands at 3.40. It is same as that of the previous year. The return on assets, now it is at 0.86. Earlier, it was 0.63. And then ROE has improved to 12.48 of earlier 9.53. And then CRAR has improved to 17.02%. Earlier, it was 15.08%.

And coming to the top line number, that is of the total deposits, which stands at INR4.12 lakh crores. And the CASA deposits, which is one of the best is 48.91%. And then our gross advances has shown an increase of 15.24%, now stands at INR2.90 lakh crores. And then our CD ratio is improved. Now we are at 70.53%. These are all the highlights for this year.

And including with the quarterly highlights, our CFO will explain. Yes, Mr. Mukul.

Mukul Dandige: Thank you, sir. Thank you so much. The interest on -- interest income on advances has seen a Y-o-Y growth of 13.36%, and it stands at INR22,339 crores. There is a Y-o-Y and Q-o-Q increase in the quarterly figures also. The interest on investments has seen a 6.12% growth, and it stands at INR10,092 crores in March '25. The other income has been at INR318 crores vis-à-vis INR385 crores in the previous year, mainly because we had INR205 crore s IT interest refund last financial year.

As far as the interest expenses go, the Y-o-Y growth in interest expenses has been at 10.90%, and total interest expenses are at INR19,769 crores. The interest paid on deposits has seen a growth of 9.34% to INR18,488 crores. The other interest has gone up to INR1,281 crores. The staff cost has gone up by 14.37%, and it is at INR7,219 crores for the financial year. And the other operating expenses have seen an increase by 12.10% to INR4,409 crores.

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The fee-based income and total other non-interest

income. Fee-based income has seen an increase of 18.61% on a Y-o-Y basis, and it stands at INR2,180 crores for March '25 as against INR1,838 crores in March '24. The total non-interest income has seen a growth of 24.26%, and it stands at INR5,855 crores, vis-à-vis INR4,712 crores. Noteworthy is that the recovery in write-

off for this financial year is INR1,716 crores, vis-à-vis INR1,433 crores during the last financial year.

The total interest income, if we see there, is an increase of 9.58% on a Y-o-Y basis, and it stands at INR33,666 crores. The total interest expenses has gone up by 10.90% to INR19,769 crores. The net interest income has seen an increase of 7.76%, and it stands at INR13,897 crores. The total expenditure has gone up by 11.85% to INR31,397 crores. The operating profit has seen a good growth of 10.34%, and it stands at INR8,124 crores. And the net profit has improved by 48.49% to INR3,785 crores.

If we see the total provisions required. The total provisions for the financial year for NPAs are at INR2,802 crores, vis-à-vis INR3,391 crores in March '24. There was a depreciation or provision investment, including SR. There is a write-back of INR306 crores this year compared to a write-back of INR265 crores last year. Income tax provision has been at INR1,149 crores this year. And the restructured account provision is at INR539 crores this financial year compared to a write-back of INR34 crores last financial year.

The NPA numbers. As MD sir has told, the gross NPA has come down to 3.18%. In absolute terms also, it has come down from INR11,340 crores to INR9,225 crores. And the net NPA has come down to 0.55%, and the net NPA now stands at INR1,543 crores, vis-à-vis INR3,002 crores as of 31st March 2024.

The sector-wise NPA classification, if we see, the retail net NPA is at 0.08%. The agriculture and other allied sector is 1.80%; MSME is at 0.96%; and corporate and others is at 0.04%. The provision coverage ratio stands at 96.54% and the credit cost is at 1.21%. The slippage ratio for the quarter is at 0.56%. If we exclude the proactive provision that we have made in the NPA category, then the credit cost would be at 1.10%.

The restructured book now stands at INR5,114 crores, which includes the normal restructuring at INR2,169 crores and the COVID-19 resolution restructured book of INR2,945 crores. As far as the special mention accounts of INR5 crores and above are concerned, the total is INR700 crores in 44 accounts, out of which SMA-2 is only 9 accounts of INR93 crores. The capital adequacy ratio has improved to 17.02% with CET1 at 14.73%, and the leverage ratio has improved to 6.15%.

The total business has seen a growth of 10.37%; total deposits at 7.19%; CASA at 4.79%. And we still are able to hold on to our 48.91%, that is close to 49% of CASA share. The RAM growth is at 16.13%, and RAM constitutes 66.90%, which is well within our guidance of 65-35 plus/minus 5%.

The retail segment, which constitutes 28.40% of our total advances, has seen a Y-o-Y growth of 15.72%. And the home loan portfolio, which constitutes 63.32%, has seen a growth of 18.40% on a Y-o-Y basis. The rated standard advances, if we see, total BBB and above, that is the investment-grade advances stand at INR93,152 crores out of the total INR97,427 crores, which is a very, very healthy average. If we see our credit risk-weighted assets, also is one of the lowest at 62.94%. And our CD ratio has touched 70.53% during this quarter.

We have achieved all the mandated norms under the priority sector. And the investment portfolio has seen a very good, I mean, yield with 6.87% being the yield on investment. The treasury M duration is at 3.46% and for SLR, it is 3.52%, and the PV01 for SLR plus non-SLR is at 13.28%.

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So these are all the highlights of our performance. Now we are open for any question

and
answers.

Moderator: The first question is from the line of Ashok Ajmera from Ajcon Global.

Ashok Ajmera: Congratulations and compliments to you for another good quarter, a good set of numbers, where almost on many parameters the bank has excelled and I think has achieved even targeted numbers also. So my compliments to you, sir, for that. Very good profitability. As you said yourself, the highest net profit.

Having said that, sir, I have some few observations and some clarifications, sir. As compared to many of the other peer banks, our credit growth has been phenomenal. I think we grew almost about 15%. And especially in this quarter itself, we have grown by 7.14% our credit book, from INR2,70,000 crores to INR2,90,000 crores. But correspondingly, if you see it on the deposit side, we are a little bit lagging behind. In this quarter, it was 3.72%, that's okay. But overall, in the year, it was 7.19%.

So going forward, how are we going to match this difference? As on today, we are comfortable with 17% CRAR. But then our CD ratio is also 71%. So we will definitely continue to grow on our credit book. So this is one just a small observation, some questions, if you can throw some light on it. Sir, then I'll ask some couple of other questions.

M.V. Rao: Thank you for the good words. And as far as this growth on the advances vis-à-vis deposits, let

me tell you, because of our low CD ratio, we were not aggressive on the deposit side. And going by the market, the rates which were offered on the deposit front was too high. And we had enough liquidity to fund our growth. That's why we have not accelerated on the term deposits. But on the low-cost deposits, always our focus was there. That's why we would be able to maintain our CASA ratio.

And then going forward, since what we say is we will be focusing to have stable CD ratio around 70% to 73%, so now the acceleration on the deposit side will also increase. So we are confident that whatever the numbers we are seeing, we are going to maintain the pace on both the deposits and the advances side.

Ashok Ajmera: Okay, sir. Point well taken, Sir, would you like to throw some light on that aviation account we have been talking about, there's a big amount, big account? And what is the current status, like our total outstanding in our books, total provisions made so far in that account? And what are the recovery prospects? Because we had some additional collateral along with the other banks. Only I think one other big bank is involved with that. So where do we stand today? Now what is the current status on that account overall, sir?

M.V. Rao: As far as the particular account is concerned, recovery is the process. You also understand how the things move as far as the recovery, which is not in bank's hands. But we are actively moving on the collateral part, which is the land cost and what we have. And further, there were good developments as far as arbitration path is also concerned. So there are a lot of positive things that are happening. But as far as our books are concerned, it is 100% technically written-off account. It is not accounted in our books right now. It is totally 100% TW account for us.

Ashok Ajmera: So whatever comes will be added to the bottom line?

M.V. Rao: Bottom line, yes.

Ashok Ajmera: Sir, this quarter, sir, the overall provision has been a little more than the last quarter of INR556 crores. This time, it is INR844 crores out of that INR830 crores is only on NPA. So which -- what kind of accounts account for it, making the provision tied to large corporate accounts? Or its overall general delinquency, which has laid for you to make the higher provisions?

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And with that, we have a good amount of restructured book provision also, on a restructured book of INR5,114 crores. So how good we are on the provision account? And what was

the need

of this higher provision? And do we have any buffer other than the IRAC from the old provisions?

M.V. Rao: No, See, let me tell you. Nitty-gritties, our CFO, will share with you. But on the big picture side, let me tell you, our slippage ratio for the quarter is 0.56%. And then our credit cost is 1.21%. Even if as per the RBI regulatory norms, if I want to provide anything for the accounts which have slipped, it will be around 15% to 25% depending upon the securities that are available. But since we have the provision coverage ratio at 96%, so naturally, the over and above regulatory requirement provisions are required to be made. That's why you may see that there is an increase in the provisions, but it is purely over and above the regulatory requirement that what we did and further details, our CFO will share.

Mukul Dandige: Now what happens is to maintain my net NPA also, whatever slippages happen, I'll have to provide for 100%. So as sir is saying, my regulatory requirement is 15% or say, if it goes to DA1, DA2 or loss, in that case, 25%, 40% or 100%. But to maintain our net NP A ratio, we are making 100% provision.

As far as your question of any big corporate account, nothing of that sort. I think the biggest slippage during this quarter is on account of around INR30 crores, INR32 crores. Other than that, these are small accounts, which are marked purely on technical grounds by the branch auditor. And we are quite confident that going forward in the June quarter, we'll be able to upgrade these accounts.

As far as you are asking some regulatory buffer. So yes, we are having a regulatory -- I mean, whatever is mandated as per the IRAC norms, over and above a lot of provision is held in NPA accounts. In fact, if you see my net NPA, it is only INR1,550 crores odd. So that means out of my INR10,600 crores, I have provided for everything else. So we are maintaining that. More than that, we have done INR250 crore s provision, which we are doing all these 3, 4 quarters on the restructured book also, which will come handy during the implementation of ECL.

Ashok Ajmera: Okay. Sir, last point in this round. Since you are there, Mukulji, on this taxation front, I have been talking in the previous some quarters also. Quarter-to-quarter, there is some erratic numbers. And this time also, the total deferred tax asset has been reduced from INR4,297 crores to INR3,145 crores. And the tax provision also has come down to INR125 crores from INR447 crores, leading to higher PAT, though the profit before tax was a little lower in this quarter. So would you like to throw some light on that, that what is the status? Where do we stand and by

degree? How much more benefit is to be accrued or to be awaited in future?

Mukul Dandige: Yes. If we see year-on-year numbers, '22-'23, we had made a provision of INR 1,063.14 crores in tax. '23-'24, it was slightly higher at INR 1,504 crores. For this financial year also, it is almost comparable, INR 1,149 crores, INR 1,150 crores. DTA movement, if you see, sir, FY 21, it was INR 7,545 crore; FY 22, it was INR 6,862 crore; FY 23, it was INR 5,799 crore; FY 24, it came down to INR 4,295 crore. And March 21 also, it was INR 3,146 crore. And whatever our internal assessment is that we should be able to consume the entire DTA by March '26 and move to the new tax regime, which would definitely give us some cushion in the tax front coming forward.

Moderator: The next question is from the line of Sushil Choksey from Indus Equity Advisors.

Sushil Choksey: Congratulations to the team, Central Bank of India for very good numbers and a very successful QIP. Sir, I'm looking to -- we've achieved what we desired in last 1 year, and we have consolidated a path which is getting better for the bank. Can we talk about some growth trajectory now we've also launched the super app, so how our consumer bank and corporate bank would behave

e? With treasury, you're likely to be emerging as a winner in the current year based on the outlook globally and domestically.

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M.V. Rao: See, as far as this financial year is concerned, we have already set our targets for the business growth. It will be around 14% growth, that is the top line growth. And then advances, will be around 15% to 16% and deposit growth will be around 12% to 13%. And CASA, we would like to have around 48% because now we are at 49%. And whatever the things that happen and then keeping the market realities, we are targeting at 48% with plus or minus 1%.

So NIM also, we always knew that our guidance will be above 3%, and we are delivering all the time above 3.4% or 3.35%, that our endeavour will be to continue that. On the gross NPA and net NPA, definitely, we would like to see that below 3%, our gross NPA. Net NPA will be -- we will be eyeing for 0.45%. That is our target.

This is our overall big picture, what I'm giving for this year's guidance. Now all the business is shifted on to the new platform. Where after the super app, we will be activating our wealth management modules and then wealth management structure, which is specifically designed to cater to the needs of the HNIs and also centralizing the forex, which has already started working. We'll be focusing on the NRI deposits and the NRI connections.

So this is overall. And then one more initiative, what we will be doing this year is we have identified almost around 500 pin code centres where our Bank's physical presence is not there and where banking business is growing around 15% to 16% CAGR. See, those centres we have identified, and we will be moving with the BC MAXX centers. BC MAXX is a hybrid between physical and BC Center, where it will be a very lean and cost-effective structure where we are expecting a breakeven within the first 3 months.

So that is the model that we will be accelerating to acquire the new business and also to provide all digital services to the people who are in those pin code areas. This is a new structure, what we are envisioning. And already as a pilot, we started in 25 centers, and it is doing well. And having the good experience, we will be rolling out to the 250 centers within this first half year.

Sushil Choksey: And any outlook on the treasury front, how we would be beneficial? Because we have stuck to GSAP as a product of investment in the investment book. So that would result in the super abnormal profit for the current year?

Vivek Wahi: As far as treasury is concerned, in this falling rate scenario, there will be at least 2 rate cuts are expected. So 658 level of March should go -- can even reach 6 levels. So another INR600 crores to INR800 crores sale of investment profit -- additional profit than last year is really expected, and it should happen. Though it may or may not compensate the overall reduction of RBLR like a repo based. But on treasury front, definitely, this year is going to be a very good time.

Sushil Choksey: Sir, any highlights on the super app? And any further expenditure for digitization and creating additional incentives in terms of products and things on where technology is concerned?

Vivek Wahi: We have already launched our consumer banking app. Now this year, we will be going towards corporate banking app that is addressing specifically for corporates and the SME segment.

Sushil Choksey: Any estimate expenditure on the digital work for the next current year or years to come? Additional expense over what we have done?

Vivek Wahi: Yes, definitely budget is never a constraint for us. So we have been very aggressive in investments in technology. So this year also, we are doing it something around the INR300 crores to INR500 crores.

Sushil Choksey: Sir, my last question in this round is with the super app and our CASA at 48%, 49%, the bank is

having a healthy balance sheet. Do we estimate that consumer banking specifically led by housing loans or vehicle loans or any certain products which you are launching, you may have a systematic higher growth than the average or higher end of the system, which the banks have?
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M.V. Rao: See, if you see my retail growth, whether it is housing, vehicle, or agriculture, MSME, entire RAM segment, that we will continue to have the focus, and we are already recording around 18% to 20% growth. So whatever the targets we have, equitably, we have distributed among the RAM segments and corporate segments, and we are confident to achieve that.

It is not that one product we'll be pressing for 25% or 28% growth and in our other product 8% or 10%. That is -- we always evaluate which particular product is profitable and then trading off with the cost of the capital. That call, we always take on a monthly basis. So as far as ballpark is concerned, we are equitably onboard on the RAM segment, and corporate, we'll have the equal focus.

Moderator: The next question is from the line of Amit Mishra from Indus Equity Advisors.

Amit Mishra: Congratulations for the good set of numbers. My first question is on other income. Sir, our recoveries have doubled -- almost doubled from last quarter. So any big account in this? Or there are small accounts?

Mukul Dandige: Yes. As we have told, the total recovery which was a recovery in written-off accounts, which was at INR369 crores during the last quarter, it has increased to INR549 crores during this March '25 quarter. And the major accounts wherein we have received recovery, our GM recovery will give inputs.

B B Mutreja: There was one big account Coastal Energen in which we have received INR302 crores.

M.V. Rao: Yes, there is only the big account, INR 302 crores, yes.

B B Mutreja: Rest of recovery is coming from the various initiatives which we have taken like selling properties in which we have got physical possessions.

Amit Mishra: Okay, sir. Got it. Sir, overall, your expectation for FY '26 recovery from NPA as well as from written-off account, do you have any guidance on that?

B B Mutreja: So last year, we made a total recovery of INR4,062 crores. And in this year, we are eyeing for INR4,500 crores.

M.V. Rao: Last couple of years, our run rate as far as the recovery in write-off is roughly around 4.5%, 5%. This year also, I mean, the technical write-off book now stands at INR35,413.56 crores. And we expect a similar amount, around INR1,500 crores to INR1,700 crores to be recovered during this financial year.

Amit Mishra: Okay. So got it. Sir, in your retail NPAs, the classification I was looking at, there is a slight increase in retail NPAs. So I just wanted to know from an overall industry point of view and from your bank particular point of view, how is the retail portfolio currently? Do you think there is stress in retail sector.

M.V. Rao: No. If you see the increase is from INR858 crores to INR1,000 crores.

Amit Mishra: Yes, there is a slight increase.

M.V. Rao: Yes. It is very minor in this one. I mean, not attributable to any stress or anything or any particular systemic thing.

Amit Mishra: Okay, sir. Sir, what is your branch extension plan? Because we are spending on IT infrastructure. But I think in past 1 year, we have not increased so many branches. So what is your plan for 2 to 3 years, if we see only for branch expansion?

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M.V. Rao: Yes. Earlier, I just informed the way we are expanding through the BC MAXX center. That will be our future of reaching out to the customers where our physical branches are not there. But as far as the only physical branches are concerned, wherever we feel that it is required, that we will evaluate and take the decision. But as such, from the corporate

side, we will be focusing more

on the low-cost digital hybrid model that is what we call BC MAXX centers.

Amit Mishra: Okay, sir. Got it. Sir, my last question is on ROA. So we have almost achieved 0.9% of ROA. So do we -- can we expect 1% of ROA for '26?

Mukul Dandige: Actually, we thought that we should be able to touch March '25 only 1% ROA. Now we need to look at these things. But looking at our past 16 quarters' record, we are quite confident that we should be able to touch 1% ROA during this financial year.

Moderator: The next follow-up question is from the line of Ashok Ajmera from Ajcon Global.

Ashok Ajmera: Most of these questions, they have already been answered. In fact, I had a major question on the recovery, which has just been answered. But I have got this a couple of small existing like, one

on treasury. If you look at the segment-wise results, on the treasury side, the income, the profit, we have about INR888 crores as compared to INR318 crores in the last quarter. So overall, we have been doing well on the treasury side, like sale of investment after the profit, there is a treasury profit in the other income.

So going forward, I think this discussion was partly covered by, I think, Sushil. But how -- can you give some more color on the overall treasury operations when nowadays that part of the profit on your listing goes to the reserves and only the trading profit comes to the P&L? So how does it look? And how is it going to -- how much it is going to contribute in our overall profitability in the next coming year or quarter or 2, sir?

Vivek Wahi : See, Ajmera ji, as told already, treasury yields are now at around -- already at a very -- from March, they have already softened by another 20 basis points and 2 rate cuts have already happened in February and April and market is expecting at least 2 to 3 more rate cuts. So as far as yields are expected, they are likely to go beyond 6 also in this current financial year. So treasury gains are bound to happen. And all banks, in particular public sector banks, you know they are having all excess SLR to the tune of say, 6% to 7%.

So I would say that treasury gains are in the pipeline, and it depends upon the size of the SLR portfolio. As far as our bank is concerned, we are expecting around INR600 crores to INR800 crores additional profit by sale of investment. So it is going to take care of our other side of credit side where immediately, the rates are being reduced. Whereas our deposit liability repricing happens with a lag. So times are good for trading, and it is a cyclical thing. It happens after every 2 to 3 years. So we are expecting that at least the coming year, the present year and the next year should be on the same line.

Ashok Ajmera: Okay. Sir, coming back again on this credit, we have got a good credit growth. The targets set up for '26 is also very good, I mean 15% to 16% of the credit growth. But sir, all this current economic or the global challenges which are there, the tariff war and now there are other things and there is a maybe a little more further geopolitical crisis.

Looking at this and the changed scenario where even the government of India can, in order to attract or can specify the U.S. might reduce duties on some products and which may affect the local industries. What is your overall view on this, what kind of businesses will flourish and will need more credit? If you look at the remaining 35%, 37% of your other than the retail book. The credit demand is going to continue or may come more?

Mukul Dandige: Sir, with the change of classic definition under SME, we expect that we will continue to have good growth in MSME. Retail also, we are clocking a growth of more than 15%. Under corporate

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also, if we see some capex happening, in that case, we will be open to fund those kind of capex.

A

And in the last quarter, you would have seen that our corporate growth has also been very robust.

So I don't think that achieving this 14% to 16% growth in the advances should be any issue.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Sir, one question is on the NIM side. So this quarter, we saw a relatively rapid fall in the NIM, almost, I think, 20 basis points. So given this, like what is the outlook for the coming years, especially because there are rapid rate cuts? How should we see the NIM? And related to that, I wanted to also understand what is the book like in terms of breakup between externally linked versus MCLR and fixed rate?

Mukul Dandige: Okay. So as far as the NIM thing is concerned, it impacted us because the treasury income also has come down. Even though if you see our interest on advances has gone up by INR157 crores.

And my interest payment on deposit is only INR115 crores. So I mean, as far as interest on advances, interest on deposit is concerned, we are positive. Investment income has gone down by INR98 crores. And further, to maintain our liquidity sound, we have -- I mean, the interest in borrowing has gone up by INR135 crores. So that has had the impact that the NII is minus. So that is why the NIM has come down.

However, with the thrust that we are laying on not only maintaining our CASA at 49% or 50% plus/minus 1%, we are pretty sure that overall NIM, we should be able to maintain well within our guidance of above 3%. As far as the breakup of our RBLR and other advances is concerned, we have roughly around INR1,72,000 crores book on RBLR, around INR70,000 crores is on MCLR and INR38,000 crores is on fixed rate.

Sarvesh Gupta: Okay. And secondly, I think in this year, as a whole, our staff and other opex also grew at a relatively healthy pace of 12% to 14%. So how should we see the opex trend in the coming years? And were there any one-offs in this year?

Mukul Dandige: See, regarding staff expenses, wage revision or the settlement was signed in March '24. However, a lot of the allowances and other things were payable from 1/4/24. So because of that, these expenses have slightly gone up. Further, we have recruited some 1,500-odd staff members

during this financial year. So that has contributed to increase in the staff cost. But with their deployment, we should be able to generate additional business .

Secondly, in line with our thought process that we would like to make our terminal dues fund self-sufficient. If you see around INR460 crores additional provision has been made in the terminal dues for this financial year. So that is another aspect because of which it appears that the staff cost and other things have increased. But there is no one -off item in the staff cost for March '25.

Sarvesh Gupta: Okay. And the other opex , sir, that also increased at more than almost 12%. Is it because of the advances growth primarily?

Mukul Dandige: 10% to 12% would increase because rents, then lighting and other expenses, they would definitely go up as we renew the leases, as we open new branches . So all those expenses will be there and they are well within the overall control and well within the range.

Sarvesh Gupta: Okay. And sir, one more line item was miscellaneous income. I think that had gone up a lot in the non -operating income. So any one -off or what exactly was that? It's Slide number 16.

Mukul Dandige: See, this 44 is with 0 penal charges. 114 is with INR67 crores as penal charges, and 154 is with INR97 crores as penal charges. Because now RBI has said that you cannot charge penal interest.

So this has become penal charges.

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Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

M.V. Rao: Yes. First of all

, thank you for all the participants. And the way bank is delivering for the past 16 quarters that we will continue to deliver, and even in our day -to-day delivery, it is going to become digitally agile. And the super app, what we have rolled out, and also the new tools on the wealth management, that is definitely is going to help further progress in our bank. Thank you. Thank you very much for showing the interest. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

■■■■■■■■■■■■■■■■■■■■ INVESTORS RELATION DIVISION Central Office

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CO:IRD:202 5:26:118 Date: 28th July, 2025

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 21st July, 2025.

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 21st July, 2025 on Financial Results of the Bank for the First Quarter and Three Months ended 30th June, 2025.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,
For Central Bank of India

CHANDRAKANT BHAGWAT
Company Secretary & Compliance officer

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"Central Bank of India Q1 FY'26 Earnings Conference
Call"

July 21 , 2025

MANAGEMENT : MR. M. V. RAO - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , CENTRAL BANK OF INDIA
MR. VIVEK WAHI - EXECUTIVE DIRECTOR , CENTRAL
BANK OF INDIA
MR. M. V. MURALI KRISHNA - EXECUTIVE DIRECTOR ,

CENTRAL BANK OF INDIA
MR. MAHENDRA DOHARE - EXECUTIVE DIRECTOR ,
CENTRAL BANK OF INDIA
MR. MUKUL DANDIGE - CHIEF FINANCIAL OFFICER ,
CENTRAL BANK OF INDIA
MODERATOR : MR. RAJU BARNAWAL - ANTIQUE STOCK BROKING
LTD.

Central Bank of India
July 21, 2025

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Moderator: Ladies and gentle men, good day and welcome to Q1 FY '26 Central Bank of India Earnings Conference Call hosted by Antique Stock Broking Ltd.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Barnawal from Antique Stock Broking Ltd. Thank you and over to you, sir.

Raju Barnawal: Thank you. Good afternoon, everyone and thank you for joining the Post-Result Conference Call of Central Bank of India. Today, from the Senior Management side, we have with us Shri M. V. Rao – MD & CEO, Shri Vivek Wahi – Executive Director, Shri M. V. Murali Krishna – Executive Director, Shri Mahendra Dohare – Executive Director and Mr. Mukul Dandige – Chief Financial Officer.

Now, without any further delay, I hand over the call to MD sir, for his opening remarks post which we will have a Q&A session. Thank you and over to you, sir.

M. V. Rao: Thank you and very good afternoon to all of you. First, I will be giving financial highlights, what we have achieved for this June quarter and the details will be run through by our CFO – Mr. Mukul Dandige .

And this time, I am very happy to share that our ROA, that is return on assets, have improved to 1.02%. In June '24 it was 0.82 % and then return on equity has improved to 14.17 %. If you compare with the previous June, it was 12.60 %. So, CRAR improved to 17.66 % of which tier 1 at 15.48 % registering an improvement of 198 basis points. And our most important is on the gross NPA, which has come down to 3.13% and net NPA now stands at 0.49 %. And added to this, the slippage ratio, it is just 0.35 % and our trade cost stands at 0.68 %. And NIM, that is net interest margin, which stands at 3.16 %. And cost to income ratio has also improved. Earlier, it was 57.71 %. Now, it got reduced to 55.43 %. These are all these ratios part.

And coming to the total business now :

It has grown by 10.84 %, now stands at Rs. 7.04 lakh crore. And total deposits have grown by 11.41 %, now stands at Rs. 4.28 lakh crore. And CASA deposits, it is 46.88 % and which increased by Rs. 11,659 crore, registering a YOY growth of 6.17 %. And gross advances increased by 9.97 %, wherein in sub segments in RAM portfolio has increased by 15.71 %. So, there is a clear distinction that there is a reduction on the corporate side. There is a reason for that, that we will be explaining because of the pricing factors where we were not interested to lend below 6%. That was the issue there.

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And coming to the other operating profit :

It is increased by 15.60 %. Now, it stands at Rs. 2,304 crore s.

These are all the highlights of our "Financial Results " and further details will be shared by our CFO, Mr. Mukul Dandige .

Mukul Dandige: Thank you so much, sir.

So, interest on advances has seen a YOY growth of 9.81% to Rs. 5,932 crores. The investment income has gone down by 4.99% to Rs. 2,340 crores. The other income, that is the interest on balances with RBI and banks, has gone up by 10.44 %.

As far as the non-interest income is concerned, as compared to Rs. 1,165 crores in June 2024, it has gone up by 53.30% to Rs. 1,786 crores, mainly contributed by treasury income and also the recovery in write-off accounts. The total expenses side, the interest expenses on deposits have gone up by 8.73% . And the other interest has gone down by 66.28 %. The operating expenses have increased by 5.33% to Rs. 2,865 crores, out of which the staff cost has grown by 7% to Rs. 1,834 crores and other OPEX have gone up

by 2.49% to Rs. 1,031 crores. So, the total expenses are at Rs. 8,070 crores for the quarter ended June 2025.

Then if we come to the provision side :

The provision on NPAs has reduced to Rs. 468 crores for the June 25 quarter. The income tax provision has gone up to Rs. 614 crores. And as we are doing for the last three quarters, we have provided Rs. 250 crores towards the ECL requirement once again by Rs. 250 crores. So, the total provisions as against June 2024 is 1,113 crore. Now, the total provisions have gone up to Rs. 1,135 crores. And the Bank has been able to register a net profit of Rs. 1,169 crores, which is again one of the highest ever net profits. And the two major factors is that our ROA is now 1.02% and the net NPA, we have been able to bring it down to 0.49% now.

If we go to the asset quality trend, the net NPA, which was at 0.73 %, we have been able to bring it down to 0.49 %. And gross NPA has come down from 4.54% to 3.13% as of 30th of June. In terms of absolute numbers also, the net NPA has reduced from a high of Rs. 1,771 crores in June 2024, now to Rs. 1,308 crores only. If we go to the recovery in write-off, which is a special slide that we have created, if we see last four years, we have done exceedingly well as far as the recovery in write-off is concerned.

In the Financial Year 2021-22, we were able to recover Rs. 331.52 crores, which went up to Rs. 1,282.59 crores in 2022-23, which further increased to Rs. 1,433.32 crores in 2023-24. And 2024-25 saw a further uptick to Rs. 1,716.33 crores.

For this quarter, the recovery in write-off stands at Rs. 613 crores, which is a very important factor. The provision coverage ratio has improved to 97.02 %. The slippage ratio was at 0.35 %, Central Bank of India

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and the credit cost also has reduced to 0.68 % only. The special mention accounts, Rs. 5 crores and above, the total balance is now Rs. 1,008 crores only, out of which SMA -2 accounts are 9, which total to Rs. 69 crores only. The restructured book stands at Rs. 4,948 crores.

As MD sir has told, the CRAR improved to 17.66% with CET -I touching at 15.48% and Tier at 2.18%. The leverage ratio has also improved to 6.21 %. The total business growth was 10.84% , and the total business stands at Rs. 7,04,485 crores, with deposits clocking a growth of 11.41 % out of which CASA growth was at 6.17 %, and total CASA deposits have crossed the milestone of 2 lakh crores and they stand at Rs. 2,522 crores. The CASA percentage still continues to be very healthy at 46.88 %.

The advances growth was at 9.97 %, but if we see, the RAM growth was at 15.71 %. With our retail clocking 17.51% growth, agriculture clocking 12.70% growth and MSMEs still continuing at 15.94 %. And all these still with credit risk -weighted assets of 6.2% which is one of the lowest in the industry.

We do have a very diversified loan book with housing loan at Rs. 53,299 crores, auto loan Rs. 3,988 crores, which is a major portion of the retail assets at Rs. 85,156 crores, agriculture at Rs. 53,057 crores, and corporate credit at Rs. 76,966 crores. The RAM advances stand at 72.07% for the quarter ended June 2025.

The standard -rated advances, if you see, the share of A and above -rated advances is 77.11% of the total advances of Rs. 77,654 crore. If we see the BBB and above -rated advances, the percentage is 94.49 %. Thereafter, we have surpassed all the targets, mandated targets under the priority sector lending. The investment book continues to be one of the robust books with yield on investment at 6.76 % and if we add the trading profit, then the yield was at 8.31 %. So, this was all from our side as far as the financial highlights are concerned.

We are now open for question and answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashok Ajmer

a from Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you very much for giving me the opportunity. First, at the very outset, I would like to convey my great sense of congratulations and appreciation for Rao Saab for your very chequered banking career. And you are leaving the Bank as very strong like ROA target, which was your target. You already crossed 1 %, so it is 1.02 %. Net NPA , you brought it down below 0.5 %, which is another landmark, and I think one of the highest profitability of the Bank in the last 4-5 quarters, even the operating profit, and if you talk about the net profit also. So, compliments to you, sir, and a heads up to you and all the best for your second inning in life. We will all miss you, sir.

M. V. Rao: Thank you.

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Ashok Ajmera: Having said that, I already appreciated the profitability number. But, sir, I have got a few data points and some concerns. My major concern is on the credit growth. I think though overall, year to year, if you see, you say 9.9 % or 10 %. But in this quarter, I think which is one of the

terrible quarters as far as the credit growth is concerned, we went down by 5% as compared to March. So, that is the major thing because we are very comfortable on CD ratio. We are very comfortable on CRA R. We have got a very good large client base, good retail opportunities, good FME opportunities. So, where we went wrong or what are the challenges which the Bank is facing as far as the credit book is concerned to increase or the credit growth? This is my first major point. Your profitability would have been more by Rs. 57.63 crores, but for changing the depreciation method. So, the actual profit is really higher than what it is. So, no comment on that. Our SMA -0 in this quarter has gone up from Rs. 221 crores to Rs. 537 crores. So, if you can give some color on that, that they are all regularized by now. Treasury income has contributed a lot. So, my compliments to the entire treasury team. And sir, one, I would like to know the plans for our being making the Future Generali as the associate company by investing good amount of almost about Rs. 500 crores in both life and general insurance. So, what are the plans which we are working out? How is it going to help as far as the revenue of the Bank is concerned and the future value growth by acquiring, finally, signing the shareholder's agreement and some color on that restructured book of Rs. 4,000 crores, almost about Rs. 5,000 crores. So, these are the some few questions and a little bit on our recovery from return of account has been a little bit lower down as compared to the March. So, what are the prospects for that, sir?

M. V. Rao: Yes, coming to first and foremost concern what you have expressed on the credit growth. Let me tell you that it is not at all a concern. You should be happy to note that Bank is much more concerned about the bottom line. If you see actual growth on the advances on the retail and MSME, that is the RAM portfolio, which is almost 15.7% and reduction in the growth that has happened on the corporate side. It is a very conscious decision from our side that we do not want to lend at the rates what the corporates were demanding. So, this is also because our investment yield is almost 6.71%. There is no point in giving that 5.85%-5.80% just to show the top line. So, all of you are aware that we never played to the gallery and we never played for the top-line. We are interested in the bottom line and strengthening the Bank in all possible ways, in all the areas. That's why we have focused. That's why there is a reduction. So, it's not a concern. You should appreciate our way of working that we are protecting the bottom-line even during challenging times where corporates are demanding below 6%. That's how. And at the same time, we are also mindful of the fact that aggressive growth should not be there. That's why we have moderated

our RAM growth around 16% that we will continue to do that. And definitely going forward, another nine months is there, another eight months that we will get the opportunities to pick up the assets at the right price that we will be balancing with the pricing, with the risk, so that capital conservation do happen on the corporate side. This is on the credit side.

On the SMA, I think it's a very minuscule amount that is there and the SMA -0, now already Rs. 353 crores. Already it is upgraded, it is regularized and we do not have any issues as far as the SMA -0, 1 and 2 is concerned in the credit this one. That is also reflected in your slippage ratios. It is just 0.35% what we have recorded for our June quarter and coming to insurance, yes, Central Bank of India

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it's a very happy news. Just I would like to share with you that we have already signed shareholders agreement, trademark licensing agreement and distribution agreement with Generali. And in the last week of this month, once the name change approval comes from the ROC, that we will be ready for launching this with the new name. So, we will have two more joint ventures. One is on the life and another is the non-life. And what we feel that the customer base and also to meet the customer's aspirations, this bouquet of products which is going to be offered, it is not just the income part we are seeing for the Bank, it is the value that is going to be added to the Bank as a whole. That is the much more bigger aspect we are eyeing for. This is on the insurance side.

And I will again come back on any of the questions if you have.

Ashok Ajmera: Sir, on that, will you like to give a fresh, I mean, current position or update on that airline account, sir? What is the status there?

M. V. Rao: Airline account, now there is a favorable decision from that Singapore arbitration that execution has to happen in Delaware. That is the thing that is happening. It is a legal process. It is taking some time for that.

Ashok Ajmera: Some realization from that extra property which you had with Bank of Baroda?

M. V. Rao: Yes, we have published that. That is on the public notice that we have published, SARFEASI notices. I think one or two customers are evaluating, whatever the prospects and bids, we are just waiting for that. Once they give their bid, we can proceed further.

Ashok Ajmera: Sir, one question for this Mukulji that this DTA calculation, the revised calculation you have done of Rs 2,531 crore as against Rs. 4,378 crore last year. So, now, on tax front, when do you think we will be out of it and out of this Rs. 614 crore, how much actual tax are we going to pay? I mean, after taking the benefit of the past carry forward losses?

Vivek Wahi: See, Ajmer aji, we estimate that whatever the DTA on account of business losses, that we should be able to consume entirely by Q4. And in Q4, by taking a small hit of, I mean, actual payment of tax to the tax authorities of say, Rs. 65 crores -Rs. 70 crores roughly, we should be able to move to the new tax regime and in our calculations, next year onwards, it should give us a positive side of roughly around Rs. 900 crores, which will mean that around 9 to 10 bps of my ROA will get impacted, that is by plus side.

Ashok Ajmera: Correct. It will increase.

Vivek Wahi: Yes, so that is our calculation.

Ashok Ajmera: Good. Because you know, it always happens that we want, if we are making a profit, I mean, one side we want to make the higher profit and then give away the benefit of the past, which is

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of course a prudent policy. I think profit has to be there. So, from next year, we'll come in the full tax bracket ?

Vivek Wahi: Yes, lower tax regime.

Ashok Ajmera: Good and sir this ECL provisioning, which we are

making, I mean, you said that the

consolidated figures of the provision is now Rs. 1,135 crores, isn't it? Because many of the banks now have stopped worrying about this ECL. I mean, any clarity is there that within the changed circumstances and scenario, you will need this kind of provision for that?

Vivek Wahi: Buffers are always good to have. So, that is why we are still continuing with the requisite provision. If they are not required anytime, we can write it back if the RBI guidelines or RBI doesn't come. Because now we are very comfortable as far as the NPA provisions are concerned at 0.49 %. So, we are continuing to build around Rs. 250 crores required for the ECL. So, now this is the fourth straight quarter wherein we have built this provision. So, Rs. 1,000 crores that, plus a lot of my restructured assets are also carrying requisite provision of 15% or 10%, whatever the case may be. So, all in all, it is going to strengthen the balance sheet even more.

Ashok Ajmera: Very good, sir. Last question, sir, a small question. This RBI revised guidelines now recently that taking collateral for that small loan from the Agri Gold collateral. With that, whether our loan strategy for increasing the loan book, Agri loan book and Gold loan book, has it been, the targets are revised there? Are we aggressive on that going to be now, going forward?

M. V. Rao: No, we have not revised our targets at all. We will, our Gold loan portfolio, even last year it was a very handsome growth. So, we will continue, want to continue with our plan, but we have not revised our targets.

Ashok Ajmera: Alright, sir. Thank you very much. So, what are the loan growth targets overall for the FY '26?

M. V. Rao: We are targeting around 14% to 16%. That is what the guidance we have given. So, we will continue with that 14% to 16% we should be able to achieve.

Ashok Ajmera: Very welcome guidance. Good guidance. Thank you very much, sir.

M. V. Rao: Thank you.

Moderator: Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulation to Central Bank of India for excellent result and specifically on two accounts, on a sustainable CASA number on absolute figure and secondly on acquisition of Future Generali.

So, first, my question on the foundation by the current team is built very well. How well do we see the tower being built in the year and years to come?

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Vivek Wahi: See, as far as the internal work which has gone into for all these years, very robust platforms are built, whether it is on the policy side or the product side or the technology platform, and more so on the structures, what the new structures, what we have built in and additional revenue streams, whether it is from the trades off, from the co-lending, these are all the areas which are going to stay. And another thing which I would like to share with you is this year already we have declared further business acceleration as a year of business acceleration. And whatever the numbers that we achieve in March, that we used to cross those numbers around September, October. This time we are crossing the June itself. So, there is acceleration. There is a tremendous amount of traction that is on the field level. That's why if you see the composition of the ramp, which basically happens at the field level, it is at 72 % and 28 % is the corporate side where much of the role of the central office or higher level comes into picture. So, what we feel that the foundation which is built is very robust and you can have whatever the towers you want to build, that is we have no doubts in that.

Sushil Choksey: So, my question related to your reply, co-lending platform where we are seeing a visibility of almost Rs. 2,000 crores per quarter currently. It would be Gold Loan, LAP Loan, MSME, all

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these products combined, I suppose. How are you seeing that traction being built? Is Rs. 2,000 crore a sustainable number or that number can increase with more partners?

M. V. Rao: That number is going to increase because we have further plans for the co-lending. So, that is going to increase at least by Rs. 2,800 crores to Rs. 3,000 crores.

Sushil Choksey: Sir, what kind of a blended yield we must be earning on co-lending over our retail direct sale?

M. V. Rao: Co-lending we are getting around 9% overall.

Sushil Choksey: This is a net to the Bank, I suppose?

M. V. Rao: Yes, exactly.

Sushil Choksey: Sir, you mentioned about trades platform rollout on a digital, I suppose it would be a digital end-to-end party. What kind of portfolio can we build on those?

M. V. Rao: See, in the trade, one good aspect is whatever the bills that are accepted by the corporates that are only we are discounting. That is the trade platform business that what happens. Where we are a little bit choosy in terms of the corporates who are accepting those bills. So, we have our own due diligence mechanism and tenure of 60 to 90 days. So, even at the lower rates, we are competitive because of our pricing power that we have a very decent portfolio. I think this time we have closed by around Rs. 3,200 crore and with a turnover of around Rs. 18,000 crores.

Sushil Choksey: Sir, our CASA number at Rs. 2 lakh crores is a fantastic figure from the franchisee and the branches which has worked in the current condition by an absolute number that is sustained and not losing. Percentage wise, we may look on the total balance sheet. But if I look at absolute Central Bank of India

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number, so any color on that, that we are able to sustain that number. Now we have done a lot of digital spend. We have started so many other products. We are in position to do a lot of cross-sell with insurance company in our foray. What kind of retail penetration can drive incremental support to not only building CASA franchise, but also third party products?

M. V. Rao: Yes, see, as far as the CASA part is concerned, number one is the reach for customer acquisition.

You know that we have brought the BC MAXX model and it is very, very successful. That 25 units are already working. This year we are going for the 250 BC MAXX centers. That is all in the places where we do not have the brick and mortar branches and banking business is growing around 15% to 16% CAGR. So, such type of locations we have selected and this BC MAXX model will be one of the customer touch point for the acquisition of the new customers. That is number one. Number two is, our BC points, which are around 12,800, which will be ramped up to another 1,800 that is around 14,000. And that will also be adding for the customer acquisition. And coming to the products, since the digital channels are stabilized, our omni-channel is already rolled out and which is having almost 200 plus services and we are very happy to share with you almost now 12 lakh new customers are on boarded on to this CenteeZ app. So, going forward, these new accounts, which are being added on this digital channel, the average balances is around Rs. 27,000. So, this is a very, very good channel, not only for acquiring new customers and also maintaining the good balances that is the wallet of the customers what we are having in these channels is also relatively high when you compare with the customers mobilized through the BC or BC MAXX or this brick and mortar channels. So, these are all the different channels we have and we have the strategies and plans. And in many of the current account balances, where now traction you can see in the next 3 to 6 months, because we are bringing a lot of bouquet of services on the software side. So, we want to capture the entire value chain financing and also the requirements in the current

accounts, including the cash management solutions. So, we are very hopeful that CASA is bound to increase from this level onwards, especially on the current account side. And on the FB side, we are focusing to increase the wallet share of the customers because of the digital channels.

Sushil Choksey: Now, related to all these are two expenses which we have to incur, one is digital yearly expense, including for launching new products, new services and media and secondly, in human resource.

So, what will be the number on digital spend and specifically to empower the youth in the Bank as well as for the new generation clients? What kind of HR initiatives and spend we will incur in this year?

M. V. Rao: See, as far as the HR initiatives, that is for our internal resources, that is already geared up. And then a lot of initiatives we have rolled out and new recruitments are also happened. And this time we have specifically gone for around 2,000 credit officers. That almost that indent is done and then people will get on boarded after a month or so. So, there is a lot of things that are happening on the HR side. There is a slew of measures, when I start saying again, other people will get bored. They may not get the chance of asking their questions. Anyhow, we will be sharing on that. That's a good thing that are happening on the HR side.

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Sushil Choksey: My last question to Mr. Wahi sir, what's your outlook on treasury for the year?

Vivek Wahi: Sir, our outlook continues to be the same which we discussed in the previous quarter. Already 100 basis point is cut and terminal repo by March. I am seeing another 2 cuts of 25 each. So, 5% would be the realistic repo which I am seeing terminally. So, it will be a good year for the treasury, for the Bank. It is a cyclical thing. But hopefully we will encash on that based upon our portfolio.

Sushil Choksey: You are expecting G -Sec to be below 6 % by year end?

Vivek Wahi: Yes, sir. G -Sec will be below 6 % by March.

Sushil Choksey: Congratulations to the team. Best wishes to the Bank and Mr. Rao specifically. Super performance and super platform created.

M. V. Rao: Thank you, sir.

Moderator: Thank you. The next question is from the line of Bhavik Shah from InCred Capital. Please go ahead.

Bhavik Shah : Hi, sir. Thanks for the opportunity. Sir, recovery from written off is very good this quarter. Any lumpy accounts there?

Vivek Wahi: There was one account wherein we got around Rs. 301 crores. But other than that also, there are recoveries in many other accounts. I mean, it is not only from 4, 5, 6 accounts we have been able to do Rs. 600 crores.

Bhavik Shah : Okay. So, this Rs. 301 crore account, is it like, understandably, it should be through NCLT , right? So, which sector would it be from?

Vivek Wahi: It is a cement account which got resolved.

Bhavik Shah : Okay. And sir, I just want to understand this, sir. So, we have seen private banks cutting MCLR rates by 60 basis points and SOE banks are still at 15 -20 basis points. I understand it is a formula - driven thing and cost of fund has also come down across industry at a similar pace. So, why are SOE banks holding up MCLR rate cuts?

Vivek Wahi: See, MCLR, as you said, it is a formula -driven thing. And deposit rates, if you see, deposit rates have not come down that drastically as the repo cut. So, wherever my advances are repo linked, there the transmission is complete with 100 bps reduction till now. But as far as the other deposit rates and based on that the MCLR cut, because it is purely formula -driven. I mean, nobody can do anything in that.

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Bhavik Shah : Sir, do you expect MCLR rate cut to accelerate in second quarter? So, by September, as in we should be like 60 -70 basis point down on MCLR versus March?

Vivek Wahi: 60-70 bps may not be. 10 -15, 20 bps max. Again, it depends on the cost of deposits and how low the cost of deposits can go.

Bhavik Shah : Understood. Sir, as in if you don't cut MCLR, how do we negotiate with the NBFC? So, do we kind of cut the premium or something on their loans? Because then as in they would BT-out, right?

Vivek Wahi: We have seen good traction even in the NBFC. It is just that we have been very choosy as far as the NBFC sector is concerned. We have not budged in the past also. Even now, whatever sanctions we are doing, we are getting a very good rate of interest as far as the NBFC rates are concerned, NBFC accounts are concerned.

Bhavik Shah : What is the rate of interest you would be lending at incrementally to NBFC?

Vivek Wahi: NBFC, MCLR -based rates and we are getting 9%-9.05% kind of rates even now.

Bhavik Shah : Understood. And sir, just wanted to check, how do you see your retiral provisions going ahead? So, it is around Rs. 550 odd crores this quarter versus last quarter. Going forward, do you see similar pace?

Vivek Wahi: See, we have taken a consistent stand that we want to make this fund self -sufficient by December 27. And so, whatever extra required over and above the calculation, we are providing it for. And if any opportunity comes, we would further like to give something but this is the minimum that we are going to provide going forward in the Retiral Benefit Department.

Bhavik Shah : Okay, understood. And sir, just on the treasury gains, assuming there are no further rate cuts, can you assume like 70% of the treasury gains is booked through the year or difficult to say that?

Vivek Wahi: If there is no further rate cut, then I would say majority of the means 70 %-80% of the sale of investment gain is already booked.

Bhavik Shah : Understood. And sir, last data -keeping question. So, what would be your AFS reserve as on date? AFS reserve, which kind of goes in general reserve network?

Vivek Wahi: Rs. 433 crores, not much.

Bhavik Shah : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go

ahead.
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Ashok Ajmera: Thanks for giving this opportunity again. So, mainly on this credit growth of 14 %-16%, which we are talking about, while the broad composition may remain same, retail and corporate, SME, etc., where exactly you look the major chunk coming from? I mean, what kind of industry or as per our pipeline, sanctions and other thing? Is it renewable energy or is it some engineering or some other SME companies? So, what is the composition which you expect? And from where this kind of growth is going to come, sir, in this year?

M. V. Rao: See, actually, mainly the areas where we are finding the scope is in the data center, logistics, and only one or two manufacturing sectors, not more than that. And much is on the government or government -backed entities, whether it is the NTPC or the IRDA, like that. So, this is the broad composition. And we are not just keeping anything away from our radar. As and when the opportunity appears, and then in our judgment, it appears it is prudent, we are ready to take the call on that. Even LRDs are also coming now, a lot of LRDs. Repricing is happening in the market because of this repo cut. Things are there.

Ashok Ajmera: Okay. And sir, one point is on that SRs, now with this, I mean, the valuation being allowed, in this quarter, there was any happening in this SR or asset sale to the asset recovery companies?

Vivek Wahi: There was a write -back of around Rs. 2.5 crore s, that's all. Okay. In one account, it came roughly around Rs. 30 - Rs. 34 crores also, yes. In one account, it was there.

Ashok Ajmera: That is fresh issue of SRs or?

Vivek Wahi: Yes, during this quarter, where we were not required to make any provisions on SRs.

Ashok Ajmera: Yes. So, 15% must have come in cash and balance in this SRs?

Vivek Wahi: Yes.

Ashok Ajmera : And they are all NARCL?

Vivek Wahi: Yes, NARCL.

Ashok Ajmera: NARCL only. And sir, this in treasury book, like, what is our position of the non-SLR investment? And is there any increase and where these investments are mainly?

Vivek Wahi: Non-SLR investment, they have not increased really. And if you see from our debenture and bonds, they are mainly to our public sector entities. So, it has not increased, say, it was Rs. 27,000 crore last year. It is now at the same level, Rs. 27,000 crores.

Ashok Ajmera: Did we have any exposure on that MTNL?

Vivek Wahi: No.

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Ashok Ajmera: We didn't have anything on that. And sir, I mean, now again, since the IPO market has again picked up, recently last 1-2 months, I think earlier I remember we made good profit in investing into the IPOs and getting out on the listing, making a good profit. Whether the strategy still continues or we are off IPO?

Vivek Wahi: We are continuing with that. Wherever we see good listing gains, we are continuing to do investment and that would continue.

Ashok Ajmera: All right, sir. Thank you very much. Thank you and all the best.

Vivek Wahi: Thank you. The next question is from the line of Bhavik Shah from InCred Capital. Please go ahead.

Ashok Ajmera: Sir, just two bits. Sir, firstly, do you see a margin coming off by 20 basis point here on in second quarter?

Vivek Wahi: You are saying NIMs?

Ashok Ajmera: Yes, NIMs.

Vivek Wahi: NIMs , see, we are at 3.16 % right now. And as MD sir explained, we are very conscious about our bottom line and the margins also and that is why we took a conscious call that we will not give the corporate loans at sub 6 % rates. So, we'll continue to be guided by that. And our guidance is that we'll stay above 3% as far as the NIM s is concerned. And we'll ensure that our NIM s stay above 3%.

Ashok Ajmera: Understood. And sir, for a standard account, which is 30 days past due, as if we think that account is going to go delinquent, do we propose OTS schemes to them? Like, can we do an OTS scheme for a substandard standard account?

Vivek Wahi: Substandard is okay. But our standard accounts, even if it is just some 30 -60 days past due, no OTS is there.

Ashok Ajmera: Okay. Understood, sir. That's it from my side. Thank you.

Moderator: Thank you. As there no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

M. V. Rao: Yes. Thank you. Thank you for all the time you have given to us. And then to assure you further going forward, we are going to strengthen further to onboard our customers on our omni channel that is working fine with the new technology platform. And digital lending platform, which is also now operational and a lot of acquisition and then underwriting is happening through the DLP. And then integrated customer care, which is well -established during this year, is going to yield us and also address the customer grievances at speed. And the collection management Central Bank of India
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system has really yielded well. When you see the slippages, it is 0.35 %. It is also adding value to the entire system. And another thing, what DTA part, already our CFO explained that we are going to consume part and then we will be moving to the lower tax regime in the next financial year, that is going to add another 9 to 10 basis points upside for our return on assets. And then you may also have noticed this AGM, which happened just two days before, that apart from dividend for FY 2024 -25 for this first quarter also Board have declared our interim dividend. So, we are hopeful of maintaining all these positive tracks and also addressing the customer requirements

ts well in time. Thank you. Thank you for all the time and energy which you have given to us. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2025

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CO:IRD:202 5:26:185 Date: 27th October , 2025

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 17th October, 202 5.

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on 17th October, 202 5 on Financial Results of the Bank for the Second Quarter and Half Year ended 30th September, 202 5.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbankofindia.co.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance Officer

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"Central Bank of India Q2 FY'26 Earnings Conference

Call"

October 17, 2025

MANAGEMENT : SHRI KALYAN KUMAR – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER, CENTRAL BANK OF INDIA

SHRI M V MURALI KRISHNA – EXECUTIVE DIRECTOR ,

CENTRAL BANK OF INDIA

SHRI MAHENDRA DOHARE – EXECUTIVE DIRECTOR ,

CENTRAL BANK OF INDIA
SHRI MUKUL DANDIGE – CHIEF FINANCIAL OFFICER ,
CENTRAL BANK OF INDIA
MODERATOR : SHRI SIDHAK SINGH – ANTIQUE STOCK BROKING

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Moderator : Ladies and gentlemen, good day and welcome to the Central Bank of India Q2 FY '26 Conference Call hosted by Antique Stock Broking Limited .

As a reminder, all the participant s' lines will be on the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sig nal an operator by pressing “*” then “0” on your touch -tone phone.

I now hand the conference over t o Mr. Sidhak Singh from Antique Stock Broking. Thank you and over to you Mr. Singh.

Sidhak Singh: Thank you. Good afternoon everyone and thank you for joining the Post-Result conference call of Central Bank of India.

Today from the Senior Management side, we have with us Shri Kalyan Kumar – MD and CEO, Shri M V Murali Krishna – Executi ve Director, Shri Mahendra Dohare – Executive Director, and Shri Mukul Dandige – Chief Financial Officer.

Now without any further delay, I hand over the call to MD and CEO sir for its opening remarks, post which we will have a Q&A session. Thank you and over to you.

Kalyan Kumar: Good afternoon. Thanks for the opportunity. First of all, actually, I will speak in brief about the financial performance of this half year, September 2025.

Central Bank of India is a strong brand with a legacy of 113 plus years and having a strong rural and semi -urban presence, it is having 65% of total branches in rural semi -urban ce nters. That is a great strength.

I am happy to share with you all that total busine ss as of September 2025, year -on-year has grown by 14.43%, that is Rs. 7,37,938 crores. It is in alignment with the direction given to the market and same total deposits gro wn by 13.40% that is Rs. 4,44,450 crores. CASA, which is a strength of Central Bank of India, which is 46.83%, it has grown by 8.55% that is Rs. 2,07,616 crores.

Similarly, Gross a dvances has grown by 16%, that is Rs. 2, 93,488 crores. R AM has grown by 15.23%, that is Rs. 2,09,948 crores. Total income has grown year on year 4.07% that is Rs. 10,250 crores, within which interest income has increased to Rs. 8,744 crores that is 6.61% of total income. However, total non -interest income go t reduced by Rs. 280 crores over June '25 quarter. T here is increase of 32.86% year -on-year in net profit, which is Rs. 1,213 crores.

It is also worth to mention that our Gross NPA reduced to 3.01% and there is a red uction of 158 basis points year -on-year. Net NPA reduced by 21 basis points to 0.48%.

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And I am happy to say Return on Asset, as assured, it has increased by 17 basis points to 1.01%, it is above 1%. Return on equity increased by 155 basis points to 14.22%. Yield on Advances, due to obvious reaso n, it got reduced to 8.36% as of Septembe r'25 from 8.77% as of September' 24. There is a reduction of 41 basis points. Cost of Deposit also got increased by 21 basis points to 4.88% as of September' 25. And you know there is lag in actually repricing of depo sit due to contractual enga gement with the customer. That is why with lag, this is getting repric ed. NIM has reduced by 52 basis points to 2.89%.

Credit Cost has reduced by 34 basis points to 0.21%. This is also one strong point of Central Bank of India. S lippage Ratio reduced by 8 basis points to 0.30% year -on-year. One major area of conc ern for us is Cost-to-Income ratio that is 62.72%. There is in crease of 553 basis points year-on-year from 57.19%.

Return on Asset, as I told , it has improved. Net Interes t Income has reduced by 2.96% qu arter on quarter and 3.72% year -on-year. Operating Profit also is Rs. 1,786 crore as of September' 25. It got reduced by 22% quarter -on-quarter and 17.5 1% year -on-year. This is also a major area of improvement for us.

And one nice thin

g which I want to share, due to effective containment of slippages and improvement in asset qual ity, provisions as of September' 25 is Rs. 573 crores only, reduced from June' 25 which was Rs.1 ,135 crores. And there is 54% reduction in provision yea r-on-year and 50% quarter -on-quarter. What I mean to say with this balance sheet, there are several strong points which shows actually improvement in efficiency in terms of containment of slippages, in

terms of management of asset quality, in terms of ROA. However, the areas of improvement in terms of CD ratio and also more focus towards improvement in income sources, revenue sources and these areas are going to be our area of improvement in coming year. But with this, I can assure you the kind of initiative which we are taking, which we are going to build up in our major focus area.

Actually, I want to share my vision also. This is my first interaction with you all. That way, our vision is to build Central Bank of India as digitally enabled customer-centric bank, where actually our focus would be to optimize the returns to all our stakeholders by revisiting our business processes. When we talk about technology, then today customer's requirement is actually the developed business model, where technology plays very important role. I am happy to say that Central Bank of India has done good work in development of its technology.

Now, challenge is to bring improvement in adoption level and also suppose if we call about our focus is CASA. In CASA, pleasurable onboarding experience to customers, providing this is very important and also giving them superior banking experience which is safe and resilient.

That is also our responsibility. That is possible. That is going to be our focus area. And in CASA sector, actually still we are actually doing good. But there is a need to revisit in that direction.

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I am happy to share with you segment-wise product. Though it is here, but we are revisiting, benchmarking those products with the industry-based standard. And with our marketing team and our business unit, we are going to focus upon mobilizing more and more salary accounts. And there technology will play important role. We have provided tab to every branches and also our mobile app is very robust. There is good adoption level. I am told 83 lakh customers are there who are on mobile platform. It is going to increase in coming year.

Another important area which we are going to focus is RAM, Retail Agriculture and MSME. Growth is very good in all these three areas. You must have seen our press release. It is not only in double digit, but it is performing well. And that is also going to be our core area. We are going to identify good number of branches in agriculture focused cluster and MSME focused cluster. And very focused way we are going to focus upon investment credit in agriculture and also in MSME sector we are going to play very important role in coming quarters. And there are good margins and that is going to support us. We are also planning to play important role in corporate side also looking to our size. We will also play our role in those directions.

Third, slippages containment is very good. Now also SMA assets are under control. And in that way I can assure you our feet on street model integrated with our own internal monitoring process and technology is also playing important role here. We are going to further improve our credit underwriting processes and monitoring. So that this containment of slippages is continued like this or also will bring improvement in this segment.

Fourth important area is our actually recovery. You see NPA kitty Rs. 35,000 crore is under the write-off amount and Rs.8,000 crore plus is under the gross NPA amount which we are having. In actually those area we see that lot of scope in recovery is available

e. Though we depend upon

NCLT provision and all that more than Rs. 25,000 crore is there. That would be through industry but remaining amount we are focusing upon. This is going to be the top priority of our top management where we are going to play very important role. That will boost our recovery in write-off and that would add to our bottom line.

In that way I can assure you with the condition and current situation where Central Bank of India is standing today. We will in coming years really built upon our strength and also the area of improvement where I said during my initial remark will certainly make up to those points by improvement in CD ratio, also improvement in income sources. All these things are going to be our priority.

So, with this actually I will stop here, and I invite questions from you. I will answer your questions and wherever needed I will invite Shri Mukulji our CFO also and other senior team present here to actually support if anything you want to add value to answer to those questions.

Now over to you. Thank you.

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Moderator : Thank you very much. The first question is from the line of Sushil Choksi from Indus Equity Advisors. Please go ahead.

Sushil Choksi: Congratulations sir for the stable result and your appointment and best wishes for the tenure. Sir, my first question is the bank has been very stable where CASA is concerned. You highlighted in your vision that you would like to increase your RAM and agriculture. So with RAM what kind of new initiatives we can see over a period of next six months or a year which would

strengthen our bank's positions. We are a pioneer in terms of size where co-lending and our portfolio is concerned with absolute brilliant performance as per quarter-on-quarter which we have heard. So if you can give some highlights there.

Kalyan Kumar: Yes, first of all thanks for your good wishes and good words. See in Agriculture and MSME, these two are going to be our major focus area. Here, there are going to be two approaches. One approach you know the mass where actually we are going to support through technology. There are straight through processes journey capturing MSME advances and also in next six months to one year we are going to finance value chain financing we call it in agriculture more focused in dairy side and also other side. There are business models which we are going to develop here and also there we are going to play important role in cold chain financing, we are actually, we are having spread across the country where this warehouse part and cold chain part is also very important area where lot of investments are coming and lot of opportunity for financing would be available there. So, Central Bank of India will also play in this area and coming to other aspects actually there are active cluster, those are activity based cluster where whole ecosystem for improvement of these area agriculture and MSME is going on. Lot of government initiatives are also there to play and harness those opportunity fruitfully and effectively we are going to strengthen our branch which is present in those cluster with manpower, technology and other support system. There we can actually convert those opportunity into real business. Similarly in MSME side both approach ULI other digital journeys are also available with us. MSME digital loan and BGST and all those things are also available with us. So through that masses will avail opportunity of getting finance seamlessly with us and another area where cluster, say in Surat textile cluster is there, at Rajkot machinery sector is there, near Lucknow also lot of clusters are actually there. In those clusters we will strengthen our branch, map those branches with the activities of those cluster. And we are going to support them with the best of the products at competitive rates

and also technical knowhow which is available there. So that we can play important role in nation building which is the aim and aspiration of the country also in strengthening those ecosystem where all these actually branches are operating. And we Central Bank of India is an important public sector bank will play important role in strengthening all these areas. These are going to be our strategy in next six months to one year.

Sushil Choksi: So, your rich experience with 20 years in Union Bank, four years in PNB and over 20 years in Union Bank respective EDs who have come from large banks. Our bank has a big brand from western India where presence is concerned irrespective of the past history where we had some issues. Today we stand on strength because of digital manpower many other initiatives. So, if your vision empowers how would you see your situation between RAM and corporate advances?

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Currently we are 71.5 % and 28.5 % How would you visualize if I take a two year outlook on this portfolio?

Kalyan Kumar: See RAM has its own advantage and having taking exposure in corporate side has also its own advantage. We have given as an organization that 65:35 is an ideal ratio. And to market, I want to give you that we are going to aspire to maintain this ratio in coming years also because in RAM sector this bank has got very good skill set traditionally also. If you see in MSME growth rate and agriculture also growth rate is very good. In that way this is strength of this organization. We are going to build upon this strength. In corporate side due to obvious reason you know this bank was for last five years it was under PCA and but now capital also supports us and we are going to build. Our earlier predecessor also has taken so many good initiatives like they are going to build cadre of credit officers. We are continuing with that. This year also we are going to build minimum 1000 credit officers. And FOREX side, credit side those skill sets we are going to actually nurture and prepare them to grow in corporate side also. Because that is also very important emerging area where we have to play important role. So that is why I can assure you this balance of 65: 35 would be guiding for us. And that is a good combination also for maintaining balance between Corporate and RAM.

Sushil Choksi: Sir, if I take the new initiatives which RBI has taken for acquisition finance, share advances, capital market exposure through new IPO financing. You have absolutely one of the best franchise where CASA is concerned. You have a reasonable good portfolio on retail led by housing loans and auto loans. If I have to visualize on margin front you are doing well on co-lending too. With our RAM being a focus at 65: 35 you feel that our margins where we are today. We would start some cross-selling business. We have also acquired Future Generali now as a large shareholder. All these initiatives will Cost-to-Income and improve margins from where we stand over if I take a 12-month outlook.

Kalyan Kumar: Yes. Very right. Actually I can assure you if there is improvement income of Rs. 50 crores in a quarter it adds to the reduction of 1% in Cost-to-Income. If six month time we are able to generate Rs. 300 crores then actually six-point reduction in Cost-to-Income we can envisage.

The kind of initiatives which we are planning and which I have shared with you. There is no reason that with the current scenario legacy issues are over which I can show. That is the past. The kind of strength Central Bank of India is having now and the vision which I shared with you I do not find any reason because bancassurance is also new. You see the asset assurance side only. Every quarter the good number of disbursement are happening. Even through persuasion even our own assets are insured. Those are untapped

area through which we can get good amount of income. And also there are several emerging side also like revisiting our processes, more use of digital tools and more cost curtailment measures also that we are discussing with our team here. And collectively if it will work then that cannot be a major challenge in front of us. And by March I can assure you that this would be in the range of 54% to 55% which it used to be. With having very conservative approach I am telling you.

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Sushil Choksi: Sir my last question is outlook on treasury for the year and digital spend amount. What is the likely spend on digital to be?

Kalyan Kumar: Actually treasury you know depends upon the market forces. And as you see June quarter it was very good and September quarter there is reduction in the trading income, Rs. 290 crores. There is reduction in income in this quarter. It depends upon market forces. Based upon the market news and all I expect that in coming quarter treasury is going to support us a lot. I will invite Mr. Mukul to add further to this question.

Mukul Dandige: Choksi ji even though the trading profit has come down but on the reverse side the coupon income has gone up in treasury. Secondly what they are doing is with the funds available they are into as we are saying different revenue streams like depot transaction where we are getting good amount of I mean income out of those transactions and also IPO. I mean wherever the opportunity comes we are tapping those opportunities and we have been able to make good set of gains. In a recently concluded IPO where a leading company had gone to market we were able to get 50% amount as a premium on our total investment.

Sushil Choksi: Yes, application all banks have applied one time and got 50% gain. I understand that.

Mukul Dandige: So that way I mean we are doing then you will see that SDL also has seen recently an up tick. So we are getting good I mean coupon in SDL bonds also. So treasury is doing its bit even though they are market driven but they are very much agile and they are looking forward for any opportunity to support.

Sushil Choksi: Mukul my question was more like what I used to ask Wahi Ji. What is your estimate? I am not asking for the trading number. What is your estimate that G-SEC 10 year would trade between January and March at what rate? 6.20% to 6.25% because there is a likelihood of a repo cut again coming.

Kalyan Kumar : You are already in the market. You are very well aware. CPI has come down to 1.54 even in October print also it will be even less than 1%. Only thing is core has increased a little bit but core is mainly contributed by the tremendous improvement in the prices of the precious metals. Excluding gold now it is 3.3 and with this now we think there is a benign environment now going by the indications given in the various features by governor. We expect at least one rate cut going forward and 10 year yield now it touched at 6.60%. It should trade around now we believe 6.30% to 6.40% range should be the ideal range.

Sushil Choksi: Happy Diwali to Centralites and the team. Best wishes for the year to come and congratulations and best wishes. Thank you.

Kalyan Kumar: Thank you. Happy Diwali to you also. Thank you.

Sushil Choksi: Thank you sir. Thank you.

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Moderator: Thank you. The next question is from the line of Ashok Ajmera from AJ CON Global Services Limited. Please go ahead.

Ashok Ajmera: Thanks for this opportunity and I would rather say sir welcome to Kalyan Kumar ji to Central Bank of India.

Kalyan Kumar: Thank you.

Ashok Ajmera: And congratulations to the team. And sir after having come from such a large bank as Sushil also told about your Union Bank stint and then in Punjab National Bank, PNB and they are also handling the

corporate credit in a big way. My first question will be or rather you have already explained to some extent because if you look at this quarter's results you know like the operating profit has gone down tremendously. I can understand that it is on account of the not having the

proper income from the treasury operation which has been you know down from Rs. 664 crore to Rs. 186 crore in this quarter from the last quarter. But even if the indirect benefits of the treasury is there like what Mukul ji was explaining ultimately it should reflect in your operating profit and to me it should come from the core interest income and for that you should have a strong corporate book too. So, where I am coming from is your experience of the corporate and now corporate book in Central Bank has been going down substantially to almost 28%, 29% only. How long you can rely on RAM? And then the margin squeeze and other things. So first your views, you said over a period of time you would try to make it 65: 35. But can I know a little bit of nitty-gritty of it that immediately after now maybe you having taken the charge recently what are your plans to strengthen the, because in Central Bank now we are seeing last few quarters the credit is good.

Kalyan Kumar: You are not audible Ajmera ji.

Ashok Ajmera: First question is on that sir.

Kalyan Kumar: Yes, thank you. Am I audible to you?

Ashok Ajmera: Yes sir, you are audible.

Kalyan Kumar: Thank you. Very actually really very pertinent question which you have placed before me. See, I was going through this earnings call also earlier, transcript of that previous time. From there I came to know actually this was conscious call that time that corporate is not going to be the focus of this organization. Looking to that time which was there and that is why I understand the book if you analyze, the corporate book if you analyze the average credit growth actually it is not there. So that is why the income, required income, you are very right in your assessment the required income which should have come it has not added to the income stream of this quarter actually and last quarter also. Because another important area which I want to share with you the repo link based loan, the composition of loan is also not in favor of Central Bank of India approximately 60% of our advances are linked to repo link based loan. And due to those Central Bank of India
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transmission actually this benefit has been passed on to the customer but deposit side actually it was not there that you understand due to contractual agreement and all that gets re-priced and that difference has hit us hard in terms of that. But coming to your main question regarding our vision towards corporate credit I can assure you unless we play a big role in corporate credit side certainly the income flow and all these things we cannot maintain. Through RAM actually the repayment side also will be substantiated with this. That side also we are going to play because that is our strength area we will build upon strength but corporate credit, sorry to say we have to actually work sincerely build capabilities, core cadre is there very good team we are having here but we have to actually give confidence to the customer that yes timely decision, we are also a player that message we have to give to the corporate customers that yes we assure you timely decision would be there and we are in a position and our capital adequacy ratio is you know 17 point plus numbers are there so we are in a position to play in this area also significantly and rightly said by you having experience of PNP where we were handling actually more than Rs. 11,30,000 crores there is no question any agitation or all we are going to play I can assure through your question to the market that we are going to play important role in this segment also.

Ashok Ajmera:

Good sir, point well taken and sir very assuring. Sir my second one is on the, you said that we have the return of book of about Rs. 35,000 crores if I have heard rightly.

Kalyan Kumar: Yes sir.

Ashok Ajmera: So have you got the time to plan the or to revise the recovery calendar like how much from this return of accounts because this is something which comes straight to our bottom line so any thrust is being given or required to be given and what kind of ballpark figure you expect from this year -on-year may be 6%, 7%, 8% or 5% of the total return of book could you get time to look at this sir.

Kalyan Kumar: Yes, Mukul ji will add it further he will speak to you.

Mukul Dandige: Ajmera Ji Namaskar.

Ashok Ajmera: Namaskar sir.

Mukul Dandige: Rs. 35,000 crores is our total TWO book and I will give you the figures for the last four years sir. 2021-22 we were able to recover only Rs. 331.52 crores which increased to Rs. 1282.59 crores in next year that is 2022-23 it further went up to Rs. 1433.32 crores in 2023-24 and last year we could recover Rs. 1716.33 crores this half year itself we have been able to recover Rs. 893 crores. So, our internal target is that we should cross the figure of Rs. 2000 crores as far as the recovery in TWO accounts is concerned during this financial year. This quarter also we could have seen further upside but one or two big accounts are in NCLT, if some case happens or something happens so then it gets a little bit impacted but definitely we will be crossing Rs. 2000 crores for sure.

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Ashok Ajmera: And this it will be less than the slippages ?

Mukul Dandige: Yes, 100% because that is guidance , minimum recovery will be double than slippages.

Ashok Ajmera: Sir, when you are there on this can we talk something on that ECL things now which is , the norms are getting almost clearer now . So, have you started making some provision on SMA -1 and 2 and what kind of other kind buffer we have and what plans do we have to take care of this ECL provisioning when it becomes a norm ?

Mukul Dandige: Ajmera ji, see RBI has released the initial draft on 16th January' 23. So, since then it was engaging our attention but that point in time we thought okay let us go in a calibrated way, so we started making provision for stage 3 NP assets and our estimated debt that point in time was around Rs. 6600 crores to Rs. 7000 crores of total provision which would be required based on the ECL draft guidelines . So, now that we have totally provided for the stage 3 NP assets we have started providing for the other assets that is standard restructured accounts and till this September 2025 we have made a provision of Rs. 1150 crores . Our estimation based on the latest RBI guidelines is that somewhere around Rs. 3300 crores to Rs. 3500 crores total would be required additional provision out of which this Rs. 1150 crores has already been made by us . So, our intention our endeavour is that going forward in the seven quarters because it will be effective 1st April 2027 so June quarter it will take effect so going forward in the seven quarters we should end up doing the entire provision so that we can transit to the ECL on day one.

Ashok Ajmera: That is very good. My last question in this round is around aviation account. Can you give some development on that, anything happening, on the large account we had a extra collateral security also with Bank of Baroda sharing with us and it is a huge amount. Any progress in last one quarter on that account and any kind of recovery which we have taken? Though I know that, already provided 100% on that.

Mahendra Dohare : So, Ajmera ji good afternoon . As of now there is not much development but we have published two e-auctions and further we are going for another e -auctions for this account and this time we have I mean reached out

to many investors or the property builders also so we expect by

December end there would be some e -auctions results in our favour and accordingly I mean this may be resolved .

Ashok Ajmera: I mean a substantial amount may be recovered from this isn't it ?

Mahendra Dohare : Yes sir.

Ashok Ajmera: Out of that I think Rs. 2000 to Rs. 2200 crores something . This asset itself is Rs. 1200 crores or Rs. 1500 crores .

Mahendra Dohare : This asset is around Rs. 1600 crores, this asset is around 19 65 so after reduction in the third e-auction it may come around Rs. 1650 crore or what. So, when we publish the e -auction we expect

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this time this may go I mean may be taken over and we will get a substantial recovery out of this.

Ashok Ajmera: Good point well taken and Kalyan Kumar ji sir it is a request next time try to have a physical meeting when we meet December quarter for a better interaction.

Kalyan Kumar: Sure. Thank you .

Ashok Ajmera: Okay sir and Happy Diwali to you all sir .

Kalyan Kumar: Thank you and Happy Diwali happy to you too.

Moderator: Thank you . The next question is from the line of Nikhil Suresh from Kotak AMC . Please go ahead .

Nikhil Suresh: Sir what is the SMA0 , 1 and 2 for the entire loan book you have given the number for Rs. 5 crores and above

Mukul Dandige: Yes.

Nikhil Suresh: If you could give the SMA -0, 1 and 2 that was my first question

Mukul Dandige: See SMA -0 total amount as on 30th of September is Rs. 2444 crores . SMA -1 is Rs. 1377 crores and SMA -2 is Rs. 2116 crores. So, total I mean this total is SMA -0 is only 0.83% of total advances SMA -1 at 0.47% and SMA -2 at 0.72%

Nikhil Suresh: Okay sir thank you . And is the bank holding excess provisions outside of the standard asset provisions ?

Mukul Dandige : Outside standard asset in what way ?

Nikhil Suresh: I mean for the ECL buffer .

Mukul Dandige: Required as per the IRAC .

Nikhil Suresh: Okay and so no excess provisions ?

Mukul Dandige: No, you mean that any additional provision then what is required as per IRAC norms ?

Nikhil Suresh: Yes, that is right .

Mukul Dandige: See the standard restructured book wherever 5% , 10% or even 15% provision was required that we are holding over and above this Rs. 1150 crores that we have provided for standard assets as per the ECL requirement so in total around 0.94% of provision on standard assets we are holding .
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Nikhil Suresh: Okay sir. Thank you.

Moderator: Does that answer your question Mr. Nikhil . As there are no further questions from the participants I now hand the conference over to the management of Central Bank of India for closing comments . Over to you sir .

Kalyan Kumar: Yes. Thank you. Really it was good interaction and good opportunity to share vision of Central Bank of India with all of you . I assure you through this medium that in coming quarters you will see very sustained and continuous improvement in all the areas of improvement and certainly we are going to build upon in the area of strength which Central Bank of India is having and with this thank you for patient hearing and also Wish You All Happy Diwali. Thank you.

Moderator: Thank you everyone . On behalf of Central Bank of India that concludes this conference thank you for joining us and you may now disconnect your lines .

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Call: Jan 2026

■■■■■■■■■■■■■■■■■■■■ INVESTORS RELATION DIVISION Central Office

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CO:IRD:202 5:26:245 Date: 22nd January , 202 6

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 1 6th January , 202 6.

We enclosed herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on Friday, 16th January , 202 6 on Financial Results of the Bank for the Third Quarter and Nine Months ended 3 1st December, 202 5.

The copy of same is made available on the Bank's website under the following web link:

<https://www.centralbank.bank.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance Officer

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"Central Bank of India Q3 FY '26 Earnings Conference
Call"

January 16, 2026

MANAGEMENT : SHRI KALYAN KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER ,

SHRI M. V. MURALI KRISHNA – EXECUTIVE DIRECTOR ,

SHRI MAHENDRA DOHARE – EXECUTIVE DIRECTOR ,

SHRI E RATAN KUMAR – EXECUTIVE DIRECTOR ,

SHRI MUKUL DANDIGE – CHIEF FINANCIAL OFFICER ,

MODERATOR : RAJU BARNAWAL – ANTIQUE STOCK BROKING LIMITED

Central Bank of India
January 16, 2026

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Moderator : Ladies and gentlemen, good day and welcome to Central Bank of India Q3 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Raju Barnawal from Antique Stock Broking. Thank you, and over to you, sir.

Raju Barnawal : Thank you. Good afternoon, everyone, and thank you for joining post -results conference call of Central Bank of India.

Today, from the Senior Management side, we have with us Shri Kalyan Kumar – MD and CEO, Shri Murali Krishna Sir – Executive Director, Shri Mahendra Dohare – Executive Director, Shri E Ratan Kumar – Executive Director, and Mr. Mukul Dandige – Chief Financial Officer.

Now, without any further delay, I hand over the call to MD sir for his opening remarks, post which we will have a n Q&A session. Thank you, and over to you, sir.

Kalyan Kumar: Good afternoon. In brief, I am going to capture the major highlights of Q3 results, and it is quarter -on-quarter, and some places I will compare it with year -on-year basis. Total business has grown by 15.77%, and that is INR 7.74 lakh crore, within which total deposit has grown by 13.24%, that is INR 4.50 lakh crore, and CASA has grown by 8 .54%, that is INR 2.11 lakh crore. Gross advances ha s grown by 19.48%, that is INR 3,23,531 crore year -on-year basis, and RAM has grown by 17.89%, that is INR 2 ,23,000 crore. Corporate has grown by 23.18%, that is INR 1,00,365 crore. Total income also has increased by 12.62% , that is INR 10,968 crore, within which interest income has grown by 6.15%, that is INR 9,033 crore. Net profit is all -time high, 31.70% increased to INR 1,263 crore.

Gross NPA has been improved by 116 basis points, and that is 2.7 0%. Net NPA is 0.45%, that is 14 basis point improvement. ROA is above 1 and it is 1.01%. ROE is 14.47%, and CD ratio has improved by 375 basis points to 72 %.

Here, I want to say in market guidance, in business growth, deposit growth, advances growth, RAM , gross NPA, Net NPA, PCR, slippage ratio, credit cost, ROA, in 11 parts, we have achieved whatever market guidance we have given, we have achieved. Only CASA, NIM, and cost-to-income, these parts we actually could not achieve because NIM guidance was above 3%, we achieved to 2.96%, and cost -to-income guidance was given less than 56%, and it is 57.84%. But I am sure we will meet the expectations of the market and investors, and we have initiated several strategic steps to achieve these parameters also.

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And there is a reduction in yield on advances by 78 basis points year -on-year, that is 8.15 %, and cost of deposits has also decreased by 2 basis points, that is 4.75 %, and credit cost, I would like to highlight, it is 0.37 %. Slippage ratio in this quarter, it was 0.25 %. This is also one highlight. And other operating expenses have reduced by 119 basis points, and it is also one improvement which I want to highlight in front of you all.

Capital adequacy ratio is 16.13%, within which CET1 is 13.87%, and Tier 2 is 2.26%, and our leverage ratio is 5.63 %. Gross NPA in absolute terms is INR 8,726 crore, and net NPA is INR 1,414 crore, and slippage during Q3 is INR 658 crore. It is also one of the best in the previous quarter, and in 9 months, slippage is INR 1,865 crore.

Another highlight which I want to make , recovery in written -off accounts , this quarter, it is INR 1,026 crore, and in nine months, it is INR 1,919 crore. In that way, there is marked impr

ovement

in the recovery and NPA management side.

Provision coverage ratio, another signal of resilience in our balance sheet, it is 96.69%, that is including TWO accounts. Our restructured book also, total restructured book is INR 4,113 crore, standard restructured book, and SMA , Rs. 5 crore and above is 5.32% , that is INR 1,024 crore. Total SMA -0, SMA -1, and SMA -2 constitute 0.32% of our standard advances as of this quarter. In that way, in brief, I can tell you your Bank is very resilient, and adequate capital is available, and with the strategy which we have taken by integrating technological upgradation and digital capabilities, I am sure that in coming days, you will see the performance of Central Bank of

India actually as per your expectation, as per market expectation.

With this, I am open for the questions please. Thank you.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will begin with the question -and-answer session. Our first question comes from the line of Dr. Ashok Ajmera from Ajcon. Please go ahead.

Ashok Ajmera: Congratulations to Kalyan Kumar ji Saab and, of course, other EDs, the entire management team, and the staff of Central Bank of India for a very good quarter. Sir, after having come in this Bank, you may not be knowing that in earlier 3-4 quarters, I had the concern on the advances growth, credit growth, which was almost muted if you look at the first two quarters. But in this one quarter itself, the credit growth is 10.24%, which is definitely commendable and leading to the operating profit of INR 2,292 crore. So, heads off to you.

Kalyan Kumar: Advances have grown by 19.48%. Not 10%.

Ashok Ajmera: Yes, no, that is year-on-year. I am talking about nine months.

Kalyan Kumar: For 9 months.

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Ashok Ajmera: This quarter -on-quarter, it is 10.24%.

Kalyan Kumar: Yes.

Ashok Ajmera: Advances. And generally, I compare for the current financial year, and the credit has gone up to 11.52% in this nine-month period. But looking at this quarter of 10.24% growth from INR 2,93,000 crore to INR 3,23,000 crore, shall we take it, sir, that the credit growth for the whole year, whole of the financial year FY '26 will be robust and beyond the advance credit target of 15%-16% given earlier? This is my first thing.

And coupled with that, the deposit growth was muted in this quarter, and the overall deposit growth also is only for nine months is 9.18%. It means to get even the 13% target deposit, you will have to generate the deposit of almost about INR 16,000 crore in the remaining this one quarter. So these are the two things on which if you can throw a little light on that so that I can take it further questions, sir.

Kalyan Kumar: Ajmera ji, thank you for your encouraging words. And I want to assure you in credit side also, these are not just numbers. For this number and growth which you are observing, it is a well laid down strategy, and where activation of our every business units is a part, mobilizing both liability side and asset side. In that direction, first, I will capture credit side question, asset side question, which you have asked.

Earlier, in previous quarter, you must have observed our total loan book, 72% were belonging to RAM side, and 28% was corporate side, and growth rightly as said by you. So, what we did for RAM segment, Retail Agriculture and MSME segment, for retail, agri, MSME, we started outreach program. I joined on 30th September, and in November first week, we started outreach program at more than 100 plus places. We got very good business leads also, and those leads converted into, that actually helped us a lot in achieving these numbers which you are observing now. And it is a continuous process.

Again, in the month of February, already these programs are laid out, dates have been declared, and people

are working on the ground. In this process, what happens? Business from field, which is a very challenging task for all the public sector banks, we are able to activate them, and their contribution towards building quality loan book is ensured. This is one aspect.

Towards corporate lending side also, we started conducting credit approval committee meeting every week, and MC meeting, Board committee meeting also every fortnight we are organizing. We are getting good proposals in NBG side and also in sanction side, and good amount of sanction actually we have done.

I will tell you, in the last nine months, Central Bank of India head office level delegation committees have sanctioned INR 1,17,000 + crore. And that is actually a lot of things are still under disbursement. I can assure you that in the remaining weeks also, we will take decisions, Central Bank of India

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and looking to the undisbursed part of already sanctioned proposal, I am sure that the target of INR 1,13,000 crore plus credit book, we are going to achieve that. We are confident about it.

Another regarding your question towards deposit mobilization and resources side, there also Central Bank of India is having actually, I will say that we didn't go for any CD or also did not give any higher interest rate to mobilize resources. I am happy to share our 65% branches are having more than 50% CASA ratio. And now also, 47% is one of the highest CASA numbers. In term deposit side also, our growth was more than 18%. The people have trust in this brand of Central Bank of India, and our presence across the country towards northern side, eastern side,

northeastern side, and central side. We have a good number of opportunity for CASA. We have also taken steps for actually segment-wise product design, where a lot of bundling of insurance products, life insurance, term insurance, accidental insurance, and several products we have given and make it one of the best products available in the market. And with our marketing people and branch people, we have started a campaign which is named as "Aagaz" and we are expecting INR 20,000 crore through this campaign in CASA side.

And with the available structure, technological support, because you know we are having very good mobile app, CenteeZ app, which provides very good experience, banking experience to our customers. In that way, I am sure that resources side also, we don't have any big challenge in mobilizing the required resources to meet our aspiration towards credit growth.

Ashok Ajmera: My next question is, sir, on the profitability front. You definitely perform well on the operating front, but because of a little higher provisioning in this quarter, our net profit is just INR 50 crore above the last quarter's profit of INR 1,213 crore. And what I see is that the provisions have gone up mainly on the, one is on the restructured book to INR 346 crore as against INR 113 crore. And also on the standard asset book also, the provision has gone up substantially from INR 30 crore to INR 150 crore. This is maybe one of the reasons. So, what is the reason for, I mean, making the higher provision, and whether are we going to have the need for the same in the next quarter also? Because ultimately, the bottom line is not reflecting what the operating profit is. And coupled with that, there is also an observation, sir, that our treasury has performed well in this quarter, generating treasury income of INR 302 crore. And at the same time, recovery from the written-off book is also very hand some, INR 1,109 crore. And so overall, other income has increased, which has offset some of these provisions. But whether we will continue to have the need for providing so high in the restructured book and standard asset also, we are building more provision, and whether it is because of creating some buffers or what is the reason for

that?

Kalyan Kumar: Ajmera ji, see, INR 375 crore we have provided for ECL.

Ashok Ajmera: Yes, that is what only I wanted to know. Yes.

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Kalyan Kumar: Yes, majorly it's on that. Second is, for the first time if DCCO extension happens because of that there will be a provision. So there, we have a provision of around INR 50 crores. So, these are the two major reasons. But one is as per regulatory guidelines. One is, we have proactively provided INR 375 crores for the proposed ECL transition. So, these are the two reasons. But I mean, provision-wise, because the slippage ratio has been contained, that is why the credit cost also has been contained. And based on whatever is the impending requirement that we foresee, we are doing proactive provisioning.

Ashok Ajmera: Sir, one thing on the employee cost, INR 160 crore is more than the last quarter. Have you considered the impact of the revised Labor Code?

Kalyan Kumar: Ajmera ji, there also, we have proactively provided INR 150 crore additional.

Ashok Ajmera: That is Labor Code that the higher gratuity burden has ...

Kalyan Kumar: No, no. We have a liaison with Labor Code. Proactively, we have done this provision of additional INR 150 crore.

Ashok Ajmera: So the impact of the new Labor Code on the gratuity is yet to come, the effect and the calculations.

Kalyan Kumar: There will no impact on our personnel because as they are saying they are going to reduce it five years to one year, we do not have that kind of structure in the Bank. Beyond 90 days, we are not submitting any casual labor in other. And we have direct contractual agencies; we do not engage any casual labors directly. So we do not foresee any sizable or any impact at all.

Ashok Ajmera: Sir, the last one in this round is, sir, our government holding now also is 89%.

Moderator: I am really sorry to interrupt you, but please rejoin the queue for questions. We will go to the next question. Our next question comes from the line of Nishita from Sapphire Capital. Please go ahead.

Nishita: So, I just had three questions. You mentioned that we did INR 1,100 crore of recovery in Q3 FY '26. Can you give a number of how much recovery we can do in Q4 of FY '26?

Kalyan Kumar: In Q4, madam, I am having, I will tell you. In Q4, expected recovery and upgradation and recovery in technical write-off, it is INR 904 crore. Total recovery and upgradation expected in Q4 is INR 904 crore.

Nishita: And you also mentioned that in CASA, NIM and cost-to-income, we have not achieved our stated guidance. So, do you foresee us achieving our stated guidance in Q4 and in overall FY '26 also?

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Kalyan Kumar: It may take time. Actually, I can't assure by March '26 because there is pressure on margin due to rate cut, and though we are diversifying revenue sources and cost settlement, we have taken several steps, but it may another 2 years to 3 years to take it below 50%.

Mukul: Madam, see, we are at 57.8% right now. And as sir is saying, because of the pressure on margin, so Q1, it will have to be a gradual process through which we will be able to come down. So , maybe 50 to 100 b ps every year. Like that, we will be able to bring down the cost to income ratio by 50%.

Kalyan Kumar: Or less than 50 %, it will take three years.

Mukul: Minimum three years it will take .

Kalyan Kumar: Less than 50 %, three years.

Nishita: And just last, it is just a clarification. You mentioned that our credit book target is of INR 1,30,000 crore?

Kalyan Kumar: INR 1 ,13,000 crore .

Nishita: INR 1 ,13,000 crore That is the target, right?

Kalyan Kumar: Corporate book. INR 1 ,25,000 crore , corporate .

Nishita: For corporate. So, what is the overall target book for overall target credit book?

Kalyan Kumar: Total credit target INR 3 ,4

0,000 crore.

Nishita: INR 3 ,55,000 crore.

Kalyan Kumar: INR 3 ,40,000 crore.

Moderator: Our next question comes from the line of Ishank Gupta from Choice Institutional Equities. Please go ahead.

Ishank Gupta: So, my first question would be that going by your sequential growth in business, the corporate loan book has witnessed a substantial growth of 20% Q -on-Q. So , was this abnormal growth led by any particular end sector, or it was broad -based?

Kalyan Kumar: It is broad -based actually. Because you see, in corporate side, year-on-year growth is 23%. And we have given sanction from head office in this year from different committees. It is INR 1,17,000 crore. And different committees like MC, CAC committee headed by MD, ED, and CGM committee have approved. And from zonal level also, regional office level also, Central Bank of India
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committees have contributed towards this corporate credit business. It is broad -based. It is not limited to any few players or any entities.

Ishank Gupta: Yes. So the reason for asking this question was because, going by the general market, many of the sectors are not doing good, except auto and some of the consumer discretionary players. So, for that, any particular sector, because the private CAPEX is not growing that much, and at the time, the government finances are under stress. Similarly, the government CAPEX is also weak.

Kalyan Kumar: Demand for credit side, majorly the sectors where we entered, this is renewable energy sector, LRD, and also opportunity towards infrastructure, road side also, and data center also. These are the emerging areas where we participated . And in corporate credit side, we actually entered into those areas.

Ishank Gupta: My second question would be, when comparing our RAM advances growth with the industry growth rate, it is quite observant that our Retail and Agriculture segment is outperforming, while SME segment is lagging behind. So, could you explain the drivers for each of these observations?

Kalyan Kumar: Yes, Retail, we have grown by 20% -21%, looking to the opportunity available in our Indian economy. And agriculture also, we have grown by 15%. And MSME, we have grown by 16%.

So, as rightly said by you that MSME, we have actually whatever we are having aspiring to grow, it didn't match that. But we have initiated steps that I would like to share with you. We have identified 225 MSME intensive branches in the active clusters, and we have designed cluster -specific products.

And digital side also, a lot of digital journeys for financing small value customers also, that is also there. So , with this, I am sure, and outreach program also scheduled in the first week of February, we are going to conduct MSME outreach program at 90 + centers in the country. And with all these enablement, I am sure that our growth in MSME sector would be better in this Quarter 4.

Ishank Gupta: Also, we have one of the best CASA franchise among the PSU banks. But the time when the delta between the savings deposit rate and the fresh term deposit rate is reducing, so what I believe is we should be able to grow our savings book more strongly. But the CASA growth has reduced this quarter. So , what could be the reason for a weaker growth?

Kalyan Kumar: CASA, we have grown by 8.45%. And what I understand, CASA ratio also we have improved from previous quarter. 47.13% is there. Previous quarter, it was 46.89%. So , there , I believe. And also, I will tell you, our out of 4,567 branches, approximately 3,000 branches are maintaining CASA above 50%. And northern side, central side, eastern side, northeastern side,

CASA is ranging from 52% to 55%. Only southern side and the western side, our CASA ratio is 38%.

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So, to build upon our these capabilities, we have launched "Aagaz" campaign, where the products

which we have designed for all the different segments of the customers, like pensioners, defense personnel, police personnel, housewives, RERA -specific current accounts, number of products we have launched now. And with this campaign, we are expecting good mobilization under CASA segment. This is our strong area, and we are building upon our strong area. Technology is also playing an important role. Every branch and marketing officers are having tab. Through tab, with pleasant onboarding experience, we are giving to our customers. And through mobile app, that is also a super app, our Cent eeZ mobile app. Through that also, we are giving them superior banking experience, providing them almost all the banking services on click basis. In this, we are sure that we will not only maintain but improve our CASA ratio in Q4.

Ishank Gupta: And so my last question would be, with repricing of older term deposits is expected to start from the current quarter as the first rate cut happened in March 2025. So, what is the range do you foresee at which the cost of deposits should settle around in upcoming 12 months?

Mukul Dandige : See, the rate cut was announced from February 2025, and in phases, 125 bps of rate cuts have been announced by the Reserve Bank, but as you know, the transmission in repo -based loans will happen instantly, whereas the time deposit rates will take some lag effect. So, we expect that by June 2026, the transmission should happen because now our maturity on an average monthly basis is somewhere around INR 18,000 crores to INR 19,000 crores of time deposits. So, we expect that by June, when the rate transmission is complete, our cost of deposit should further come down to around 4.65% -4.70% kind of a range, because there will be another driving factor. Through this CASA campaign, our CASA growth also will be there. So, that will be an additional lever through which we will be able to bring down our cost of deposits.

Ishank Gupta: So, considering both the drivers, can it come down below 4.5%? Currently, it resides around 4.85%. So, let's say, 4.7% is the rate we are penciling in with the repricing.

Kalyan Kumar: It can be in the range of 4.5% -4.55%.

Moderator: Our next question comes from the line of Varun from Share India Securities.

Varun: Sir, I just wanted to understand your overall provisioning. You said that INR 375 crores is the provision that we have done for ECL. So, what was the INR 150 crores proactively that the company has provided for? And also the overall year credit cost, no doubt, it is below 1% and below the guided range. But sequentially, it has gone up from 0.22% to 0.38%. So, do you expect it to come back to the 0.22%? Or will it be as this thing itself? If you can throw some light on this?

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Kalyan Kumar: Your voice was not clear, so I could hear the first part. INR 375 crores is ECL provision. INR 150 crores proactively we have provided for the terminal dues for the employees that we have done for this quarter. What is the other thing you are asking?

Varun: On overall credit cost, on a sequential basis, it is a little bit elevated from 0.22% to 0.38%. So, what could be the reason for this additional provision? And at what level do you expect them to be? Because I see that you have guided for 0.1%, but on sequential basis, it has just gone a little bit up.

Kalyan Kumar: So, credit cost, first is our guidance for slippage ratio is less than 0.35% every quarter. Now, what happens if I have to keep my net NPA at the same level, even though as per IRAC norms, I am required to make a provision of 15% only, but to keep the net NPA at the same level, I will have to provide for almost 100%. Because then only my net NPA would be at the same level or slightly lesser because of the higher income. So, depending upon the slippages, the credit cost may vary, but

it is within the range of the market guidance that we have given.

Varun: Sir, you have said that the cost of deposit, the repricing, and the impact would be in June 2026. Just wanted to have a little bit of knowledge on your net interest margin because 3% was the guided for FY '26, you are already at 2.96%, and some impact of the overall rate cut would happen in Q4 itself. So, do you expect the NIM to go above 3%? Or would it be below 3% or somewhere near that?

Kalyan Kumar: We are going to maintain 3% guidance which we have given to the market. And for that, to maintain that, you know rate hit, 125 basis points was cut. And as we are having more than 60%

loan book linked with repo immediate this was transferred to the customer. But the deposit repricing, rightly said by you, comes with lag. And by Q1 next year, most of those deposits will be repriced. But even after that, pressure on margin is there.

But for maintaining that NIM, we have already diversified, as I told you in my earlier answer. CASA mobilization, we have started very strategically. And also RAM advances, where we are having, particularly MSME and agriculture, we are having good margin. So, we are focusing on those by actually opening agri-intensive and MSME-intensive branches in their clusters, focusing upon high-yielding agriculture infrastructure finance, also godown construction side.

And the opportunity available in this segment, where things are actually really emerging, we are entering into those segments where good margins we are expecting because on consistent basis, on weekly basis, we are conducting credit approval committees meeting also. Disbursements are also happening. Average credit part plays a very important role towards actually interest management and income management. So, with all these diversification, we are sure that our margins would be maintained, and NIM will be successfully maintained at least up to 3%.

Varun: Sir, one last thing, just wanted to understand because you highlighted that the overall MSME growth has not been as much as you envisaged to. But what we are hearing is during the Q3,

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towards the fag end, in the month of December, the overall demand in the MSME has seen improvement. Has that been the case? If you can just throw some light on the overall demand conditions for MSME growth?

Mukul Dandige: I understand you want to know that whether the demand has gone up in Q3 under MSME, right?

Varun: Yes, sir. And last, and towards Q3, I mean, that will give you confidence that in Q4 MSME would be good?

Mukul Dandige: So, basically, MSME is not the kind of sector where there is a corporate type seasonal demand will come. MSME is only how best we are able to finance, how best we are able to find out. So, as sir has pointed out, that with the outreach programs that we had started in start of Q3, now in Q4 also will continue. And along with that, improved product offerings are there. So, with that, we definitely expect that the Q4 growth would be better.

Kalyan Kumar: We are actually, I will supplement what Mukul ji has told. We have identified 225 MSME intensive branches. And those branches are in the clusters, active clusters of the different activities. And we have also designed specific products for them, which is very, very competitive and supportive.

Apart from that, advisory services like handholding, providing training to the entrepreneurs, and also our own people who are posted in those branches, also we are providing them specialized training that is going on actually. In this quarter, we will get benefit of all these initiatives which we have taken in MSME financing. In that way, I can tell you that current quarter, Q4 actually will have good performance under MSME.

Varun: Thank you for answering my question, sir.

Kalyan Kumar: Next question, please.

Moderator:

Next question comes from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Two questions to begin with. Firstly, your borrowings have gone up quite sharply Q-o-Q. What is the reason for that? And what is the cost of these incremental borrowings?

Kalyan Kumar: See, even though securities are liquid securities in which we have invested, but since they are carrying better coupon, so what we are doing is we are borrowing against those securities at around 5.15 to 5.20%. And those funds we are utilizing towards funding. And that is why you see our CD ratio has gone up to 72%.

Ashlesh Sonje: And there was a fairly large recovery from TWO accounts in this quarter. Was there any lumpy account here?

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Kalyan Kumar: Yes. So, the major recovery has happened in some accounts, the highest being in Go Airlines with INR 515 crores. Thereafter, we have received INR 90.79 crores in one account called ALM Industries, INR 80.37 crores in ALM Food Products, INR 52.32 crores in AI Nafees. Like that, we have many accounts. And I can tell you that recovery in accounts above INR 1 crore is INR 890.56 crores. And the remaining is in the below INR 1 crore category.

Mukul: INR 130 crore is below.

Kalyan Kumar: Yes.

Mukul: Total is INR 1,021 crore.

Ashlesh Sonje: Sir, just a couple more questions. You gave some number that roughly about INR 18,000 crore - INR 19,000 crore of term deposits get repriced. You said every quarter or every month?

Kalyan Kumar: Month ly. Because we have a INR 2 ,33,000 crore kind of time deposit book.

Ashlesh Sonje: And lastly, can you share guidance on the yield on advances and cost of deposits in the next few quarters?

Kalyan Kumar: Current yield on advances is 8.15%. And hopefully , we will maintain this 8.15% in Q4. And another, what was the cost?

Mukul Dandige : Cost should come down slightly.

Kalyan Kumar: Cost income will come down. It would come down.

Moderator: Our next question comes from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulations to Team Central Bank and management for the excellent performance and lots of guidance in the press as well as in the presentation and Q&A. Sir, my first question is, in the interview and the commentary right now, you said your growth path is on a very positive track.

You were expecting 72% CD ratio at March '26, whereas you have already reached '26 numbers in this quarter. You have already indicated the loan growth number based on what you are expecting to have sanctioned, and what is the kind of disbursement likely to happen?

Second thing, can you indicate what kind of ROE, NIM as already guided , you will achieve 3%, ROE, ROA? And is your balance in RAM, which you have indicated again in interviews, would be much better compared to where we stand today in terms of corporate book is growing and RAM would stabilize?

Kalyan Kumar: ROE is 14.47% , up by 151 basis points, and certainly it will increase, I am sure, in this quarter also. And ROA we will maintain above 1% as we have given guidance to the market. It is going

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to be above 1%. Towards RAM side, it is our priority, and Central Bank of India is having strength in this segment. Earlier also, you see based upon learnings from what we actually learned during PCA period and after that corporate lending, we are very actually, I will say that it is very selective, such as AAA rated and due to lesser risk appetite.

So, RAM side, actually, really the way we have identified the potential centers, branches, active clusters, dedicated products, and technology integrating with our business model. I am sure the guidance which we have given to RAM segment, 65:35 ratio, $\pm 5\%$, we have achieved this quarter also. In next quarter, I

am confident that it would be maintained. Anything else?

Sushil Choksey: Sir, your commentary is very positive ...

Kalyan Kumar: CD ratio also to answer your question , current quarter, we have reached to 72%. Certainly, as we aspire to improve our advances and deposit, so target advances were INR 3 ,40,000 crore and deposit INR 460,000 crore. I expect that CD ratio would be in the range of 73% -73.5%. We will reach easily to that level.

Sushil Choksey: Basically, speak less and achieve more. That is the mantra which you are guiding to Central Bank. That is what I figured out from your interviews and your commentary right now. I am happy to hear that. Sir, PSU Bank is a flavor of the season right now in the capital market when times are challenging led by the world. You have excellent franchise brand image, the 115 years put into the Bank's image. Customer base and CASA is well supportive.

You now have insurance arm. You are likely to spend a huge amount on technology if that number can be spelled out. What we will do different from the market and in our brand image to make our Bank bigger and stronger, including your INR 10 lakh crore aspiration of '28, which seems very feasible and achievable based on the numbers what you have spoken for ?

Kalyan Kumar: See, really, we are blessed that we are 114 years old public sector Bank and having very rich legacy and rich culture. We are proud of that. And also, we are having 34,000 + employees. And average age of employees is 38 years. And that makes a very good combination of senior experienced person and the young persons. It makes a very good combination. And aspirations which you are actually expecting from Central Bank of India regarding in terms of visibility and brand image, we have taken several steps in that direction.

Digital media also, social media handles, channels, and also several products, the digital products adoption level are increasing. For that purpose also, campaign we have started. Digital marketing officer, one new concept we have identified. And with the thorough branding, all the nodal officer at branches, regional office, zonal office, and head office level, we are integrating them towards a structured way so that we can showcase our potential.

While giving interview, people still outside people understand that Central Bank of India is a traditional public sector Bank . But once we discuss with them the features and capability of Central Bank of India

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technology, which we have built upon, then they understand. That is need. I understand there is

a need to highlight all these things and market it properly.

A very structured and strategic way, we are planning to actually improve visibility of our Bank. And in that direction, going to media, giving interviews, meeting with the investors, these are the part of our strategy. And also, we are having lead Bank responsibilities at 53 places, 53 districts.

We have also identified them as potential brand ambassador of Central Bank of India. We are organizing their two to three days training program where we are going to groom them for a better brand ambassador for Central Bank of India. In that way, we are leveraging all the opportunities and scope available in our organization to showcase our strength to the Indian banking ecosystem.

Sushil Choksey: Sir, second thing, you have spoken about core strengths of not only management, employees, and the technology which you are adopting. The consumer experience is likely to get better and the Bank gets support.

Second thing I make out from your statement in the press articles as well as in your commentary that the private sector CAPEX is on a path of recovery compared to public sector. Can I take your replies as that our lending which is happening today is more toward private sector compared to public sector entities?

Kalyan Kumar: See, we are having

a very good customer base and our own clientele banking with us for 5th generation, 4th generation. Likewise, we are meeting. And we are not a large player in corporate sector looking to the potential players like larger Bank and all that. In that way, I don't find any challenge because our base size is very low.

The growth which we aspire, looking to our potential available in the Indian market, we are getting ample scope and ample proposals for actually financing and building our own book in those segments. There is absolutely no challenge we are finding or competing with private sector and all because we are having our own client base and we are getting good proposal from those channels.

Sushil Choksey: If I conclude my question, sir, we are only climbing up on all aspects, and we have hit the bottom in respect of margins, profits, and we look up only quarter-on-quarter. Am I to assume that way would be a better way to take it?

Kalyan Kumar: Yes. Bottom line will be maintained, as I assured you, because our composition of loan book, you are aware, it is more than 60% loan book is repo-linked based. So, we are more impacted. You must have seen in previous quarter there was a reduction of 59 basis points. It is the steepest actually impact.

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But we have initiated several steps to maintain by launching CASA campaign, by designing products, and also designing the structure. Similarly, in RAM, as I discussed with you, and also diversifying different resources, cost curtailment. With all these strategies, I can assure market that our profitability and all these things, you will see a marked improvement in coming quarter and also coming year.

Sushil Choksey: I will just squeeze in one last question. Central Bank Future Generali is very visible. The Central Bank Generali insurance arm, very visible in media as well as other places. Has it started rewarding where our investment is concerned?

Kalyan Kumar: See, such kind of business actually takes time to achieve breakeven and all. It is just first year and we have got INR 42 crore from insurance.

But a lot of hope is there because Generali being a global company, having expertise in products and also delivery side and good services side, and Central Bank of India having countrywide presence and having good trust of public and customers in our franchisee, and we are under obligation to provide all the banking services and requirement of customers under one roof. In that way, this association is going to be complementary, and coming years will certainly get good benefit out of this association.

Sushil Choksey: Congratulations. Best wishes to Central Bank team for the year to come.

Moderator: Our next question comes from the line of Tanya Kothary from AUM Capital Private Limited. Please go ahead.

Tanya Kothary: Congratulations to the management team on delivering another strong quarter with over 35.31% Y-o-Y growth in consolidated profits, and further improvement is seen in asset quality. So, my first question is going with 19.5% credit growth, and the capital adequacy ratio is now trading towards 16%, so at what growth rate do we start consuming capital meaningfully? And should we expect any equity dilution for raising Tier 1 or Tier 2 capital in FY '26 and '27?

Kalyan Kumar: To meet our target, desired target in Q4, this capital is enough, sufficient to meet this growth target. Whatever we are aspiring, INR 3,40,000 crore is the credit advances target. Easily we will achieve. There is no need of going to market for either for Tier 1 capital.

Tanya Kothary: Sir, ROE is now around 1%, and you have given a target of 1%. Is this the peak zone for a PSU

Bank like yours ? Or what are the three levers to sustain or improve ROE above 1% once recovery and credit costs stay in place?

Kalyan Kumar: ROE, we have given guidance , it

would be above 1%. And certainly, the profitability side, which we are focusing upon this time, also you have seen INR 1,263 crore was the profit, and net profit of the full year is going to be INR 4,000 + crore plus. I am sure that with this RO E, we will maintain 1 or above 1, which guidance we have given.

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As I have told, answering different questions that CASA is our priority, RAM is our priority, and technology adoption is our priority. Cost reduction is priority. With all these initiatives and also Future, sorry, Generali Insurance you have seen, from all these segments, we have scope to get a good return , whatever we have invested in all these initiatives and all . I am sure we will be able to maintain ROE 1% or above 1%.

Tanya Kothary: Then one general question. There has been discussion in the market abo ut potentially raising the foreign investment cap in PSU Bank from current 20%. But government has clarified it is not pursuing any increase in this time. So , we have seen around more than \$6.5 billion inflow in private banks by the foreign institutions.

So, my next question is, how Central Bank is going to attract long -term investment from the foreign capital or institutions under the current ownership? Are we seeing any opening of a further increase in this cap to 20% in PSU Bank ?

Kalyan Kumar: See, as I told you, in current quarter, our capital is enough for growth, and all these things depends upon several approvals and several things. I will not like to comment on this aspect.

Moderator: Our next question comes from the line of Ashlesh Sonje from Kota k Securities. Please go ahead.

Ashlesh Sonje: Two questions, sir. Can you share what is the blended yield on your corporate loan book? That is one. And secondly, you indicated earlier in the call that you expect to maintain your yield on advances around the current level. What gives you the hope that you can maintain it? Because the repo rate has been cut in December, so the EBLR book will get repriced, as in the impact will be felt in the next quarter. What gives you the hope that you can maintain it?

Kalyan Kumar: This blended yield on corporate loan, I will give you offline. As far as the yield on advances and our belief that we will be able to maintain, two things. One is because the CD ratio has improved .

So, definitely that should help us because we were at 66% when rate cut was announced, and from 66%, we have now graduated to 72%. Going forward, we expect to be around 73% -74%.

So, that in itself would help us to ensure that our yield on advances remains more or less in this same line.

Moderator: Our next question comes from the line of Debansu Gupta from Eureka Stock & Share Broking Services Ltd. Please go ahead.

Debansu Gupta: My question is, I have noticed that Gross NPA ratio in Agri and MSME sector remains elevated. So, could you elaborate what is causing the stress within th ese sector s?

Kalyan Kumar: See, Agri and MSME, both NPA is approximately 5%. And still, if I compare with other players, it is actually not that much elevated side. Looking to the smaller ticket size and number of impact by several factors playing in the catchment area, this is the stress . But no any, I will say, the significant impact towards poor asset quality or anything I can tell you in this segment.

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In agriculture, KCC is a major contributor towards slippage. And in MSME segment, government -sponsored scheme like MUDRA and also some other ticket size like general MSME scheme, we found some increased slippages. We have corrected it through policy modification and all.

In that way, we are conscious of this fact. And when we do retail business, certainly there are more chances of slip pages, particularly in this unorganized sector. If I say agriculture , MSME, there are su

ch kind of slippages happen. But Central Bank of India has initiated integrated call center. Feet -on-street things are there with technology propensity recovery models are in place. And with all these bot is there through which call centers are integrated. With all these integrated approach, we are maintaining good asset quality.

And also one thing I will like to mention here, what we have implemented now, improvement in greater underwriting quality. We have implemented one technological solution. Any proposal of retail , agriculture , MSME will first filter through this technology, GoNoGo app. And then only this will go to the loan origination system for processing. That initial level, selection level itself, we are screening out any potential account which can become bad.

What I can assure you, that with all these technological intervention at entry level, credit underwriting level, and also monitoring level, end -to-end, we have initiated several steps to keep our assets healthy, and we can handle large number of assets at big scale also with all these technological capabilities enabled with human also in the loop. In that way, there is no such challenge to our asset quality in agriculture and MSME in coming quarters.

Debansu Gupta: One follow-up question on CD ratio. It has improved to around 72%. And given that there is tight systemic liquidity conditions and there are pressure on raising deposits, how much additional headroom does management see to increase the CD ratio without raising the marginal cost of funds? And how is the Bank balancing growth with liability side sustainability?

Kalyan Kumar: See, the target which we have fixed for this quarter, March Q4 quarter, our CD ratio would be approximately 73% to 74%. And we don't find any major challenge towards resources side because you know our CD ratio is still 72%. Still, scope is there. And liquidity coverage ratio, if you can see, it is 203% also. There are also sufficient leverage we are having.

And the initiatives which we have taken towards CASA mobilization campaign, Aagaz, which I already talked about, with the structured approach towards product, process and technology and grooming people for taking it forward, so resources is not going to be a challenge. And the credit side, already I have answered your question that good proposals we are getting. Our CD ratio will certainly improve in Q4, and approximately it would be 73% to 74%.

Debansu Gupta: And last question. As you mentioned that we have made INR 375 crore ECL provisioning in this quarter, so could you share what is the expected provision which we could see in the next few quarters?

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Kalyan Kumar: See, ECL estimate. You know, we are having one of the highest provision coverage ratio, 96.89%, you are seeing. So, in that way, the asset quality is good, credit underwriting is good, provision already done, you see, net NPA only INR 1,414 crore. With that base, we are prepared to enter into the ECL. And already provision till now we have done INR 1,525 crore, which includes INR 375 crore, which we did in this quarter. And total estimation is INR 4,200 crore. INR 2,675 crore more approximately we have to make provision for achieving this target. By 1st April 2027, I am sure with the profitability we are going to make very easily we will migrate to ECL. We will not have much challenge in achieving this target.

Moderator: Thank you. As there are no further questions from the participant, I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Kalyan Kumar: Thank you. And really, it was good interaction. And again, as concluding remark, I want to assure market the guidance which we have given to the market in this quarter. We will achieve that. And the kind of initiative not only towards business numbers,

but efficiency parameters are

also our priority. In that side, customer service excellence is the Mool Mantra in that direction, providing handholding, training to our frontline officers is also one priority.

In technology side also, several things are there. We are working towards improving adoption of these technological capabilities which our Bank has created. With that, we are having 34,000 + Centralites, and we are handholding them. And credit-deposit ratio is a big challenge for us.

1,000 credit officers are being prepared so that they are being groomed and trained.

Similarly, 90 days focused credit training program we are doing, and we are preparing our people, as I told, LDMs and also different set of officers we are providing them, handholding them, good training so that they can take this organization forward in all the terms in technology, process simplification, all these things we are doing.

So with this, I can assure you the guidance which we have given to the market, we are sure and confident that we will achieve that. Thanks for your support. And also, I am very happy that you gave us the opportunity to place our strategy and numbers in front of you. Thank you. All the best.

Moderator: Thank you so much, sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: May 2026

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CO:IRD:202 6:27:47 Date: 08.05.2026

Dear Sir/Madam,

Sub: Transcript of Bank's Conference/Earnings call held on 30th April, 2026.

We enclose herewith the transcript of Conference/Earnings call hosted by Bank with the Analysts/Institutional Investors on Thursday , 30th April, 2026 on Financial Results of the Bank for the Fourth Quarter and Financial Year ended 31st March, 2026.

The copy of same will be made available on the Bank's website under the following web link:

<https://www.centralbank.bank.in/en/investor-relations>

This information is furnished in terms of Regulation 46(2) and Regulation 30 of the SEBI (LODR) Regulations, 2015.

Please take the above on your record.

Thanking you.

Yours faithfully,

For Central Bank of India

CHANDRAKANT BHAGWAT

Company Secretary & Compliance Officer

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"Central Bank of India

Q4 FY '26 Earnings Conference Call"

April 30, 2026

MANAGEMENT : MR. KALYAN KUMAR – MANAGING DIRECTOR AND
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Moderator: Ladies and gentlemen, good day, and welcome to the Central Bank of India Q4 FY '26 Conference Call hosted by Systematix Shares and Stock Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Rajpurohit from Systematix. Thank you, and over to you, sir.

Siddharth Rajpurohit: Thank you, Iqra. Good evening, everyone, and welcome to Central Bank of India's Q4 FY '26 Conference Call. From the management today, we have Shri Kalyan Kumar, MD and CEO; Shri Mahendra Dohare, ED; Shri E. Ratan Kumar, ED; and Shri Mukul Dandige, CFO. We are very grateful to the management for giving us this opportunity to host their post results conference call.

I now hand over the call to the management for their opening remarks, post which we will open the floor for Q&A session. Thank you. Over to you, sir.

Kalyan Kumar: Thanks a lot. Good evening, all the investors connected here and my colleagues present in this boardroom. So first of all, please accept my heartiest congratulations for the financial results of Central Bank of India as of financial year '26. In my initial remarks, I want to mention that total business of Central Bank of India grew by 15.60% and reached to INR812,439 crores. And deposits also increased by 13.38% to INR467,923 crores.

CAS A deposit also stands at 47.30% of total deposit. Major highlight, our saving bank has grown in double digit, 10.05% and crossed INR2 lakh crores first time. Gross advances increased by 18.76% to INR344,516 crores. CD ratio has improved to 73.80%. Gross NPA, it stood at 2.67% with an improvement of 51 basis points year-on-year. Net NPA stood at 0.49% with an improvement of 6 basis points.

Provision coverage ratio is also at 96%. Operating profit for this financial year increased by 4.37% to INR8,479 crores. Net profit for the financial year has increased by 15.43% to INR4369 crores and net interest margin stood at 3.07%, with a marginal decline.

And here, I want to mention as per the New Finance Bill, bank has taken a onetime impact of INR632 crores due to recognition of deferred tax asset at the rate of 25% as against 35%. And that's why major ratio got impacted due to above cited action. It is again at the cost of repetition, it is onetime impact.

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Net profit has been impacted and ROA also got down to 0.56% from 0.91% for the quarter 4 as of previous year. Return on equity is also down to 8.43% from 13.40% for Q4 of previous financial year. EPS down to 0.8% from 1.19% for Q4 of previous financial year. Similarly, there is improvement in ROA on year-on-year basis despite taking a hit of onetime impact of INR632 crores.

ROA improved to 0.89% from 0.86%. Return on equity also improved to 13% from 12.48%. Cost income ratio, it is at 58.61%. Slippage ratio, we were able to contain it at 1.16%. There is an improvement of 29 basis points and CRAR improved to 17.91% out of which Tier 1 is 15.61%.

If we talk about quarter-to-quarter, net profit decreased to INR724 crores as against year-on-year basis, INR1,034 crores. And this is also due to onetime impact of INR632 crores, as I discussed earlier. Operating profit also has shown a

growth of 4.64% on a year-on-year basis to

INR2,096 crores and net interest income grew by 17.74% on a year-on-year basis to INR4,002 crores in Q4 financial year '26. Total income for Q4 financial year '26 improved by 4.63% from INR10,333 crores for Q4 financial year '25 to INR10,811 crores for Q4 financial year '26.

For profitability for year ended March '26, net profit increased by 15.43% to INR4,369 crores on a year-on-year basis. Operating profit has shown a growth of 4.37% to INR8,479 crores on a year-on-year basis. Net interest income grew by 1.97% to INR14,171 crores on a year-on-year basis as against INR13,897 crores for previous year. ROA improved to 0.89% from 0.86%. ROE improved to 13% and regarding asset quality also, if I can tell you, before that, I would like to highlight business per employee.

It has improved to INR23.89 crores as against INR21.31 crores. There is improvement here also. And our main growth engine, retail agriculture and MSME grew by 21%. The individual sector-wise growth, retail has grown by 25.67%, and Central Bank of India has crossed INR1 lakh crore mark that is INR103,533 crores. And agriculture has grown by 17.60%, that is INR61,687 crores and MSME has grown by 17.06%, that is INR69,351 crores.

Similarly, there is improvement of 51 basis points in gross NPA, and we have closed at 2.67% as of 31st March '26. Net NPA, there is improvement of 6 basis points from previous year to 0.49%. PCR also stood at approximately 96%. CRAR, as I discussed, it is 17.91%. And worth to mention, Tier 1 is 15.61% and in that way, we have very good capital base.

And we have declared dividend also. Total dividend declared is at the rate of 12%, INR1.20 per equity share for FY 2025 -26, and it includes all the interim dividend declared and paid at the rate 2% quarterly for previous 3 quarters. These were brief about our actual financial results with all the support of our stakeholders and team.

So that was in brief, I highlighted our financial results as of 31st March 26. Now over to you.

Moderator: Sir, can we open the floor for question and answers?

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Kalyan Kumar: Yes please.

Moderator: Thank you very much. We will now begin the question and answer session. The first questions comes from Ashok Ajmera from Ajcon Capital Global.

Ashok Ajmera: Sir, my compliments to you, sir, and the entire team of Central Bank for a very good business growth. I mean, especially the credit growth is phenomenal. Even in this quarter itself, it is 6.49%. Having said that, sir, we have noted some decline in the profitability. Our operating profit also has gone down and resulting into the net profit also going down. Of course, that onetime tax implication is there in that. But in the operating profit also, we are down.

Similarly, in case of the asset, asset quality also, if you look at it, both the gross NPA and net NPA, both in absolute numbers have gone up. And in fact, the net NPA has gone up even in percentage terms. So there is some concern on that, even though the SMA quality is maintained.

So sir, my first question or rather I would like to have your comments on are you seeing any stress in the system even for the current fiscal because of the geopolitical situations or whatever happening in the group because of that or even some of the old accounts are also getting slipped because of the slippage is also higher in this quarter. So it's a kind of a mixed quarter, sir?

Kalyan Kumar: Yes. Thank you, Ajmera ji, for your question. First of all, regarding reduction in profit you talked about operating profit, it has grown by 4.3%. But if we compare on a quarter-on-quarter basis, yes, actually, it was mainly due to 2 reasons. One was actually regarding AFS mark-to-market. And that actually, if you see treasury income, previous quarter, it was more than INR300 crores. And this

quarter, it is INR9 crores.

And also recovery in written off account. You see recovery in written off account previous quarter, it was more than INR1000 crores that is INR1062 crores. But this quarter, it is only INR352-odd crores. So that was the 2 main reason behind actually reduction what you are observing in operating profit side.

But if you see our net interest income has increased by 1.97% as year-on-year basis, it is INR14,171 crores. And net profit rightly said by you because we have taken onetime hit of INR632 crores towards DTA, that is the main reason why our net profit has declined.

Regarding asset quality, actually, I would like to tell you rather we have improved. You see our total slippage ratio of total year is 1.16 as compared to previous year which was 1.45. There is overall improvement in asset quality management because we have corrected our processes and also more improvement in technology side towards getting good alerts and feet on street also integrated with those things.

That's why in the asset quality side and monitoring side because we deal with retail business, a retail business requires constant monitoring and frequent follow-up. So through technology, we are taking services of both also and feet on street persons are there, integrated call center is there.

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And also, we are working towards trade underwriting, improvement in trade underwriting quality and trade monitoring side also. And reviewing the process of our processing center, branches, with all these things, we are able to maintain our slippage ratio at 1.16%. And for next year, we have given guidance that we are going to keep it less than 1%.

And regarding your another question regarding impact of Middle East crisis, till now, we have

not received any request of customers for any overdue PCs or any post-shipment facility. And our risk management department is very active towards actually conducting stress testing and portfolio analysis. So in that way, there is no stress signal at least till now we are witnessing towards our asset quality. I hope I have answered your question.

Ashok Ajmera: Yes, sir, you answered it very well. And those 2 factors which you explained. Yes, of course, because today, we get very less time. In fact, earlier the call was at 6:00 PM and then 7:00 PM, and we just got maybe just 15, 20 minutes only to go through this. But anyway, you have explained it very much for that.

Sir, my second question is on the ECL now since the ECL guidelines have come out, the final guidelines from RBI. So how prepared we are? Is there any some prompt calculation, which has been done because we have been preparing it now for quite some time? So how do you see the impact of the ECL and then how fast you see that the impact can be absorbed without affecting the profitability much?

Kalyan Kumar: See, we are actually for since last at least 1 or 2 years, sincerely working towards developing models, improving quality of data and also our strategy of financing also and containment of slippages and all which I told, these things are going to really support us in migrating to the ECL side.

And as regards our impacting on profitability side, looking at our growth and net profit and profitability, I don't find any challenge in migrating to the ECL framework as of 1st April '27. But as regards numbers, if you will ask me, though we have till previous quarter, INR1,575 crores additional provision we have made for this purpose.

But the actual simulation, depending upon the final guidelines, still we are working on this side. That's why at present, I will not be able to tell you the numbers actually, which will be required for that purpose. But I can tell you in terms of technological capabilities, simulation and strategy towards actually all these things which are going to impact ECL, Central Bank of India

is fully

prepared for migrating to the ECL as of 1st April '27.

Ashok Ajmera: Sir, my question is on technology side. So can we know a little more in detail in technology front, what is happening? Can we have some short report on the technology development and what kind of spending we have done, what kind of budgeting we are planning and which are the areas which are yet to be covered by the technology by Central Bank of India?

Kalyan Kumar: This, I would like to provide you offline.

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Ashok Ajmera: Okay. So last one, sir, is on the treasury. Treasury front, of course, there was a pressure this year. But now with the things a little bit changing, where do you see, I mean, what do you see our treasury contributing start again contributing to the profits in the coming FY '27 sir?

Kalyan Kumar: See, we started year by yield of 6.58%, then it got down to 6.14%. And in March, we have closed by 7.03%. So in that way, it has impacted a lot our profitability this quarter, at least only INR9 crores from treasury we got.

But looking to the improved condition and situation now, by optimal deployment of our investment portfolio and also IPO market also previous year also, we have got a good amount of profitability, excess profit. I am quite hopeful that this year also, looking to the market condition, we'll be able to optimize return on treasury side also.

Ashok Ajmera: Good to know that if the moderator permits me one more last question. On the credit front, you have done very well. Now going forward, what I mean, How much sanctions are in pipeline?

How are we prepared for business growth through our CRAR? And going forward, what are our plans or targets on the credit front, sir?

Kalyan Kumar: See our CRAR is 17.91% with CET1 15.61%. Our capital is not a constraint for meeting our growth aspiration in credit side. We have given guidance of 14% to 16% in credit side growth. And with the current capital strength, we will be able to meet this expectation -- aspiration, which bank is visualizing.

And regarding undisbursed sanctions, you see our 68% book is RAM side, retail, agriculture and MSME. Since November, we have started outreach program; more than 100 places we have organized, MSME, retail and agriculture outreach program and good number of prospective leads, potential business leads we actually mobilize.

And with our LMS and our field team, it is a complete SOP-based outreach program where our people senior team from head office also goes there and mobilizes the proposals and all. That is one area where good traction is observed; our retail growth is more than 25% and agriculture has grown by 17.60%. MSME has grown by 17.06%.

And similarly, in corporate side also, we have closed the book at INR1,09,945 crores. That is also growth of 14.50% in that way, actually, we have identified potential branches. In MSME, there are 225 branches, agriculture, there are more than 300 branches.

And for corporate also, we are opening more corporate finance branch and MCBs, where trained people like more than 900 officers we are going to get in the month of October, whom we are going to deploy them at different credit potential branches.

We are also setting up sales and marketing team, 50% through IB PS recruitment; we are going to get them very soon in next 1 or 2 months. So these enablers will augment our capability towards achieving the credit targets and all I might come back and for that, I'll give the numbers offline.

Moderator: The next question is from the line of Sushil C. Choksey from Indus Equity Advisors.

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Sushil C. Choksey: Sir, congratulations to team Central Bank of India for excellent and stable results and whatever advice and guidance you have given, sir. Sir, I want to break up if I missed a few things. I'm

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looking forward to the next year, that is the current financial. FY '27, can you guide us what is your thought process on deposit advance, NIM, CASA, RAM and CD ratio, recovery from technical written accounts, digital spend, HR processes, our insurance subsidiary? What kind of recovery are we seeing from technically written off assets?

Kalyan Kumar: Question is bouquet of questions. I will answer one by one. Mr. Choksey, thanks for the question.

First, I will answer you regarding deposit mobilization. This time also, you see in CASA, we have grown by 9.75% and percentage-wise also 47.30% is our CASA ratio.

And to achieve this, actually, our team has worked hard, and they designed the products suited to the different segments of the customer. This was one part, which really acted well. We tapped the potential of our lead district responsibility. 52 lead district managers, we roped them in and aligned them with these products and all these things so that they can support us in mobilizing CASA deposit.

And another important part was our government business cell also, a few places we have opened, where we got good traction in those areas. Post MOU with several state government, railways and also police forces, paramilitary forces, we are able to open a good number of salary accounts and good balances are being maintained with them because our technological things are also integrated in this model. Most of the accounts are being opened through Tab and which is very much convenient for the customers.

If I can tell you regarding term deposit, our growth was more than 14% - 15% there also, our growth is very good. So resources is not a challenge for Central Bank of India. CD ratio in December was 72% in September 2025 it was 66%, in March, we have closed at 73.80%, approximately 74%. There is improvement.

And in coming years, actually, the expertise, which I answered earlier the question of Mr. Ajmera, hopefully, you must be hearing also. There I told that for credit, actually, Central Bank is now geared up through outreach program, training of 1,000 credit officers. We are providing them other trainings of flagship trade program, forex program.

With this centralized forex also have been established. With this, actually, we are really improving or diversifying our different resource portfolio, which can support in not only in credit growth, but also improvement in income side also.

Regarding asset quality, you see our slippage ratio, we have maintained it at 1.16%. There is improvement from 1.45% as of previous year. And gross NPA and net NPA also, you see 2.67% and 0.49% is in percentage terms, INR9,185 crores and INR1,666 crores in absolute terms.

There also, we are very much comfortable and well aligned with the guidance which we have given to the market. Apart from this, actually, CASA, RAM, containment of slippages, NPA,

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you asked about actually the profitability side also, we are fully geared up with all these interventions.

As we migrated to the new tax regime, there will be benefit of 10%. We have simulated that more than INR600 crores is going to be the additional income due to migration of this aspect.

And anything else I left?

Sushil C. Choksey: Thank you for answering the question. But my thinking is that Central Bank is geared up for a lot of betterment in the coming year and the years to come under the tenors and the leadership along with your team. So if that is the case, I would like to hear if you can specifically address on those parts?

Kalyan Kumar: Yes. Actually, we are working on bringing improvement in the processes, investing in people.

Yes, you told about HR also. Yes, investing in people, number of training programs we are providing the first time regional led program, leadership development program. All these things

are also on the card so that our capabilities

ties are built. In technology side, also a lot of investments we are making.

So that's why we are sure that guidance which we have given for business growth of 14% to 15% for current year and deposit growth by 10% to 12% and advances growth by 14% to 16%, we are going to achieve all this guidance, which we have given. With the confidence, I am talking because the kind of enablement and system improvement, technological integration with business models we have made, we are sure that easily Central Bank of India will be able to achieve all these parameters.

Sushil C. Choksey: Sir, what would be the balance between RAM and corporate in the current year estimate?

Kalyan Kumar: See, we have given the guidance of 65 %-35% plus/minus 5% and we are maintaining this current year also, this year, 58 % : 32% is the ratio. We are going to maintain this guidance, 65 %: 35% plus/minus 5%. Because in corporate side, we are actually really balancing with the risk and return.

And only good rated customers only, we are selecting because looking to our experience of PCA days. So in that way, we are very selective in corporate side. But you can see still there is a growth in corporate side also INR1,09,945 crores, that amounts to 14.50% growth.

Sushil C. Choksey: Sir, what kind of sanction pipeline and undisbursed credit limits are visible to you today? What is not available today?

Kalyan Kumar: Actually, there might be that data, I am not ready with that now. Actually, I will be able to provide you offline.

Sushil C. Choksey: Sir, what is the estimate of recovery forecast for current year from written-off assets?

Kalyan Kumar: Recovery, actually, see, we are having INR32,000 -plus crores in technical written-off account. And this year also as you can see INR2,270 crores have been recovered in written-off account.

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And previous quarter was more than INR1,100 crores. Similarly, INR2,200 crores to INR2,500 crores easily we can recover from written-off account this year also and coming 2 -3 years is not going to be a challenge for us.

Sushil C. Choksey: Sir, Ajmera missed a question, which has been repeated in last 8 -9 quarters about the lumpy account of the airline, where are we today?

Kalyan Kumar: That lumpy account actually process is going on. Previous quarter, we received INR515 crores as guarantee and recovery process is going on. We are going for auction and all whatever processes are available, we are going to utilize those processes.

Sushil C. Choksey: Sir, you are strengthening a lot of HR process and digital and feet on street and a lot of government accounts, which means you are going to do a lot of digital spend. So have we made some kind of a budget for current year for digital spend?

Kalyan Kumar: Yes, yes, there is budget for the same; actually for capital budget, it is INR1,442 crores and revenue is INR1,276 crores for current year 2026 -27.

Sushil C. Choksey: Sir, second thing I noticed that you have tied up with a lot of mutual funds for distribution now. And with CASA at 47% to 50% range over a period of number of years, I see a lot of income likely to generate from CASA, 3-in-1 accounts and distribution capabilities which you're building. Are we sensing early benefits of it or it's yet to fructify?

Kalyan Kumar: Actually, we are going to start wealth management division, rightly said by you, and that we are going to establish with customer relationship concept and also credit card part and also sales and marketing team. The initiatives we are going to implement in Central Bank of India, which will certainly help us in actually garnering more income, fee-based income, advisory income. Those opportunity will be open for Central Bank of India.

Sushil C. Choksey: Sir, any highlights on the insurance JV and how it's shaping up for income side?

Kalyan Kumar: See, these are

untapped potential for Central Bank of India, both life and non-life, we are having strong relationship with generally insurance companies. And this year also INR161 crores we got, but it is flat if you compare with the previous year. The huge opportunity is there. So for that purpose, our team is working on how to leverage upon the tie-up and how we can get more and more revenue and income from these tie-ups.

Sushil C. Choksey: Sir, you answered that so far, there are no indicative signals led by the global mishap, which is led by war. But any indicators on retail or MSME in month of April about collection, any early signals or everything seems in order?

Kalyan Kumar: Till now, actually, I am regularly proactively interacting with my credit monitoring team. And Daily morning in charge of the credit monitoring team updates me. But till now, no such kind of slippage is observed, I can give you an example of 20th April, it was INR250 crores. Slippage was INR250 crores because that was the date when that Demand is higher.

So only INR250 crores, and for March and February also, approximately, this is a number of slippage. So that's why there is no abnormality or any incipient signal due to the Middle East crisis we are facing.

Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: Sir, first question is on your slippages. I see that your fresh slippages have increased substantially Q-o-Q. Can you just explain the reason for that?

Kalyan Kumar: See, Q4, actually, if you compare year -on-year, then Q4, every time there is actually slippages are there. But agriculture, you can answer.

Mukul Dandige: See, many of these slippages, particularly in MSME may be attributed to kind of technical. Okay, the auditors are saying that the credit submissions are not commensurate with the business projections, whereas the units are working. So because most of these branches go under audit in this the quarter. So that is one thing.

And secondly, some agriculture accounts have been identified. So no slippages. That is the only reason why our slippages are INR1,301 crores as against roughly around INR800 crores on an average every quarter. Government is concerned in MUDRA, PMEGP, et c., up to INR10 lakhs, more slippages.

Ashlesh Sonje: Understood Sir, second one is on the ECL transition. I understand that you would want to wait before sharing an impact on the onetime impact. But can you at least comment on what the recurring credit cost can increase by the new transition to the ECL regime?

Kalyan Kumar: See, our back of the envelope kind of a calculation for ECL impact was always around INR4,000 crores, which is very conservative. Out of that INR1,525 crores, we have a ready built up. Now that Reserve Bank of India has permitted that we can take the impact through reserves.

So bank being sufficiently capitalized at 17.91%, I can easily take the impact on day 1. I can easily take the entire impact on day 1 without any problem. Secondly, what you are saying is an ongoing basis. So ongoing basis, our estimates are that roughly around INR600 crores of provisions would be required for the entire financial year on an ongoing basis.

But that one impact that my transition to new tax regime itself is likely to give me a positive impact of around INR600 crores to INR800 crores. So these 2 impacts can easily be balanced. So the benefit of INR600 crores to INR800 crores would be on account of what reason? Because we are going to transition from the old tax regime of 35% to new tax regime of 25%. This 10% benefit would be there. So that 10% benefit comes to around INR750 crores. And the INR600 crores ongoing credit cost. You see now I'll have to provide for standard assets also based on the PD and other things. Pool, whatever is the floor. In many cases,

suppose if my thing

is very low, still then as per RBI circular, there is a floor beyond which I cannot go.

So based on all these things, we estimate that around INR600 crores to 650 crores would be the total financial cost for an ongoing additional provision so that will be easily balanced out of the new tax regime thing.

Ashlesh Sonje: Sorry sir, just confirming if my understanding is correct.

Kalyan Kumar: Your voice was very weak.

Ashlesh Sonje: I hope this is better. INR600 crores to INR650 crores number, that is the increase in credit cost on an ongoing basis or that is the final credit cost on an ongoing basis?

Mukul Dandige: No; See, what we are saying because of the transition to ECL, suppose if my SMAs increase, even in normal course. As per the IRAC guidelines, I need to maintain 0.25%, 0.4% and 1% provision on all the assets. Here, in the ECL regime, there is difference, here slabs are provided. So based on that, we estimate that additional provision required would be of the order of INR600 crores to INR650 crores because as my standard advances also increased, there will be an additional outgo, right? So that that additional cost will be more than met out by transition to new tax regime, where also we are seeing an upside of around INR700 crores.

Kalyan Kumar: In nutshell, actually, I would like to tell you, see, the estimate which you are trying to plan because these things we have not simulated till now. But our strategy is to be very cautious in unsecured loans. And also, we are improving overall credit underwriting quality, also monitoring aspect also being improved.

In that way, the impact which we are going to face due to implementation of ECL, we are very proactively and consciously working on those directions. We are working on the models on which actually we have to see and simulate the kind of things so that we can migrate. But one

thing I would like to say, as Mukul ji also told you that our reserves are surplus capital, we are very well capitalized. So therefore, the migration to ECL is not going to impact us in any significant way.

Ashlesh Sonje: Understood Sir, and just lastly, your margin has improved quite a bit in this quarter by 30 basis points, but your yield on advances and cost of funds has not really moved. Need to understand the reason for this increase in NIM?

Kalyan Kumar: Yield on advances year -on-year basis, it is 8.21%. And in this quarter, it is 7.78%. And cost of deposits is actually, if you see 4.82%. So in cost of deposit, actually there is a reduction of only 2 basis points. But if you see in yield on advances, it is 57 basis point dip. Major reason behind it, actually our more than 60% - 61% advances are external benchmark linked part. That's why impact was huge.

And our major advances as 61% I told you are external benchmark linked. The rates are immediately actually passed on to the customers. And the deposits gets repriced with a lag. So that was the major reason behind actually what you are saying.

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We are working on these aspects also so that how we can revisit our processes that so that at larger scale, our team can handle the sanction disbursement of retail agriculture and MSME side. And also the deposit repricing also will happen. In next quarter, it will be completed. That margin part also will be improved.

Ashlesh Sonje: Sir, sorry to interrupt, but the question is on the quarter -on-quarter movement in NIM. In spite of all the things you said, the NIM has actually improved by about 30 basis points quarter -on-quarter. That is the movement I'm trying to understand?

Mukul Dandige: See, there is one item. We got a refund of INR431 crores in income tax interest as income tax interest. So that has also contributed towards improving the NIM on a quarter

ter -on-quarter basis.

This we accounted for in March '26 quarter. But excluding this item also, the NIM has not been much impacted. I mean it was 2.96% in last quarter. It is around 2.89% or 2.9% in this quarter.

Moderator: The next question is from the line of Siddharth from Systematix.

Siddharth: Sir, can you give your total say, standard asset provisions, which are incremental to the IRAC norms?

Mukul Dandige: We are holding around 0.7% to 0.8% of total provision on standard assets. So I mean, this works out to roughly around INR2,800 crores to INR2,900 crores of total standard provisions we are holding.

Siddharth: And what will be incremental as compared to what would be required, the gap would be how much, sir?

Mukul Dandige: See, INR1,525 crores is straight away the ECL provision. That is additional provision. Thereafter, as per 7th June RBI circular on restructuring, we are holding provisions. So all this put together, we are holding provision of around INR2,800 crores - 2,900 crores.

Siddharth: Okay. Sir, what will be our gold loan book size? And what will be the LTV in it and the yield on the same?

Kalyan Kumar: Total gold loan is around INR28,000, total growth is 8.6%.

Siddharth: Okay. And sir, we have kind of industry -leading CASA and our LCR is also industry -leading. So on liquidity side, we are very strong. So how do you see because banks would have constraint in terms of deposits going forward and CD rates are also moving up? So how do you see your yield and NIM moving in next year?

Kalyan Kumar: So how do you see your yield kind of -- your NIM kind of moving in the next year?

Mukul Dandige: We have given direction that we are going to remain above 3%. And in that way, CASA and rightly said by you, liquidity is not a concern for us. Previous year, we maintain liquidity coverage ratio at 210% and CD also, we have closed by 73.90%. There is ample scope for advances and also liquidity we are having, which can support our growth.

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And having good CASA base, we have actually good margin also. through which we can maintain the NIM side. And our focus area for this year, current year also and onwards, focus upon building upon our strong CASA build and base, aligning with the customer behavior. We are providing them ample opportunities for actually invest next and all through our digital app and all.

And regarding advances, the RAM side where better margins are available. Our 68% book as of March '26 belonging to RAM. That is also going to continue. We have given 65%, 35%

plus/minus 5% guidance. So therefore, I am sure confident that we will be able to maintain NIM above 3%.

Moderator: Sir, does that answer your question you want to ask?

Siddharth: No, I'm fine. I'm done with my questions.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Kalyan Kumar: Yes. Thanks for the opportunity. And thank you for asking very good question and giving us opportunity to actually present the numbers and also strategy in front of you all analyst. So I can tell you that Central Bank of India actually, not only we believe in numbers, but also we believe in capability building and also our strategy is to focus towards building CASA retail agriculture and MSME, containment of slippages, improvement in overall improvement in asset quality. And these are going to be our main focus areas. I will be very happy to assure you all stakeholders kind of dividend which we have given this year also, and that is going to be maintained. And in that way, thanks for this opportunity and meeting.

Moderator: I'm sorry, sir, to interrupt. We have one question in the queue. Can we take it?

Kalyan Kumar: Yes, please.

Moderator: So we will take the next question from Pranay from JNJ.

Pranay :

So if I take off the 2 one-off items, which is the tax impact for that provision and your income tax refund, our net profit would get basically settled at around INR1,050 crores, if I'm right?

Kalyan Kumar: For this quarter, INR32 crores and INR732 crores and INR632 crores.

Mukul Dandige: INR724 crores plus INR632 crores, minus INR431 crores. So INR925 crores.

Pranay : But what was the tax?

Mukul Dandige: See, these tax refunds because we were supposed to make the advanced tax payment and all we are making, whereas we were not required to actually pay any taxes because we had the business losses. I mean, even though it appears as a one-off item, but it has been a regular feature for the

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last 5 years, if you can see, right from 2021 onwards, we are getting these refunds, this INR632 crores DTA impact, I agree that this is actually onetime. This will not be there next time onwards.

Pranay : Yes. So in March '25, we had INR318 crores as other income. How much income tax refund would have been in that or what would be that component over there?

Mukul Dandige : March '25 quarter you are saying?

Pranay : No, year-end March '25. In interest income, there is one line item, others, which is INR318 crores.

Mukul Dandige: Yes. So out of that, income tax refund was around INR280.7 crores.

Moderator: Thank you. That was the last question for today. On behalf of Systematix Shares and Stock Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.